PDF version of the article coming soon.

VERSION PDF À VENIR / PDF FILE TO FOLLOW

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	10/07/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.65	+10.9	-5.6	+56.2	+77.0
Bund 5Y	2.76	+16.3	-3.0	+29.8	+54.0
Bund 10Y	3.04	+17.6	-3.4	+17.3	+37.2
OAT 10Y	3.74	+19.7	+0.8	+23.8	+34.6
BTP 10Y	3.76	+16.8	-8.6	+26.1	+19.5
BONO 10Y	3.46	+16.0	-5.4	+21.5	+19.9
Treasuries 2Y	4.21	+10.4	+7.5	+72.7	+31.9
Treasuries 5Y	4.30	+16.8	+3.7	+57.9	+38.5
Treasuries 10Y	4.56	-1.2	+1.8	+39.5	+3.2
Gilt 2Y	4.24	+11.3	-14.1	+48.6	+36.7
Treasuries 5Y	4.41	+13.7	-8.6	+56.5	+37.9
Gilt 10Y	4.95	-3.9	+1.4	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	10/07/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.14	+0.0	-1.1	-2.7	-2.2
GBP/USD	1.34	+1.2	+0.1	-0.3	-1.1
USD/JPY	161.83	-0.1	+0.8	+3.2	+10.5
DXY	100.95	-0.2	+1.0	+2.7	+0.7
EUR/GBP	0.85	-1.2	-1.2	-2.4	-1.1
EUR/CHF	0.92	-0.1	+0.1	-0.8	-0.9
EUR/JPY	184.85	-0.1	-0.3	+0.4	+8.0
Oil, Brent ($/bbl)	76.04	+3.9	-18.3	+25.0	+10.7
Gold ($/ounce)	4098	+1.9	-0.6	-5.2	+23.5

Equity Indices

	Level	Change, %			
	10/07/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4868	+1.6	+3.9	+9.9	+19.8
North America					
S&P500	7575	+1.8	+4.2	+10.7	+20.6
Dow Jones	52637	+0.9	+5.4	+9.5	+17.9
Nasdaq composite	26282	+1.8	+4.4	+13.1	+27.4
Europe					
CAC 40	8339	-0.3	+2.2	+2.3	+5.5
DAX 30	25067	+1.8	+3.6	+2.4	+2.5
EuroStoxx50	6270	+0.6	+4.3	+8.3	+15.3
FTSE100	10497	+0.1	+2.4	+5.7	+17.0
Asia					
MSCI, loc.	1940	+1.2	+4.8	+14.8	+32.4
Nikkei 225	68558	-1.3	+6.8	+36.2	+72.9
Emerging					
MSCI Emerging ($)	1691	-1.0	+1.4	+20.3	+37.3
China	72	+4.3	-2.3	-12.3	-2.9
India	953	+0.6	+4.5	-10.0	-11.6
Brazil	1854	+3.9	+7.2	+12.6	+30.1

Performance by sector

Eurostoxx600

Year 2026 to 10-7, €

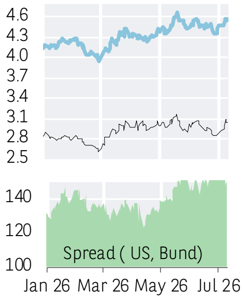
+22.0%	Oil & Gas
+20.0%	Technology
+15.3%	Banks
+15.1%	Commodities
+13.8%	Utilities
+13.1%	Telecoms
+12.5%	Chemical
+8.7%	Industry
+8.3%	**Eurostoxx600**
+6.2%	Financial services
+5.6%	Food industry
+4.9%	Insurance
+2.8%	Travel & leisure
+0.8%	Health
+0.8%	Real Estate
+0.3%	Retail
-1.9%	Construction
-4.9%	Media
-7.7%	Consumption Goods

S&P500

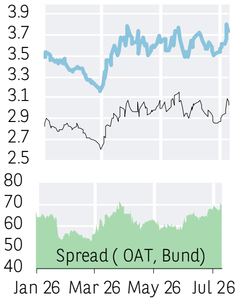
Year 2026 to 10-7, $

+41.3%	Semiconductors
+32.3%	Tech. Hardware & Equip.
+22.1%	Energy
+21.5%	Capital Goods
+11.2%	Materials
+10.8%	Food, Beverage & Tobacco
+10.7%	**S&P500**
+8.4%	Pharmaceuticals
+7.2%	Bank
+6.3%	Utilities
+5.7%	Media
+5.5%	Retail
+5.1%	Insurance
+3.6%	Consumer Discretionary
-1.7%	Consumer Services
-3.3%	Healthcare
-8.3%	Telecoms
-8.4%	Automobiles
-9.8%	Commercial & Pro. Services
-30.0%	Real Estate

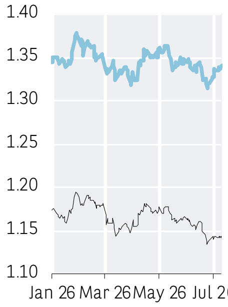
Bund 10Y & US Treas. 10Y



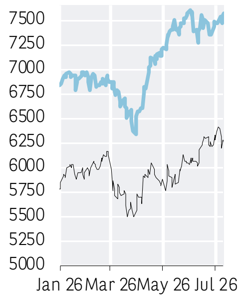
Bund 10Y & OAT 10Y



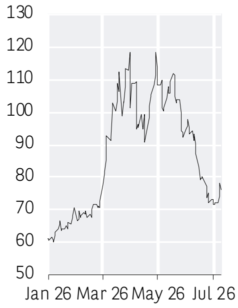
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500

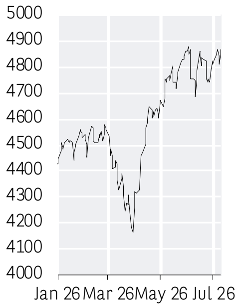


Oil, Brent ($/bbl)

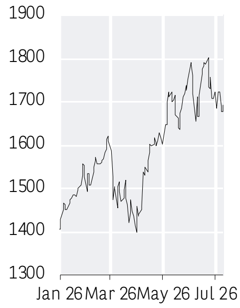


Gold ($/ounce)

MSCI World ($)



MSCI Emerging ($)

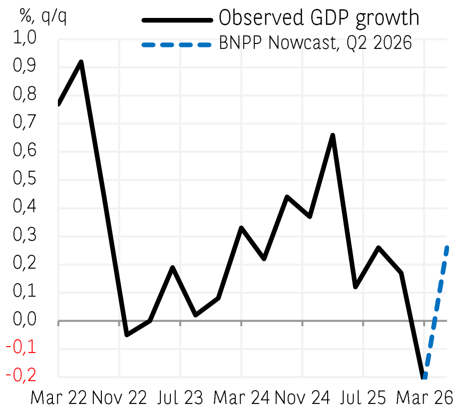


SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 13 July 2026

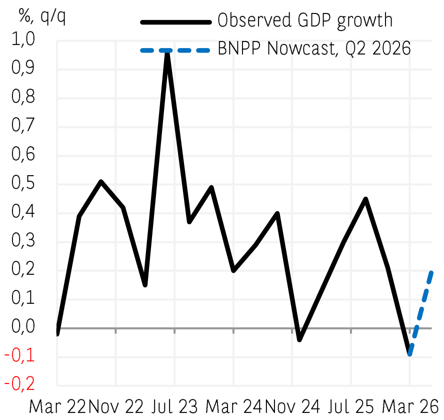
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



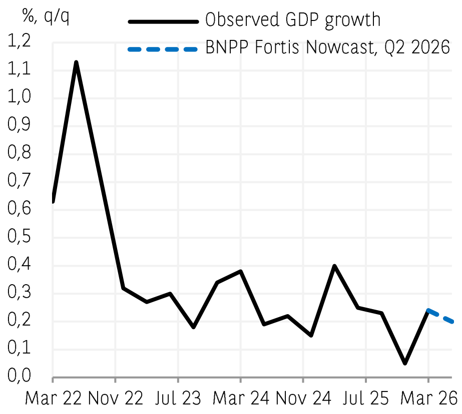
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Eurozone growth has been revised higher on the back of the improvement in the PMI data in June and lower Brent prices. It is now pointing to a 0.3% q/q GDP growth in Q2.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a stable growth in Q2 (0.2% q/q, a performance already observed in Q1). The transactions data suggests again a quite favorable performance in Q2, while uncertainty on the pass-through of energy inflation to other sectors implies a downside risk to the *nowcast*.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.4	2.5	2.9	2.7	3.7	2.8
Japan	-0.2	1.1	0.8	1.1	2.7	3.1	2.1	2.1
United Kingdom	1.0	1.4	1.0	1.2	2.5	3.4	3.2	3.1
Euro Area	0.9	1.5	0.6	1.6	2.4	2.1	2.7	2.6
Germany	-0.5	0.3	0.8	1.1	2.5	2.2	2.3	1.9
France	1.1	0.9	0.8	1.1	2.3	1.0	2.2	1.6
Italy	0.6	0.7	0.8	0.8	1.1	1.7	2.4	1.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.5	3.2
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.6
India*	7.1	7.7	3.7	6.8	4.6	2.1	5.1	4.3
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 06/07/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 26/06	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
	T-Note 10y	4.37	4.55	4.65	4.75	4.85
Eurozone	deposit rate	2.25	2.25	2.50	2.50	2.50
	Bund 10y	2.85	3.15	3.20	3.35	3.10
	OAT 10y	3.52	3.77	4.00	4.17	3.60
	BTP 10y	3.59	3.85	3.95	4.10	3.60
	BONO 10y	3.29	3.57	3.64	3.79	3.42
UK	Base rate	3.75	3.75	4.00	4.00	3.50
	Gilts 10y	4.74	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.58	2.70	2.85	2.85	3.10

Exchange Rates		2026				2027
End of period		Spot 26/06	Q2	Q3	Q4	Q4
USD	EUR / USD	1.14	-	1.15	1.16	1.20
	USD / JPY	162	-	163	165	165
	GBP / USD	1.32	-	1.32	1.32	1.36
EUR	EUR / GBP	0.86	-	0.87	0.88	0.88
	EUR / JPY	184	-	187	191	198

Brent		2026				2027
Quarter Average		Spot 26/06	Q2	Q3	Q4	Q4
Brent	USD/bbl	72	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 29/06/2026

Contacts
Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com

UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.5% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25pb each) before the end of 2026, bringing the Fed Funds target range at 4,25% - 4,50% in Q1 2027.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP growth contracted 0.2% q/q mainly due to the volatility of Ireland's GDP data, but growth in the rest of the Eurozone remained resilient (+0.2% q/q). In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.6% in 2026, before picking up at 1.6% in 2027. Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. Inflation would rebound to 2.7% in 2026 (compared to 2.1% in 2025) on the back of the energy shock and plateaued at 2.6% in 2027. As inflation rebounds, we continue to expect one further 25-basis-point hikes in the ECB's policy rate in Q3 2026– pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.4% in 2025; following +0.4% q/q in Q1, growth dipped to -0.1% m/m in April, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.2% y/y, and to remain sticky and well above BoE's target at +3.1% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a 25bp rate hike in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

We expect annual GDP growth to stand at 0.8% in 2026, down from 1.1% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect a 25pb hike about every four to five months until a 2.50% terminal rate in 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.16 by Q4 2026 and 1.20 by Q4 2027. We anticipate a depreciation of the yen and the GBP against the dollar in 2026 (USD/JPY 165 and GBP/USD 1.32 by Q4 2026) and 2027.

ECOCHARTS

JULY 2026

Energy shock: Dashboard 2026 vs. 2022

Special update: June 2026 Eurozone data

BNP PARIBAS

The bank for a changing world

Energy shock: Dashboard 2026 vs. 2022

This special issue concerns the update of Eurozone data.

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

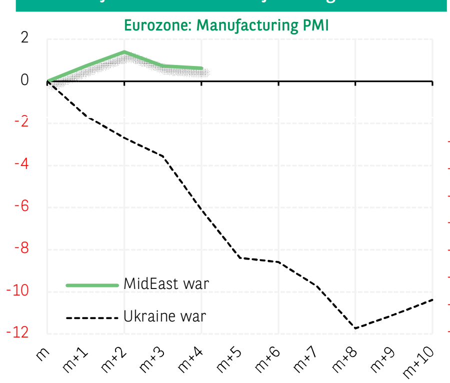
We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

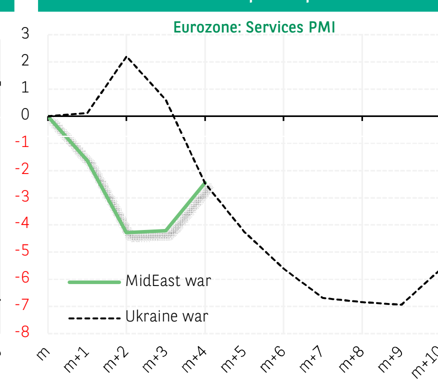
The expectation that the surge in inflation, driven by this new energy shock, would be more moderate than in 2022 (with demand being less dynamic and supply less constrained) is confirmed. However, following the Memorandum of Understanding signed in mid-June between the United States and Iran, inflationary risk has eased but has not disappeared. This MoU has reduced the risk of a severe escalation of the conflict, but the resurgence of tensions and military strikes in mid-July shows that the situation is far from resolved.

When we compare the impact on economic activity of the current energy shock with that of 2022 (following the conflict in Ukraine), the favorable point in 2026, for the euro area, is the business climate in the manufacturing sector, which is holding up better than in 2022. Consumer confidence has fallen sharply but to a lesser extent in 2026 than in 2022. As for the deterioration in the business climate in the services sector, it was immediate in 2026, whereas it occurred with a few months' delay in 2022.

June 2026: Limited correction of business confidence in the manufacturing sector



June 2026: Business confidence in the services sector picks up



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: European Commission, Macrobond, BNP Paribas

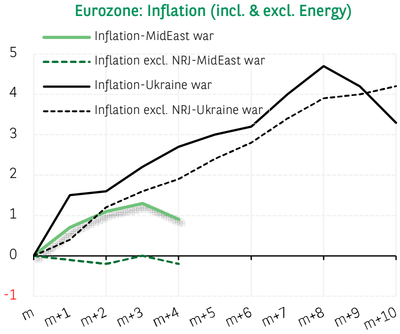
Eurozone: The drop in oil prices drives inflation in its wake, tempers inflationary pressures and supports confidence surveys

We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the "input prices" and "output prices" components of the composite PMI (in order to identify direct inflationary pressures); the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the June data is positive and reinforces the encouraging signals from May data. Symmetrically to its rise, which was largely driven by the "energy" component, inflation has significantly receded due to the marked drop in oil prices in June. According to PMI business climate surveys, inflationary pressures have also eased. Delivery times are also benefiting from the supportive impact of the MoU (signed in mid-June between the United States and Iran) and are improving slightly. The business climate in the manufacturing sector has slipped again but marginally. Business confidence in the services sector and consumer confidence continue to recover. The expected improvement due to the reduced risk of a severe escalation of the conflict in Iran is materializing. It remains to be seen whether it will withstand the persistence of uncertainties and the resurgence of tensions in mid-July.

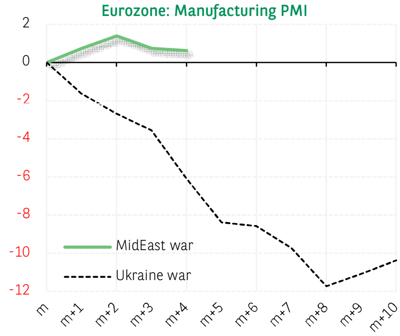
June 2026: End of the energy-led rise in inflation?

Eurozone: Inflation (incl. & excl. Energy)



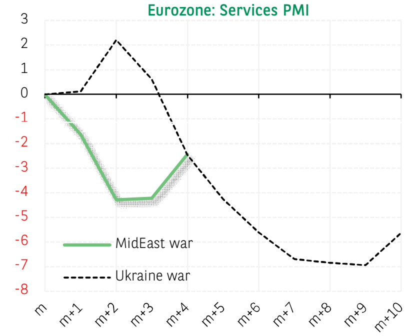
June 2026: Limited correction of business confidence in the manufacturing sector

Eurozone: Manufacturing PMI



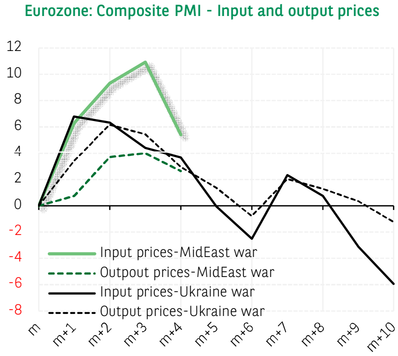
June 2026: Business confidence in the services sector picks up

Eurozone: Services PMI



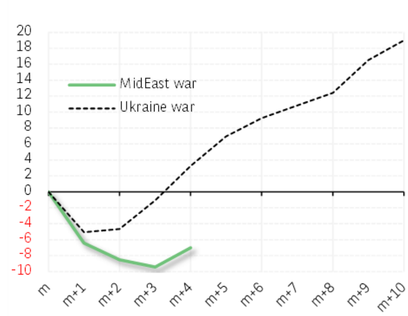
June 2026: Moderation of price pressures

Eurozone: Composite PMI - Input and output prices



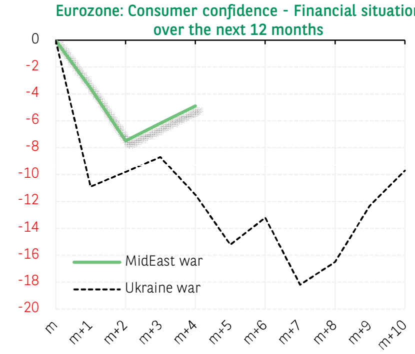
June 2026: Small improvement in supply tensions (slightly shorter delivery times)

Eurozone: Manufacturing PMI - Suppliers' delivery times



June 2026: Further improvement in consumer confidence

Eurozone: Consumer confidence - Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

CHART
OF THE WEEK

9 July 2026

WHEN INTRA-EU TRADE FINDS A NEW BALANCE

Guillaume Derrien with the help of Maëlys Biot (intern)

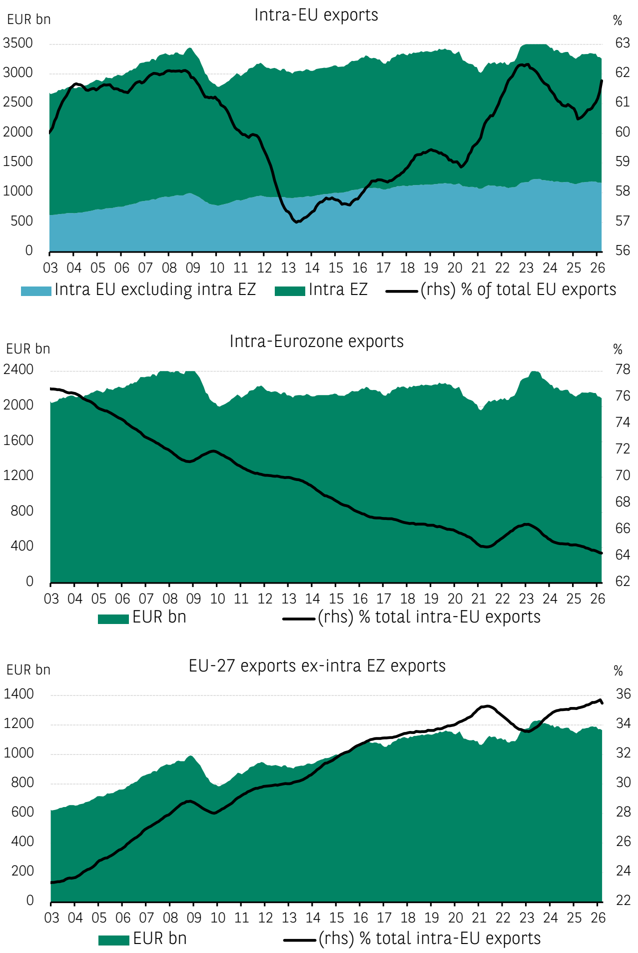
The share of intra-EU exports in total European exports currently stands at around 62%, a level comparable to that seen in the early 2000s. Behind this apparent stability, however, lies a deep reshuffling of the major blocs that make up the European Union. The share of trade within the Eurozone in total intra-EU exports has declined almost continuously. It fell from about 77% in the early 2000s to just over 64% today (April 2026). Conversely, the share of flows between the Eurozone and the rest of the European Union (31.5%), along with, to a lesser extent, trade among the six countries[1] outside the Eurozone (4.0%), has risen symmetrically. There is little doubt that the growth gaps expected between the Eurozone and the more dynamic economies of Central Europe and Scandinavia by the end of the decade, according to IMF projections[2], will fuel this trend.

This rebalancing stems first and foremost from EU enlargement. The Central European countries, whose EU integration began in 2004 (2007 for Romania), have gradually climbed up European industrial value chains. This is particularly true in machine tools, transport equipment, and, more recently, defense (Poland), a sector in which Sweden is also a major player. Foreign direct investment flows from the Eurozone and from outside Europe (China[3]) have accompanied this upgrading, anchoring these economies as central players in European value chains.[4]

The Eurozone remains by far the EU's main export market, and most of the industrial value added remains concentrated there. This gradual shift in trade patterns is nonetheless not politically neutral, and it is progressively redrawing the balance of power within the EU. The ongoing negotiations over the next Multiannual Financial Framework (2028-2034) are one of the current illustrations of this.

This reorientation is slow and uneven, but it remains an important signal. At a time when global trade tensions and Chinese competition are undermining opportunities outside the EU, this internal redeployment of trade acts as a buffer for European exports, which is positive for the continent's economic growth. It is also, and above all, one more argument—if one were needed—for strengthening the European single market, the only framework capable of turning these new synergies into lasting competitiveness gains for the whole continent. Hence the importance for European leaders of making the 'One Europe, One Market' plan a success.

In intra-EU trade, the eurozone is losing ground to the other member states



Note: Constant price, 2020. Data are deflated using unit value index of exports

CHARTS SOURCE: EUROSTAT, BNP PARIBAS

1 Denmark, Hungary, Poland, Romania, Sweden, Czech Republic.
2 According to April 2026 forecasts, average annual growth in the Eurozone is expected to be 1.2% over 2026-2030, versus 2.1% for the six non-Eurozone countries.
3 See Rhodium Group's latest report on this topic: Chinese Investment in Europe Rises to Seven-Year High: Chinese FDI in Europe 2025 Update – Rhodium Group
4 See C. Kalasopatan Antoine, Central Europe: Moving up the value chain, BNP Paribas, February 4, 2025.

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS

Easy-to-read monthly overview of inflation dynamics

ECOATLAS

The key economic figures for France and major European economies

CHART OF THE WEEK

A weekly chart highlighting points of interest in the world economy

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

La banque
d'un monde
qui change

Could the ECB be done with rate hikes?

Gathered in Sintra, Portugal, from 29 June to 1st July, the members of the ECB Governing Council adopted a notably cautious stance, just three weeks after raising key interest rates. This unanimous decision was in response to the energy shock triggered by the conflict in the Middle East. Since then, energy prices have fallen sharply, and the inflation and survey data from June have shown positive trends. However, the indirect effects of the energy shock are still difficult to assess fully. We maintain our scenario of an additional ECB rate hike in September, despite the easing of inflation risks, which makes such a move less likely.

A DELIBERATELY CAUTIOUS APPROACH

In her opening remarks in Sintra, Christine Lagarde reminded the audience that the conduct of monetary policy now takes place in a more volatile and less predictable environment, characterised by a larger number of and more diverse economic shocks. Faced with this uncertainty, the ECB president advocated for a communication style she referred to as "framework guidance": an approach centred around scenarios and less prescriptive regarding the future rate paths compared to traditional "forward guidance". This aligns with the new monetary policy strategy the ECB introduced exactly one year ago in Sintra[1]. The strategy provides the ECB with increased flexibility to manage deviations from the 2% target when they are limited and temporary, without causing a significant de-anchoring of inflation expectations. The current shock is precisely the kind of situation the new framework is designed to address.

ECB chief economist Philip Lane summed up the common line – with only minor nuances – that emerged from the various Governing Council members during the forum: do not lock yourself into a specific rate path until the impact of the shock on other components of inflation is better understood. For her part, Christine Lagarde, participating in a panel discussion alongside Andrew Bailey (Bank of England), Kevin Warsh (U.S. Fed) and Tiff Macklem (Bank of Canada), defended the June rate hike as fully justified, while acknowledging that the risks to inflation and growth now appear more balanced (less upside risks to inflation, less downward risks to growth).

DESINFLATIONARY SURPRISES DO NOT INVALIDATE THE JUNE HIKE

At this stage, the indirect effects of the energy shock on economic activity and prices within the euro area are limited to a small number of goods and sectors that are directly exposed. European Commission surveys show that expected price indices are overall at historically high levels, but have been falling for the past two months (after reaching levels already below the peaks seen at the outset of the war in Ukraine; see table, page 4). Moreover, the harmonised inflation rate fell more than expected in June, to 2.8% y/y (0.4 pp). This slowdown was driven in particular by French and German data (0.8 and 0.4 pp, respectively). Price pressures on non energy industrial goods remain modest (+0.9% y/y), as do those on food (+1.6% y/y, the lowest in five years). By contrast, services inflation – which evolves with a certain inertia and also fell in June – remains firmly above 3% (3.2%). Households' one year inflation expectations have also eased (with the median falling from 4.0% to 3.5%). In addition, the alternative indicators tracked by the ECB are still within a range that the central bank will likely find acceptable (see chart 1).

That does not mean the June hike was a mistake. A return to the 2% inflation target will remain a challenge in the short to medium term.

1 The ECB's monetary policy strategy statement (2025).

ALTERNATIVE INFLATION MEASURES: NO CLEAR TRACE OF THE SHOCK

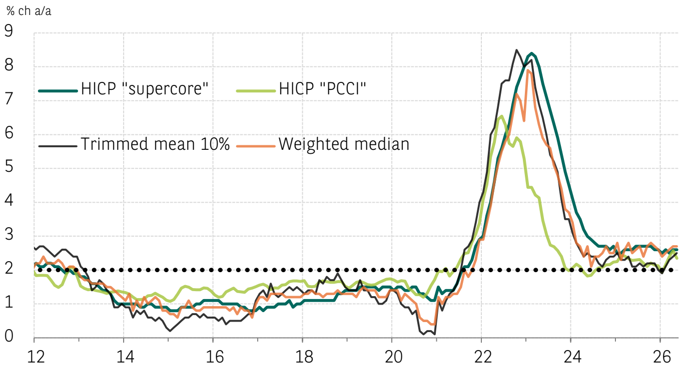
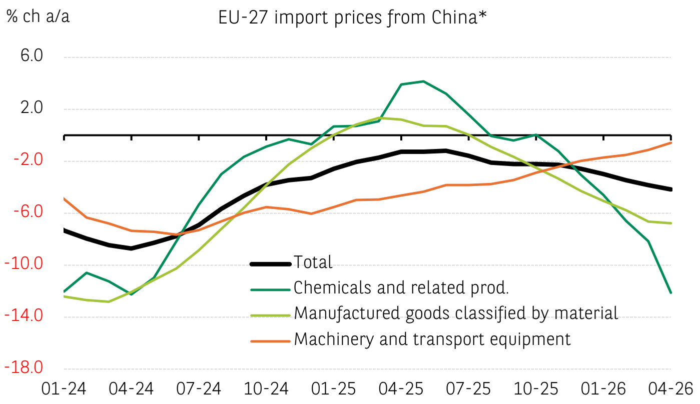


CHART 1

SOURCE: ECB, BNP PARIBAS

EUROPE CONTINUES TO IMPORT DEFLATION FROM CHINA



* Import unit value index, data smoothed over twelve months

CHART 2

SOURCE: EUROSTAT, BNP PARIBAS

We now anticipate a more modest rebound in inflation in 2026 (2.7%), but still no return to the target in 2027, with inflation remaining well above it (2.6%). The factors contributing to this include an increase in activity that sustains core inflation and the persistence of relatively high energy prices (around USD 80 per barrel on average in 2027).

EUROPEAN COMMISSION INDEX - PRICE EXPECTATIONS NEXT THREE MONTHS (Z-SCORE)

	01/2026	02/2026	03/2026	04/2026	05/2026	06/2026	06/2022
Manufacturing	-0.11	-0.05	0.42	1.05	0.84	0.54	2.89
Food products	-1.03	-0.76	-0.20	0.52	-0.09	-0.32	3.04
Beverages	-0.20	-0.50	-0.25	0.07	-0.05	-0.35	3.02
Textiles	-0.06	-0.12	0.36	1.29	1.66	1.10	2.49
Wearing apparel	-0.21	0.15	0.37	0.48	0.42	0.37	3.91
Leather and related products	0.15	0.01	-0.04	0.96	0.46	0.41	2.73
Wood and wood products, ex-furniture	0.65	0.37	0.39	1.27	1.18	0.79	0.92
Paper and paper products	-0.44	-0.55	0.34	0.94	0.95	0.82	1.53
Printing and reproduction of recorded media	-0.01	-0.04	0.66	1.34	1.50	0.71	3.59
Coke and refined petroleum products	-0.61	-0.61	2.74	1.76	1.35	0.44	1.63
Chemicals and chemical products	-0.71	-0.48	0.75	2.26	1.90	1.16	2.34
Basic pharmaceutical products and pharmaceutical preparations	-0.40	0.78	0.28	1.35	1.37	1.09	4.02
Rubber and plastic products	0.17	0.00	0.43	1.49	1.37	0.72	2.36
Other non-metallic mineral products	-0.29	-0.36	0.10	0.89	0.85	0.21	2.47
Basic metals	0.51	0.52	0.81	1.32	1.55	0.97	0.35
Fabricated metal products, except machinery and equipment	0.30	0.35	0.62	1.21	1.02	0.89	2.44
Computer, electronic and optical products	0.48	0.40	0.62	1.00	0.86	0.89	3.54
Electrical equipment	-0.16	0.15	0.19	0.68	0.83	0.89	3.00
Machinery and equipment n.e.c.	-0.21	-0.17	-0.11	0.34	0.34	0.37	3.19
Motor vehicles, trailers and semi-trailers	-0.17	0.09	-0.09	0.18	0.20	0.19	3.70
Other transport equipment	1.16	-0.02	0.51	-0.31	1.67	1.08	2.37
Furniture	-0.20	0.00	0.20	1.07	1.30	1.34	2.23
Other manufacturing	0.78	1.13	1.12	1.20	0.39	0.70	3.47
Repair and installation of machinery and equipment	0.27	0.26	0.23	0.25	1.16	0.47	3.50
Construction	-0.07	-0.22	0.08	0.63	0.48	0.20	2.78
Construction of buildings	-0.17	-0.06	0.21	0.71	0.66	0.26	0.00
Civil engineering	0.02	-0.18	0.34	0.70	0.40	0.36	2.67
Specialised construction activities	-0.13	-0.25	-0.01	0.43	0.49	0.21	2.95

	01/2026	02/2026	03/2026	04/2026	05/2026	06/2026	06/2022
Retail	0.06	0.09	0.26	0.71	0.66	0.64	3.77
Wholesale and retail trade and repair of motor vehicles and motorcycles	-0.17	0.09	0.26	0.50	0.57	0.51	3.35
Retail trade, except of motor vehicles and motorcycles	0.11	0.07	0.32	0.79	0.74	0.66	3.91
Services	0.31	0.26	0.35	0.63	0.48	0.24	3.34
Land transport and transport via pipelines	0.78	0.83	1.24	1.50	1.22	0.43	2.71
Warehousing and support activities for transportation	0.36	0.53	0.91	1.42	1.31	0.64	2.32
Accommodation	-0.53	-0.37	-0.23	-0.04	-0.04	-0.18	2.63
Food and beverage service activities	-0.48	-0.54	-0.44	0.23	-0.26	-0.71	3.98
Programming and broadcasting activities	0.42	1.85	-0.21	0.03	1.08	-0.43	-0.65
Telecommunications	1.96	0.83	1.24	1.42	1.14	1.08	1.57
Computer programming, consultancy and related activities	-0.27	-0.23	-0.12	0.22	0.19	0.36	3.42
Information service activities	0.45	0.37	0.18	0.28	0.45	0.82	2.83
Real estate activities	-0.07	0.47	0.18	-0.03	-0.63	0.11	3.08
Legal and accounting activities	0.72	0.40	0.30	0.64	0.32	0.23	3.50
Activities of head offices; management consultancy activities	-0.01	-0.76	-0.42	-0.61	0.03	-0.34	2.93
Architectural and engineering activities; technical testing and analysis	0.25	0.07	0.10	0.22	0.05	-0.42	3.03
Advertising and market research	1.09	0.89	0.10	0.70	1.09	0.87	1.36
Other professional, scientific and technical activities	0.47	-0.26	0.50	0.08	-0.20	-0.16	2.87
Rental and leasing activities	-0.18	-0.36	-0.60	0.54	0.21	-0.05	3.51
Employment activities	-0.20	-0.53	-1.06	-1.04	-0.31	-0.06	2.49
Travel agency, tour operator reservation service and related activities	0.69	0.36	1.03	1.24	1.01	0.17	2.95
Security and investigation activities	0.63	0.07	-0.14	-0.41	-0.10	-0.58	3.75
Services to buildings and landscape activities	0.69	0.33	-0.26	0.51	0.69	0.33	4.05
Office administrative, office support and other business support activities	0.37	0.29	1.04	0.29	0.24	0.15	3.02
Repair of computers and personal and household goods	1.45	0.48	0.21	0.55	0.31	-0.33	3.10

TABLE

SOURCE: EUROPEAN COMMISSION, BNP PARIBAS

STRUCTURAL FORCES AT WORK

The uncertainty surrounding the spread of the energy shock should not overshadow other inflationary pressures arising from the conflict (e.g., higher maritime freight rates) or from the robust demand for components related to the AI sector, which are driving up import prices for IT, electronic and optical equipment (+6.8% in April). Conversely, the downward trend in import prices from China has accelerated in recent months, especially in sectors where Chinese overcapacity is most pronounced, such as chemicals (see chart 2). The recent appreciation of the renminbi against the euro has not yet mitigated this effect: faced with a commercial decoupling from the United States, China appears to be intensifying its market share winning price strategy, a stance likely to continue in a context of weak domestic demand.

The deflationary impact of cheaper Chinese imports is not neutral for euro area inflation dynamics because the monetary union remains heavily dependent on imports (16.9% of euro area imports came from China in April). According to our calculations, a 10% drop in Chinese import prices would cut headline inflation by around 0.3 percentage points – a finding that aligns closely with a recent ECB research note[2].

Wage moderation is another factor supporting disinflation, at least in the short term. The ECB's wage tracker currently shows no signs of a second round effect by the end of the year, with base salary growth expected to stabilise at around 2.5% in the second half of 2026. The ECB will monitor this situation closely until September.

****

In summary, the overall balance of inflation risks now appears to lean slightly more towards the downside than it did a few weeks ago, but not enough to warrant a change in monetary policy direction. Our central scenario therefore remains unchanged: a further rate increase is likely in September, albeit with less conviction than a month ago. In Sintra, true to its new framework, the ECB neither ruled out a pause in policy rates nor fully embraced it.

Guillaume Derrien

guillaume.a.derrien@bnpparibas.com

2 What has kept goods inflation low? The role of the import exposure to China, ECB Economic Bulletin, June 2026. According to this study, a 10% drop in import prices from China would result in a reduction in inflation for non-energy industrial goods by 0.4 to 0.7 percentage points. Given the significance of this component in the HICP (25.7%), it would bring headline inflation down by 0.1 to 0.2 percentage points.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

Sintra ECB Forum. Encouraging signals. Global central bankers gathered in Sintra acknowledged with relief that both inflationary pressures and inflation expectations had come down in recent weeks. However, leading central bankers remain on their guard. Fed Chair Warsh reiterated his optimism about the productivity-lifting impact of AI but acknowledged it wasn't "policy-relevant" in the next 6-9 months and that for now the impact of AI was only visible on demand. ECB policy-makers sounded less sure about the need for more rate hikes, but didn't rule them out either (not in July though). During a panel on tokenization moderated by Piero Cippollone, both external speakers expressed doubts that a retail CBDC was needed or useful.

EUROPEAN UNION

Muscling up against China's exports. Monday 29th June saw the launch of the EU-China Trade and Investment Consultation Mechanism, which resulted in a joint statement to cooperate on imbalances, market access, export controls and WTO reform, including the explicit ambition on the EU's side to reduce China's surplus by October. The next day, the EU announced the implementation of two non China-specific measures but mostly aimed at it: a EUR 3 tax on small parcels replacing a de minimis exemption from customs duty; and sharply reduced steel quotas (by 47% in general and 31% for countries with an FTA with Europe), above which a 50% tariff applies (up from 25%).

France: Sharp fall in inflation, mixed activity news. Headline CPI **inflation** slowed from 2.4% to 1.8% (HICP at 2.0%, -0.8pp) in June, with all categories of the index contributing. June **PMI** revisions saw the manufacturing activity index revised higher (+0.5 pt to 51.2), but the services index revised further into contraction territory (46.8, -0.6pp), as was the composite index (to 47.2, still well above its May level of 44.9). New vehicle registrations dipped 2.6% m/m in June. The y/y cumulated number of **corporate bankruptcies declined slightly** in May for the first time since October 2025, primarily driven by microenterprises and the construction and transportation sectors.Meanwhile, business starts rebounded sharply. The OECD's latest economic survey of the French economy forecasts GDP growth at 0.7% in 2026 and 0.8% in 2027. The report stresses fiscal consolidation is "a priority" and recommends reducing public spending via better spending efficiency, lower ageing related outlays, and fewer tax breaks.

Germany: Inflation drop, better activity and more structural reforms. Headline HICP **inflation** fell 0.3pp to 2.4% y/y in June (vs. consensus: +2.6%), driven by lower energy prices (due to temporary tax cuts set to expire in July, suggesting a potential rebound). Core and services inflation were both steady at 2.5% and 3.1% respectively. The Final June **PMIs** were all revised higher with composite near exit from contraction territory at 49.5 (vs. flash: 48.0; +0.7pp m/m), manufacturing raised to 50.3 vs. 50.0), almost unchanged from May (50.1), and services contracting less (48.6 vs. flash 46.8; +0.5pp m/m). National **unemployment** rate held at 6.3% (same as May). New car registrations climbed +15.7% y/y In June (+5.8% y/y YTD). Battery EVs registrations up +78.2% (48% y/y YTD) while gasoline-powered car registrations fell 16.8% (-18.2% y/y YTD). In addition to the ambitious pension reform and income tax cuts previewed last week, the government has announced a broad package of **structural reforms** aimed at boosting the country's competitiveness including healthcare payments, sick-leave adjustments and bureaucracy reduction.

Italy: Better all around. Inflation slowed slightly in June at 3.1% y/y (-0.1pp from April), in line with market expectations. The June Composite **PMI** rose to 50.8 (+0.4pp from May), a four-month high, with services back in expansion at 50.2 (+0.8pp from May) for the first time since the beginning of the Iran war, and manufacturing still in expansion at 52.2 though a little slower than in May. The European Commission's **Economic Sentiment** Index increased significantly in June (+1.3pp), staying nonetheless under its long-term trend. Confidence improved in all sectors, but particularly in retail trade (+3.9pp) and construction (+2.4pp). However, consumer confidence decreased (-0.9pp). The **unemployment** rate decreased to 5% in May (-0.1pp from April), its lowest level ever, and among the lowest in the Eurozone. **Retail sales** increased in May by 2.2% y/y (+0.6pp) and 0.2% m/m (+0.2pp).

EUROZONE

Inflation relief and other better news. Headline inflation slowed more than expected to 2.8% in June (from 3.2% in May), pulled down by France and Germany. Core inflation (2.4%, -0.2 pp), energy (8.7%, -2.2 pp) and food/alcohol/tobacco (1.6%, -0.3 pp) all fell. Price increase intentions indices in the EC survey fell across nearly all sectors (manufacturing, services, retail, construction). The jobless rate stabilised at a record 6.2% in May. Household unemployment expectations remain, in May, close to their post-Covid high, however major purchase intentions recovered further. The composite PMI for June was revised higher to 50.0, marking exit from contraction. The housing market remains buoyant: house prices climbed by 1.0% q/q in Q1 and 4.7% y/y, led by Portugal (+17.8% y/y).

UNITED KINGDOM

Strong activity despite services contraction. GDP expanded by 0.6% in Q1 2026. Fixed capital formation increased by +0.4%, compared to earlier estimations of -0.1. The manufacturing PMI was revised down to 52.5 in June (flash of 53.1, (-1.4 pp m/m). Industrial output accelerated to its highest level in 21 months. Services and Composite PMIs were confirmed lower at 48.8 (-0.5 pp m/m), and 49.3 (-0.4 pp m/m) respectively. Firms' expectations for year-ahead CPI inflation fell to 3.3% in June, from 3.7% in May, while plans to raise own prices remain unchanged at 4% in the coming year (BOE Decision Maker Panel survey).

UNITED STATES

Decent economic data, Fed independence ring-fenced, Presidential powers boosted. Nonfarm payrolls grew by a well below expectations 57k in June (consensus: 114k), down from 129k in May, with gains primarily driven by healthcare; April-May payrolls were revised down by a cumulative 74k. This pace remains well above 2025's and is sufficient in our view to keep the unemployment rate trending down. Indeed, it unexpectedly fell to 4.2% amid a decline in participation. Manufacturing activity is still expanding but more slowly: the ISM index slipped to 53.3 in June (-0.7pp). Consumer confidence (Conference Board) rose slightly (91.2, up 0.6pt). Encouragingly for the Fed, the prices-paid gauge fell but stayed elevated (73.0, -9.1pp).

The Supreme Court blocked Governor Cook's dismissal with a 5-4 majority, on procedural grounds. But it also noted that upholding the President's decision would "in effect transform the Fed's for-cause protection into at-will employment", which effectively means it reserves the right to determine what constitutes "cause".

Find out more in our scenario and forecasts

Donald Trump vowed to "take immediate action". Other Executive Agencies' Heads hitherto considered to benefit from "for cause" employment protection (such as the Federal Trade Commission) were not so lucky. In a 6-3 decision, the Court ruled unconstitutional that protection, overturning a 91-year-old precedent (Humphrey's Executor).

USMCA: Negotiations to continue after US declines to renew the agreement. Mexico, Canada, and the US were unable to reach an agreement to renew the USMCA by the July 1st deadline. Discussions are ongoing and are expected to focus on rules of origin, the automotive sector and critical minerals. In the absence of a joint agreement, the treaty remains in effect under its current terms until 2036 but will now be subject to annual reviews.

JAPAN

Bullish business, strong wage growth, fragile yen. In Q2, the TANKAN headline index (all enterprises, all industries) held steady at 18 despite the Iran war shock. Large-manufacturer sentiment surprised sharply higher (+22, highest since 2018 and up from 17 in Q1, while expectations were for a decrease to 16). Large enterprises revised their FY 2026 CapEx growth forecasts to 11.2% (up from 3.3%). Firms also lifted their output-price projections at every horizon (up 0.6pp to 3.7% at one year, up 0.5pp to 6.1% at five years). Wage growth will top 5% for the 3rd year in a row following the conclusion of the annual Rengo negotiation round. After climbing to a near 40-year high of 162.63 on Tuesday 30, the USD/JPY exchange rate ended the week at 161.02 (vs. 161.73 the prior Friday), following growing expectations of additional FX intervention by the Ministry of Finance.

EMERGING ECONOMIES

EMERGING MARKETS

Broadly positive activity picture from June PMIs. In China, PMIs indicated a slight improvement in activity in both manufacturing and services in June: official PMIs rose a tad and stood just above 50 (manufacturing PMI at 50.3 and services PMI at 50.4), whereas PMIs released by RatingDog decreased slightly but remained in expansionary zone (manufacturing PMI at 51.7 and services PMI at 54.1). **In Malaysia, Thailand and the Philippines**, manufacturing PMIs improved and were higher than 50. **In Taiwan and South Korea**, PMIs declined slightly but remained well above 50. **Indonesia** was the only major Asian country where the manufacturing PMI both fell and was below 50. **In CEMEA**, the picture is mixed, with activity in expansion and improving in **Czech Rep. and Hungary**, and the reverse **in Poland, Romania and Türkiye**. In the Gulf, PMIs fell in the UAE but remained slightly above 50 and continued to improve for Saudi Arabia. **Brazil and Mexico** both saw manufacturing PMIs improve and exceed 50 (in Mexico for the first time since August 2025).

EUROPE - MIDDLE EAST - AFRICA

Poland: Inflation falls further. June's inflation came in at 2.5% y/y (vs. 3.1% y/y in May). Going forward, an uptick in inflation is not ruled out following the end of temporary measures on fuel prices in June.

Ethiopia: Government reaches debt restructuring deal with holders of its USD 1 bn Eurobond. It implies a 12% principal haircut, which is moderate compared to previous African sovereign debt restructurings.

ASIA

Vietnam: Q2 2026 GDP data show no sign of the energy shock. Real GDP growth accelerated from a revised 7.9% y/y in Q1 to 8.4% in Q2, supported by strong industrial production (+10.3% y/y in Q2).

LATIN AMERICA

Argentina: Decline in activity in April and rise in poverty. The monthly GDP proxy contracted by 1.5% in April after a short-lived rebound in March, underscoring a trend of uneven growth more than halfway through President Javier Milei's term. Growth remains concentrated in a few competitive tradable sectors, notably agriculture. Besides, the poverty rate in Buenos Aires rose to 21% in Q1 2026, after five quarters of decline.

Colombia: Central bank resumes tightening cycle, raising its key rate by 75bp to 12%. Inflation rose to 5.8% y/y in May. President-elect A. de la Espriella vowed to respect central bank independence.

Peru: Conservative candidate Keiko Fujimori was elected president, with 50.1% of the vote. Fujimori's victory was widely expected and did not trigger any reaction in the financial markets. However, the political situation is likely to remain extremely tense in the short term.

COMMODITIES

Energy. Significant but incomplete relief. Oil prices remained near pre-war levels this week (approx. 72 USD/b) as traffic through the Strait of Hormuz has been progressively recovering. However, it remains far below pre-war level (30-60 per day vs. 130 on av). Accelerating the decline in price are buffers that remain in place, Chinese oil imports have not yet recovered, and US Strategic Petroleum Reserves continue to register a significant weekly decline (by 5.5 mb/d during the week of 26 June). Meanwhile, European spot gas prices (TTF) rebounded to 45 EUR/MWh on Friday, a 43% increase since February 27th. Prices are supported by the ongoing European inventory rebuilds (48% full vs. 56% a year before) and the heatwave in Europe.

OPEC+ members announced another rise in quotas of production to be implemented in August 2026. This modest rise (0.188 mb/d compared to a total required production of 31 mb/d) remains theoretical as long as the traffic in the Strait of Hormuz remains constrained.

BI-ANNUAL CONFERENCE | THE GLOBAL ECONOMY IN THE MIDST OF SHOCKS: BETWEEN UPHEAVAL AND RESILIENCE

TRANSCRIPTION

0:00:06 – Emmanuel Laborde

Hello everyone and thank you for joining us for this latest half-yearly BNP Paribas Economic Research conference, as we approach the end of June – or rather, mid-June – on this Tuesday afternoon. We are extremely pleased to see so many of you tuning in, as always. We are here live to discuss two key topics from the economic news, which we will explore in more detail. Before we proceed, I would like to say a few words about our audience, as more and more of you are following us.

As you are aware, this event has been accessible not only to BNP Paribas employees but also to our clients for some time now. This event is therefore now open to the general public. A brief moment for an important reminder: the disclaimer under the Markets in Financial Instruments Directive (MiFID II). We wish to clarify that the various presentations you are about to attend, as well as the comments made during this conference, do not constitute investment advice. Having said that, let us move on to the agenda. Today, we will be discussing two topics in depth, both of which are, once again, highly relevant to current events. For several half-years now, economic developments have significantly influenced our editorial focus. The first topic is the global economy in the context of the energy crisis. Of course, this title refers to the conflict in Iran at a rather unusual juncture, especially given that developments over the past 48 hours have been moving in the right direction – or so we hope, at any rate. Nevertheless, oil prices have been consistently hovering around, or even above, $100 a barrel for many weeks and months, with a correction since Sunday evening – although this is merely a temporary blip for the time being.

These elevated prices have undeniably affected the world's economies. We shall try to identify the specific consequences and then see what opportunities this might open up for us, particularly in relation to fossil fuels.

The second topic, which is consistently relevant in our lives and both fascinating and frightening, is artificial intelligence – AI, particularly generative AI – which is shaping up to be an extraordinary driver of growth, with colossal investment currently taking place in the United States, China and Europe. We will explore how it is transforming our economies and the opportunities it presents. Additionally, please don't forget that at the end of each session – as this is an interactive event – we'll be very happy to answer your questions. You're welcome to ask them at any time.

The teams of moderators are working behind the scenes, keeping cool – lucky them – and collating your questions. We'll set aside five minutes at the end of each presentation to answer them. It's time to begin. I believe that at 4:04 p.m., you're all here.

First up, we'll start with a brief introduction from BNP Paribas' Chief Economist, who, as is customary, will open this half-yearly conference. That's Isabelle Mateos y Lago. Jingle!

Just enough time for a quick sip of water, and here we are back on set. Hello, Isabelle.

0:03:01 – Isabelle Mateos y Lago

Hello, Emmanuel, hello everyone.

0:03:02 – Emmanuel Laborde

Let's start with a few words to set the scene, if you don't mind, particularly on this first topic. We're going to talk about the conflict in Iran and its economic consequences. Among the indicators we have – indicators reflecting the health of the global economy – are, of course, the stock market indices. Whether in the US on the Nasdaq or the Dow Jones, or in France or across Europe with various indices, we're approaching historic highs. This stands in contrast to the situation in Iran, which remains exceptionally serious and ongoing.

Yet the situation there seems to be improving. is there a potential disconnect between the perception of the stock markets and the reality we are experiencing?

0:03:40 – Isabelle Mateos y Lago

That's an excellent question that I'm asked very often, and I think that, in truth, there is no disconnect. First of all, while the performance of the US stock market is indeed President Trump's favourite indicator, there are significant differences in the composition of stock market indexes and economies. In fact, the tech sector has been the primary driver of the stock markets' upward trajectory. So, the more tech there is in a market, the higher the returns have been since the start of the year.

For example, the Nasdaq is up by nearly 40 percent, the S&P 500 by nearly 20 percent, whereas European markets – where there is less tech – have risen by only a few basis points since the start of the year. Ultimately, all of this is fairly consistent with the outlook for growth, which, although negatively affected by the conflict in Iran, remains positive.

The second point, which serves as important context for our discussions throughout this conference, is that we are actually facing two simultaneous shocks. We are dealing now with what I would call a cyclical shock. The most recent of these is the war in Iran and its impact on energy prices and inflation. However, underlying this are profound structural shocks – geopolitical, economic and technological paradigm shifts – that create such a pressing need to adapt that they stimulate investment and economic activity. So, what we're going to do over the next hour is to try and unpick these two elements to shed some light on the economic outlook.

0:05:18 – Emmanuel Laborde

Between optimism and a hint of concern, where does the balance lie? That's what we're going to try and unpick. In this first segment, we'll be looking specifically at the conflict in Iran with Guillaume Derrien and Pascal Devaux. Hello to you both. Guillaume, of course, will be covering the economic aspect.

0:05:30 – Guillaume Derrien

Yes, hello Emmanuel, hello everyone.

0:05:32 – Emmanuel Laborde

And with you, Pascal, whenever we see you, it's always to talk about energy and oil.

Pascal Devaux

Hello Emmanuel, hello everyone.

Emmanuel Laborde

We'll start with you, Pascal, if you don't mind, as I was talking about indicators – specifically, stock market indices – but there's another one that serves as an excellent gauge of the global economy's health: the price of energy. In this context, the prices of commodities such as oil and gas have seen huge increases since the blockade of the Strait of Hormuz.

The primary question is this: what happened in the Strait of Hormuz represents an entirely unprecedented situation, both in terms of energy and the economy.

We've never seen anything like it before.

0:06:09 – Pascal Devaux

In terms of energy, it is true that this is an unprecedented shock, as around a quarter of global oil trade passes through the Strait of Hormuz. So, it is really significant. It's also worth noting that the shock was somewhat mitigated by three factors. Firstly, there were alternative pipelines, particularly in Saudi Arabia and the United Arab Emirates. A second mitigating factor was the significant reduction in strategic reserves held by OECD countries, particularly the notable decrease in US strategic reserves.

And finally, the third factor was a significant reduction in Chinese imports, and we know that China is one of the world's leading oil importers. These factors helped mitigate the impact. Nevertheless, prices still reached very high levels.

Between early March and late June, the average price of a barrel of Brent crude exceeded 100 dollars. This is indeed a considerable figure. It can be said that this situation is unsustainable without the reopening of the Strait of Hormuz, and we are likely to encounter mounting tensions in the coming weeks.

0:07:20 – Emmanuel Laborde

We are therefore anticipating this reopening – we're keeping it conditional – as it's scheduled to take place on Friday, although there have already been numerous announcements to that effect. Crude oil prices have therefore risen sharply, as you've pointed out, and the prices of refined products – which have a direct effect on consumers and the economy – have also seen very high inflation.

0:07:36 – Pascal Devaux

Yes, in fact they've risen even more sharply than crude oil prices. Refined products are, broadly speaking, road fuels and aviation fuels. It's important to note that the Middle East and Asia account for around half of global refining capacity, and that these two production hubs supply not only Asia but also, to a large extent, Europe. Therefore, in terms of pricing, we've seen that the average price of refined products on the Asian market has doubled, with an increase of around 50 percent in both US and Europe.

Furthermore, a few remarks can be made about naphtha. Naphtha is an essential component for much of the petrochemical industry and also for the plastics industry. What we have seen is that, despite a decline in demand and a reduction in stocks in Asia, naphtha prices on the Asian market have also doubled.

0:08:31 – Emmanuel Laborde

Everything you're describing here relates to oil. My question encompassed energy sources, including gas as well. Are we seeing exactly the same trend in that sector?

0:08:39 – Pascal Devaux

Yes, well, it's a bit different – naturally, the markets vary – but we've also seen a sharp rise in gas prices. Since the start of the year, the price of gas on the European market has risen by around 30 percent. That's still nowhere near what we saw during the 2022 energy crisis, when prices doubled over a much longer period. We have therefore been relatively less affected than during the 2022 crisis because Europe is less dependent on gas imports from the Middle East.

We import less than 10 percent of our gas needs from the Middle East. Another factor that may have worked in our favour – or rather, did work in our favour – is that this crisis occurred at a time of relatively low demand; it happened just after winter, when gas consumption is slightly lower.

Furthermore, on the Asian market, there has also been a decline in LNG imports. This is partly due to the fact that there were relatively high level of LNG stocks in Asia, even though it is not as easy to store as oil. Secondly, in some countries there has been a shift towards alternative energy sources, particularly in the electricity mix, leading to an increase reliance on coal in certain Asian countries.

0:09:56 – Emmanuel Laborde

Let me remind you once again, we are broadcasting live this Tuesday afternoon, 16 June. If you're watching us during the repeat broadcast, this will help you date our comments. We are in the run-up to Friday, when the peace treaty is due to be signed. We're going to engage in a challenging economic exercise: forecasting. Let's imagine that the situation improves sustainably, and the Strait of Hormuz is reopened. What can we expect in the short term? What will be the impact on energy prices as early as this summer?

0:10:24 – Pascal Devaux

Making forecasts is an exceptionally challenging task, especially in tense situations and in such volatile markets. Nevertheless, we can assert that even if the Strait of Hormuz reopens in the coming weeks, we anticipate that oil prices will remain elevated. This is partly due to the time it will take to bring all the facilities in the Middle East back into production. The timeline for this restoration can vary significantly, taking a few weeks in some countries like Saudi Arabia, while in Iraq, it may extend to several months due to the longer process of restarting oil production facilities.

That is one contributing factor. Another important aspect is that, once the Strait reopens, global demand will remain strong, particularly as consumer countries will need to replenish their reserves.

Current stock levels are extremely low – at an all-time low – so this restocking demand will push prices up. Furthermore, although we are at the start of a process, having just extended a ceasefire and preparing to address some difficult issues, we can assume that geopolitical tensions in the region will remain fairly high. This geopolitical factor will further contribute to rising prices, leading us to expect prices to remain in the region of $80 a barrel.

0:11:49 – Emmanuel Laborde

In other words, there's a psychological factor at play that goes beyond mere production capacity. – Yes, exactly. – Quite right. This is a bit of a trick question, but it'll be the last one. How might we return to, and when might we return to, the price levels seen at the start of 2026?

0:12:02 - Pascal Devaux

– Well, I don't have a clear answer to that, but it's linked to… It's linked to so many factors that we can't answer that. Nevertheless, one key factor we've just mentioned is the geopolitical situation. If we assume that geopolitical tensions in the region continue to ease, we can envisage a return to previous price levels – pre-war prices in Iran – starting from the second half of 2027 onwards.

0:12:32 – Emmanuel Laborde

Thank you for your frankness in that answer. So the agreement that's been signed should somewhat alleviate geopolitical concerns in the region – we all hope so, at any rate. Even so, we can expect – and bear with me here, as I'm about to use some rather complex terminology – the potential for stagflation or even a recession. Guillaume, I can see you nodding. In advanced economies where structural growth is, in fact, rather weak, do you foresee this type of scenario in your economic research?

0:12:57 – Guillaume Derrien That wasn't part of our baseline scenario and the likelihood of an agreement being signed and the easing of tensions between Iran and the United States reinforce this view. To give a few figures, in the US, we expect growth to remain robust at over 2 percent in 2026-2027, although inflationary pressures are expected to increase, and not just because of energy. Inflation in the US exceeded the 4 percent mark in May. However, we have made fairly significant downward revisions to our growth forecasts for the Eurozone, with an anticipated growth rate of 0.6 percent in 2026, down from the previous estimate of 1.6 percent.

As for Eurozone inflation, we predict it will reach 3 percent – slightly higher – in 2027, because, as Pascal rightly pointed out, we expect energy prices to remain at a high plateau next year.

Furthermore, the underlying message may be that this conflict in the Middle East is undermining the recovery we had anticipated, but it does not entirely negate it. We believe that there are still significant structural supports in place in 2026 that will extend into 2027. Investment cycles, in particular, remain on a positive trajectory. This obviously includes AI and digital investments in the United States. In Europe, we also have rearmament initiatives and support linked to the electrification programme, which is gaining momentum.

0:14:15 – Emmanuel Laborde

These are colossal projects, particularly the AI initiative, which is set to attract substantial investments and, we hope, stimulate growth. We'll discuss that topic in the second segment. Another point to bear in mind, perhaps, is that. although it may seem a long time ago, the economic situation in early 2026 was actually rather good, and we can envision that this trend will continue.

0:14:35 – Guillaume Derrien

Yes, we mustn't forget the starting point. The global economy was on a solid footing before the outbreak of the conflict in Iran. As we've said, growth in the United States remained robust in 2025, which continued into the first quarter of 2026. In the Eurozone too, growth was on a more gradual recovery path than in the US. Furthermore, if we look specifically at the labour markets, they have remained – and continue to remain – very tight on both sides of the Atlantic. Thus, the current situation is one of resilience.

0:15:02 – Emmanuel Laborde

What's the key takeaway here? Is there ultimately little or no risk of a recession?

0:15:05 - Guillaume Derrien

To fall into recession, the shock would need to intensify and spread, leading to potential shortages in energy and, consequently, in industrial inputs, particularly in the chemicals sector and for semiconductors. While this scenario cannot be entirely ruled out at this stage, the prospect of the Strait of Hormuz reopening does help to mitigate these concerns somewhat.

0:15:29 – Emmanuel Laborde

The Strait was closed on 13 April, which was just over two months ago. Even if it reopens, the repercussions are still being felt; we know that there is a delay in economic models. What economic consequences can we already observe in emerging economies?

0:15:42 - Pascal Devaux

Well, regarding emerging economies, starting with inflation, we've seen a rapid yet relatively contained effect on average inflation across these markets, with a year-on-year rate of 4.5 percent in February, rising to an average of 6 percent in April. This is significant, but not excessively high. In terms of growth, we've seen downward revisions to growth forecasts, but these revisions are moderate for both 2026 and 2027.

Against this backdrop of inflationary pressure and growth holding steady at a satisfactory level, central banks in emerging markets have, on average, put their monetary easing policies on hold for the time being.

If we take a step back, we can also see that the revisions to growth and inflation forecasts have been more significant for advanced economies than for developing ones. Of course, this is excluding the Gulf states, which have been severely affected in terms of growth. Furthermore, another point worth highlighting is that, in terms of macroeconomic fundamentals, the disparity between advanced economies and the most developed emerging economies is narrowing; this is indeed a noteworthy development.

If we look at the situation in a little more detail, specifically within the emerging world, it is clear that Asian countries have been the hardest hit, given that they are the most dependent on hydrocarbon imports from the Middle East.

As a result, many Asian countries have experienced sharp spikes in inflation, fuelled by substantial currency depreciation. A few words on Türkiye, which is always an interesting country to watch, particularly in times of crisis. In Türkiye, we continue to see a persistently high inflationary environment. There has also been a notable depreciation of the currency, which has been more severe than the average currency depreciation seen in other emerging markets.

Another point worth highlighting is the sharp rise in yields on sovereign bonds within the Turkish market.

0:17:56 – Emmanuel Laborde

In times of heightened tension, such as those we have just experienced, we tend to look back, at least over the medium term, for examples that might provide reassurance and additional indicators. If we look back to 2022, the responses from central banks were remarkably aggressive, with rates being increased by 400 basis points. Is this a scenario we might see again?

0:18:19 – Guillaume Derrien

Well, as for rate rises, yes, we do expect them. In fact, some central banks have already started to raise rates gradually. However, we do not foresee anything on the same scale as what we saw in 2022. The main reason for this is that the anticipated level of inflation for this year is expected to remain much lower than in 2022. We must remember that in 2022, the energy shock occurred in an overheated economy characterised by very strong demand due to the recovery and reopening of the global economy following the Covid pandemic.

Inflationary pressures had already started to materialise even before the outbreak of the conflict in Ukraine. In that context, companies were better able to pass on their rising costs to selling prices. We were also seeing wages pressures begin to intensify. Today, however, we find ourselves in a rather different situation.

In 2022, everything was essentially coming together. It is important to note that inflation in the Eurozone, in particular, exceeded the 10 percent threshold in the autumn of 2022.

0:19:13 – Emmanuel Laborde

It was monumental. We'd almost forgotten, but that figure was truly staggering. So, basically, we're not in the same situation at all.

0:19:18 – Guillaume Derrien

Yes, as I said, supply-side pressures are not as intense. Demand is contributing less to inflation, and given that wage growth is subject to a certain degree of inertia, particularly in the Eurozone, we expect them to moderate and remain at a stable growth rate in 2026. Moreover, when one reads or listens to central bankers, particularly those at the ECB, of the concern regarding a wage-price spiral is now mentioned less frequently, in contrast to the extensive focus it received in 2022.

Currently, this risk is not as urgent, and central bankers are placing less emphasis on it.

0:19:58 – Emmanuel Labrode

Having mentioned the ECB, let's continue with that topic for the moment. As we reach mid-June, there have already been some responses. What can we expect? What has been the reaction so far, and what can we expect next from the other central banks?

0:20:08 - Guillaume Derrien

The ECB raised its policy rates by 25 basis points last week. Another 25-basis-point rise is expected, probably in September. As for the Fed, that is where the revisions were most significant. We now expect three consecutive rate hikes starting in December. Growth in the United States and the labour market remains strong. Inflationary pressures remain high, with the inflation rate currently at 4 percent.

Thus, against this backdrop, it can still be asserted that the existing real interest rates remain accommodative – and likely much more so than the US Federal Reserve had anticipated when they cut rates last year.

Emmanuel Laborde

One final point regarding the Bank of Japan?

Guillaume Derrien

Yes, well, the Bank of Japan is following a slightly different path – one of monetary policy normalisation after years of low interest rates.

It raised its rates this morning; we still believe it will adhere to a very gradual approach to monetary tightening, but at a level that remains quite accommodative today compared with other central banks.

0:21:07 - Emmanuel Laborde

However, once again, the Japanese economy operates in a unique context, with a monetary policy that is distinct from the rest of the world. We'll be taking your questions in a few moments; please feel free to send them to the moderator – we'll be happy to receive them in three minutes' time. As you are aware, we do our utmost in this half-yearly session to draw on a wide range of sources for our information, aiming for objectivity while also incorporating a sense of positivity. We strive to achieve this every time, regardless of the topics discussed. In this particular case, what opportunities might be arising? What positive developments can we expect, particularly for Europe, Pascal?

0:21:39 - Pascal Devaux

Yes, so one of the positive developments we can expect is, in particular, what we already saw in 2022: a focus on energy security. As a result, European countries, aiming to reduce their energy vulnerability, will seek to diversify their supply sources, despite the acknowledged limitations in diversification options, particularly in the hydrocarbon markets. Additionally, a significant factor in mitigating this vulnerability is an increase in storage capacity for all oil and gas products.

Another factor, which is perhaps a little more positive – at least from my point of view – is that this energy crisis, being the second of its kind in four years, could serve as a catalyst or wake-up call for European governments, potentially expediting the transition to low-carbon energy. This acceleration of the low-carbon transition could be facilitated, in particular, by production capacities in key segments of the transition in China, along with substantial stockpiles there, which could lead to decreasing prices that would further facilitate this transition. One example of this trend is the sharp fall in battery prices we have been seeing for some time, affecting both stationary batteries and vehicle batteries.

And we know that batteries are a key element of the low-carbon transition.

0:23:10 – Emmanuel Laborde

Just before we take your questions, the same question for you, Isabelle: is there a glimmer of optimism in anything we've just discussed?

0:23:15 - Isabelle Mateos y Lago

Yes, absolutely, particularly with regard to Europe. I'd like to add to what Guillaume was saying earlier: a major difference compared to 2022 is that, at that time, the ECB was just emerging from several years of negative interest rates and was buying massive quantities of government bonds every month. Why? Because there was such a chronic shortfall in domestic demand that had to be offset. That is no longer the case at all. The initial rate was 2 percent, and we are now at 2.25 percent, which remains within the neutral rate range.

Furthermore, the ECB is in the process of reducing its balance sheet; it is no longer buying any sovereign bonds at all. But beyond that, I see five more fundamental reasons, on which I have, incidentally, recently published a short editorial – which I am now shamelessly promoting – and which will be posted on the conference website.

0:24:09 – Emmanuel Laborde

We'll include a link to it, yes.

0:24:10 - Isabelle Mateos y Lago

The first reason pertains to European industry. Every day we see alarmist headlines proclaiming the demise of European industry. However, such claims are exaggerated. What is undeniable is that European industry is undergoing a transformation. This transformation entails both destruction and creation. Nevertheless, Europe continues to be a net exporter of manufactured goods on a global scale. The second aspect pertains to services. By contrast, nobody ever talks about this. Europe is a superpower when it comes to exporting services, ranking first globally, far ahead of the United States, which holds the second position.

This focus is particularly on services that offer higher added value.

Thirdly, tech.I don't want to say too much about this as we'll be discussing it in the upcoming panel. but we're talking during VivaTech week. Admittedly, the tech sector in Europe, while not yet on par with that in the United States, is making considerable efforts to bridge the gap.

Fourthly, we are witnessing a genuine political shift in the way economic policies are formulated in Europe. It appears while the Draghi report failed to galvanise European policymakers into action, the combined shocks of the invasion of Ukraine, Liberation Day, and threats to Greenland, finally prompted European leaders to recognise the urgent need to boost growth and strengthen our strategic autonomy, backed by robust industrial policies.

We're only at the very beginning; we can't see the effects yet, but I'm convinced that within the next five years, we'll see a tangible impact. Fifth and final point: the geopolitical landscape, which has been unfavourable in recent years, is starting to shift in the right direction. There was a significant political shake-up in Hungary a few months ago and we're starting to see faint indications that the war in Ukraine may be nearing its conclusion. It is now 2026, ten years after Brexit. There has been a complete shift in opinion in the United Kingdom, with a large majority of Britons now considering that leaving the European Union was a mistake and wanting a closer relationship. More generally, Europe – once again under pressure from current events is actively engaged in forging new partnerships with the Gulf states, India and Mercosur. While these initiatives have commercial implications, they are primarily driven by geopolitical considerations. I think all this will give Europe a real boost over the coming years.

0:27:01 – Emmanuel Laborde

We'll now take your questions, if the production team can bring them up for us. We'll address them in the order they are presented. Wasn't it a mistake for the ECB to have raised these rates, especially when the Fed and the Bank of England did nothing of the sort? Now, when it comes to central banks, I know, Isabelle, that this is a subject on which you could talk for hours.

0:27:21 - Isabelle Mateos y Lago

Yes, right, I'll take this one, with guidance from Guillaume. I understand this is a prevalent opinion and a question I'm often asked. Personally, I don't share this view. Firstly, the ECB's interest rate before the increase was 2 percent. In contrast, the Fed's rate stands at 3.5 to 3.75 and the Bank of England's at 3.75. So we can already see that we're starting from distinctly different positions. Furthermore, in the macroeconomic projections presented by the ECB last week at the Monetary Policy Council meeting, which included a whole range of scenarios, in every single scenario, inflation is projected to exceed 3 percent this year and is not expected to return to its target until the second half of next year.

Moreover, between two and three rate increases are implicitly factored in. Therefore, in all scenarios, implementing this rate increase last week seemed perfectly reasonable; moreover, across all scenarios – not only those of the ECB but also aligns closely with our own assessments –the impact on growth is minimal. From my point of view, the mistake would have been to refrain from implementing this rate increase, which could have destabilised the markets and led to an even greater rise in bond yields – yields that have already risen by several tens of basis points since the start of the conflict, posing a significant challenge for heavily indebted sovereigns who must consequently pay more to service their debts.

So, as far as I'm concerned, there's no question about it: it wasn't a mistake.

0:29:03 – Emmanuel Laborde

Guillaume, my second question: is this energy crisis likely to undermine the competitiveness of European businesses, particularly in relation to China?

0:29:11 – Guillaume Derrien

Well, that's a good question, Emmanuel. I'll answer in two parts. Firstly, I must say that the rise in energy costs will indeed continue to weaken certain sectors of industry that were already grappling with structural difficulties due to Chinese overcapacity. These include, in particular, energy-intensive industries such as chemicals, plastics manufacturing and metallurgy. However, it's particularly important to consider the comparison with 2022. Today, we're facing a shock that is fundamentally different in nature.

In 2022, the shock was largely confined to Europe, characterised in particular by a spike in gas prices that we are not seeing today. Today, the shock is global, and from this perspective, China is not immune to rising energy costs. In fact, we are seeing an increase in inflation and producer prices in China.

For Europe, the challenge extends beyond energy prices; it is quite simply a question of structural competitiveness. As Isabelle pointed out, numerous industries in Europe remain competitive. Notably, the pharmaceutical and aerospace sectors, particularly in France, are performing well. Therefore, the primary concern for Europe regarding China transcends mere cost competitiveness; it encompasses structural competitiveness that prioritises innovation above all else.

0:30:34 – Emmanuel Laborde

Right, let's take a minute. I don't know if you can see it on your screen, but I've got it on my iPad – it's for you, Pascal. Let us revisit our earlier discussion on prices. Can oil prices return to their pre-crisis level, i.e. around $65?

0:30:47 - Pascal Devaux

Yes, well, certainly not in the short term. However, it might be conceivable from the second half of 2027 onwards. If we recall the points we made earlier, several factors will contribute to sustained price increases in the short term: the ongoing geopolitical risks in the region and the necessity for most countries, particularly those in the OECD, to replenish their reserves. This is also a factor in keeping prices high.

Additionally, a short term factor includes the time it will take for all the ships currently blocked to the west of the Strait to pass through it, as well as the time needed to bring all the production platforms in the Gulf back online. this process could take anywhere from several weeks to several months. Thus, the prospect of $65 a barrel is not imminent, at least not by the end of the year.

To give a full answer, there is indeed a great deal of inertia.

0:31:40 – Emmanuel Laborde

Thank you very much to both of you. We're now going to move on to the second topic: artificial intelligence, which is completely transforming our professional and personal lives. We'll be dedicating a whole segment to exploring its consequences and economic implications. Let's get started – please hold on for a moment while we play a jingle.

0:32:01 -

0:32:07 - Emmanuel Laborde

Make yourselves comfortable. Yes, we're having a glass of water, but it must be about 28 degrees on set, and you'll understand that we need to stay hydrated on this lovely, almost summery day. Artificial intelligence – Isabelle, could you give us a bit of background to start with? It's a subject where, the more you dig into it, the more you realise that the changes are going to be profound and significant. You also realise that they might be difficult to pin down. Is that a fair way to describe it? The only thing that's certain is that the changes are here, and many more are on the horizon.

0:32:41 – Isabelle Mateos y Lago

Well, I believe that, for the most part, the significant changes haven't actually happened yet. What we've seen is really just the very beginning. I think we should expect fundamental changes in how we produce, consume, entertain ourselves and teach. No sector of the economy – or even the way we are governed – will be spared. But I believe that when we consider the economic impact – and, indeed, much as with all previous technological revolutions – it is important to distinguish between three phases.

First, there is a phase of infrastructure development. In this context, this refers to data centres and fibre-optic networks suited to the age of artificial intelligence. Then there is a phase of adoption, meaning roll-out across the entire economy.

And then there is the new steady state, once everything is in place. Achieving this new steady state may take up to two decades. For the moment, we are really only at the very beginning. While I believe we are starting to get a handle on certain aspects, we mustn't overestimate our ability to predict the future.

0:33:50 – Emmanuel Laborde

Once again, the best is yet to come. This second presentation is entitled 'A Transformative Shock: Artificial Intelligence, Mining, Chips and the Entrepreneur'. We're going to cover all areas of activity, from minerals and the construction of those famous data centres to the changes in our lives as entrepreneurs or intrapreneurs – changes that are already quite significant. Stéphane, let's start with you, if you don't mind. We'll take the emergence of generative AI as our starting point. Although artificial intelligence has existed in laboratories for a very long time, its widespread adoption, its arrival, and the initial disruption it caused in our professional lives can be traced back to the launch of ChatGPT in November 2022.

What can we say about it today, three and a half years after it burst onto the scene in our professional lives?

0:34:37 – Stéphane Colliac

First of all, we can say that artificial intelligence represents a wave of innovation. This wave of innovation will have an impact in terms of inflation, productivity and the labour market. Additionally, it fosters an increase in business creations. Entrepreneurs are developing new solutions that will eventually be incorporated into the economy. This rise in business creations is particularly noticeable in the United States and Europe, where we have seen a 10 percent year-on-year increase in business creations since the start of the year in both regions.

Naturally, this raises questions, which we'll address – particularly regarding productivity, what we can expect in this area, and the relationship between artificial intelligence and the labor market.

0:35:13 – Emmanuel Laborde

Productivity is a term that will come up very often in this presentation. To begin with, let's look at the foundations of AI: the hardware. We need to build these data processing facilities known as data centres. There can be no AI without semiconductors, and no semiconductors without the critical metals they contain. This situation already presents significant initial implications. From an economic point of view, is this the starting point, Christine?

0:35:36 – Christine Peltier

Yes, exactly. You've just identified the main channel through which the rise of AI is driving growth in emerging economies: supply chains. Some emerging economies are very well positioned within these AI supply chains; these are the producers of critical metals, semiconductors and other technological goods. These countries have fully capitalised on – and continue to reap the benefits of – the boom in investment in physical AI infrastructure.

0:36:06 – Emmanuel Laborde

Does that mean that AI-related trade has, in fact, bolstered global trade more generally? Let's not forget that in early 2025, President Trump took office, leading to a wave of protectionist tariffs that raised widespread concern and restricted global trade.

0:36:25 – Christine Peltier

Indeed, the demand for AI-enabling goods is a major driver of the recovery in global trade in 2025 and 2026. Growth in total goods exports reached 6.8 percent in 2025. Growth in exports of AI-enabling goods was at least double that rate, and this growth is expected to strengthen further in 2026. It is currently estimated that AI-related goods account for around 15 percent of total global merchandise exports.

0:36:59 – Emmanuel Laborde

That's absolutely huge. Who is currently benefiting from this boom? Which countries are faring best?

0:37:05 – Christine Peltier

When it comes to semiconductors, Asia is the undisputed leader. Asia accounts for around 65 percent of exports of AI-enabling goods and up to 85 percent of semiconductors. As we know, the most sophisticated chips come from Taiwan. Taiwanese exports rose by 24% in 2025 and by as much as 40% over the last three months compared with the same period in 2025. South Korea and China are also benefiting enormously from the rising demand for AI-related goods. Countries such as Vietnam, Malaysia and Singapore are also strategically positioned, albeit slightly further down the value chains.

0:37:45 – Emmanuel Laborde

There is also an effect that should not be underestimated: the wealth effect generated from the fast increase in the share prices of certain tech stocks related to AI.

0:37:55 – Christine Peltier

Yes, indeed. The spike in stock prices in certain countries, along with the resulting wealth effect, has supported domestic demand. For example, the benchmark indices of the Taipei and Seoul stock exchanges have doubled over the past year, which is undoubtedly positive for growth.

0:38:12 – Emmanuel Laborde

I'm going to simplify things a little. Can we assert that everything is going well in these countries thanks to AI? Are they the first to benefit from it?

0:38:19 – Christine Peltier

Well, there's always room for nuance. The exceptional performance of AI-related sectors may mask the more mediocre performance, in some countries, of sectors that depend on domestic demand, those that are more affected by the energy crisis, or sectors directly affected by Chinese competition.

0:38:41 – Emmanuel Laborde

We have expressed interest in all sectors influenced by AI. Could you provide some insights on critical metals. They're relatively hard to come by on the planet. Who stands to benefit?

0:38:53 – Christine Peltier

For producers of critical metals, the first thing to note is that they are rather concentrated, like chip manufacturers. For example, lithium and copper are predominantly sourced from Latin America, cobalt from the Democratic Republic of Congo, and nickel from Indonesia. Furthermore, it can be stated that the production of these critical metals, along with the increasing demand associated with the AI boom, have a rather limited impact – a rather limited direct impact – on the economic growth of the producing countries.

Emmanuel Laborde

Why is that?

Christine Peltier

Because, on the one hand, producing countries export these critical metals in their raw state, and secondly, because the quantities required are very small. Overall, raw materials account for around 3 percent of total exports of AI-related goods, so the volumes are fairly small.

0:39:47 – Emmanuel Laborde

Now, let's shift out focus to the United States, where talk of investments and new solutions are a daily occurrence in the news. We're constantly bombarded with this information, sometimes accompanied by staggering figures. The measurements are in billions or tens of billions. We're not used to sums like that, whatever type of economy we're talking about. Stéphane, is the development of AI really as rapid as it seems in the United States?

0:40:12 – Stéphane Colliac

Well, at the very least, it's fast. Is it as fast as it seems, given the sums being bandied about? It is fast. Several studies have tried to estimate the size of the artificial intelligence sector in the United States, including one by Korinek and McKelvey, which suggests that this sector is roughly the same size as the entire US air transport industry, which we know is highly developed. That amounts to around 250 billion dollars, which is not far off one percentage point of GDP, and all this growth has taken place in just three years.

We need to put this into perspective. This means annual growth of 140% in this sector by 2024-2025. this growth has been a crucial factor that has enabled US growth to remain above 2% over the past three years, despite the slowdown in previous growth drivers.

Emmanuel Laborde

So, very good figures and a very positive trend in the United States.

0:40:58 – Emmanuel Laborde

How are things going in Europe?

0:41:00 – Stéphane Colliac

There is a lag, it's true. We cannot deny that. However, the region has potential and inherent strengths. We have already paid attention to the semiconductor manufacturers. Notably, ASML, the company that builds the machines used to manufacture semiconductors, is a key part of Europe's strength. Several countries are at the forefront in terms of investment, particularly the Scandinavian countries, which invest around 7 percent of their GDP in intellectual property products, matching the investment levels of the United States.

The problem we face is that the larger countries are investing slightly less. Consequently, we are falling behind in the production and in the development of artificial intelligence. Fortunately, we have a growing number of projects to build data centres, which should help to make up some of this ground, notably the 93 billion euros announced at the Choose France event.

However, the lag in terms of computing and programming capacities will need to be addressed in the future.

0:41:57 – Emmanuel Laborde

93 billion – that was at the third Choose France event, wasn't it? – The very latest one. – And that was more than the previous two combined – significantly more, in fact. I'm going to be a bit of a stickler here, though: we do hear a lot of people talking about Europe's gap being unbridgeable – is that an exaggeration, or is it a genuine concern?

0:42:15 – Stéphane Colliac

Well, 'unbridgeable' – not necessarily. You have to understand that there are two issues here. There's AI production, and then there's AI use cases. And it's AI adoption that drives productivity. In this regard – I'll start with that – Europe is every bit as good as other regions. When it comes to use cases – the application of AI across various surveys – we're roughly on a par with, or even ahead of, other major geographical regions. On the other hand, it's true that we're lagging behind in terms of production.

However, it is worth noting that the tech sector is growing, just as in other regions. It has risen from 4% to 15% of GDP over the last ten years. Jobs creation was high in the sector, in the same way as business creations – as I mentioned at the very beginning. 1.6 million jobs have been created in the European Union since 2020.

Electricity is largely decarbonised, with 71 percent sourced from renewables and nuclear power. So there are many strengths. We could take inspiration from Arthur Mensch [CEO of Mistral AI], who tells us that we will need to convert these electrons into intelligence.

Emmanuel Laborde

A truly wonderful phrase that we love to repeat here whenever we talk about artificial intelligence.

0:43:20 – Emmanuel Laborde

We're talking about productivity, which is very important. Those words were part of the introduction to your speech. We have also examined the fact that China is banking on AI to significantly boost its productivity. That's one of the key points.

0:43:35 - Christine Peltier

Yes, indeed. China is investing heavily in AI. This effort is aimed not only at reinforcing its technological dominance and competing with the United States, but also at boosting productivity gains. Beijing aims to double per capita GDP between 2020 and 2035. This is, in fact, an ambitious target given the structural challenges that are slowing economic growth in China. Therefore, this target can only be achieved through significant productivity gains. This is where innovation and AI come into their own. Beijing is really banking on widespread, rapid deployment across all sectors of the economy and nationwide to drive these productivity gains.

0:44:16 – Emmanuel Laborde

Still on the subject of productivity, but let's turn our attention back to the United States. Is AI genuinely the catalyst for this productivity growth, which has notably outpaced other regions of the world since the post-Covid period?

0:44:28 – Stéphane Colliac

To put it simply, one could say no. And we wouldn't be far off the mark, because hourly labour productivity in the US has been rising by 2.4 percent a year since 2023. That's roughly one percentage point higher than the annual productivity gains seen before the Covid-19 pandemic. Furthermore, it's closely linked to the digital investments made prior to the advent of AI. This trend is ongoing. There were technological innovations even before AI. The acceleration in productivity in the United States can largely be attributed to the synergy between these digital innovations and changes in the labor market – such as increased remote work, more self-employment, and therefore, the ability to work more efficiently with digital tools.

Emmanuel Laborde

So, in your opinion, there won't be any impact on output linked to AI in the United States,?

Stéphane Colliac

Yes, there will be an impact, but it is yet to come, as Isabelle said in her introduction.

Currently, we're developing AI, yet its application remains limited. The true impact on productivity will emerge through its utilisation. However, we should not overestimate the expected growth in productivity. The figures involved are significant here too. A study conducted by MIT examined the role of a coder. We've heard that there could be a fairly significant substitution between coding and artificial intelligence.

Emmanuel Laborde

Computer programming.

Stéphane Colliac

Computer programming, exactly.

Thank you, you're right to point that out. In the straightforward task of coding – that is, writing code – we could increase productivity by 300 percent by using artificial intelligence. However, does this encompass the entirety of a coder's job? No, because a coder must also ensure that the code is ready for production – in other words, that it's efficient and can be used.

They also have to, in a way, explain these solutions them and liaise with other teams, so that they're used by people who don't write code. So there's a whole range of tasks involved in a coder's job, not just coding. When you factor all that in, the actual productivity gain is just 30 percent. While 30% is still substantial, it's just 30% – it's not 300%.

0:46:31 – Emmanuel Laborde

– Yes, we need to be careful about the marketing that can be done with certain isolated figures and make sure we always consider them in their entirety. We're listening to you very carefully and we can see that, as Isabelle said, this is going to change a lot of things. We'll be taking your questions on this in a few minutes' time, by the way. Isabelle, we're about to enter a phase of substantial growth, and it is fair to say that it's going to be good for our economies, but will it be enough to sort out public finances, which sometimes need improving?

0:47:01 – Isabelle Mateos y Lago

I admire your optimism about the considerable growth that lies ahead, although I'm not sure I'd phrase it in exactly the same way. Clearly, there is a scenario – indeed, there are scenarios produced by virtually all fiscal oversight watchdogs in advanced economies – in which, thanks to artificial intelligence, we could achieve productivity gains of, say, an additional 0.5 percentage points per year. That's a lot, but it's attainable. In such a scenario, instead of aid-to-GDP ratios rising from 100 to 140 percent over the next 20 years, they would only rise from 100 to 110 percent – which, while not ideal, is certainly an improvement.

That said, I believe it would be completely unwise to count on this, as achieving these productivity gains requires more than just the widespread adoption of ChatGPT or any similar technology.

We really need to transform processes across the entire economy in order to optimise the use of AI. I'm confident that this will happen over time. However, while it will no doubt happen over the next 20 years, I think we should remain cautious over the next five years.

0:48:17 – Emmanuel Laborde

We're now going to move on to the pressing issue at hand. AI versus jobs – what should we anticipate in this regard? Would you like to put that into context a little first?

0:48:29 – Isabelle Mateos y Lago

Yes, well, this is a question that arises every time there's a technological revolution – even with the introduction of the spinning jenny. When you look at the figures, the jobs created by these new technologies have consistently outweighed the jobs lost. Why? Because these innovations enable the economy as a whole to grow, to stimulate demand, and so on. So I'd say that, based on historical experience, our initial assumption should be a positive one.

However, history never repeats itself. This particular revolution possesses unique characteristics, notably the speed of its adoption and spread, which could make it more difficult for our economies to manage.

But I'd rather leave it to our experts here to comment on that.

0:49:22 – Emmanuel Laborde

So, to recap, AI versus jobs, Christine, how can we expect that to play out?

0:49:26 – Christine Peltier

A general point to start with: yes, certain sectors will be affected, both in advanced and emerging economies. For the time being, the immediate impact of AI on employment is not clearly visible, but we can anticipate that the development of agent-based AI in the coming years will lead to job losses in certain sectors because it will enable the automation of cognitive and operational tasks. This is a foreseeable outcome.

0:49:53 - Emmanuel Laborde

Are there any examples from emerging economies?

0:49:56 - Christine Peltier

In the emerging world, China is a notable example; the effects of AI and robotisation are starting to raise concerns among the authorities. India is another example, as it has relied on the development of IT services focused on automated tasks and intermediate-level skills. Consequently, India's competitive advantage could erode rapidly. In fact, we are already seeing a slowdown in job creation within the IT services sector.

0:50:26 – Emmanuel Laborde

The first signs are already present. The same question, but this time regarding advanced economies.

Stéphane, how do we see the impact of AI on employment?

Stéphane Colliac

It is a kind of race between the rapid development of artificial intelligence and, consequently, the number of tasks to be carried out; and then there is a substitution effect that may occur between artificial intelligence and some of the tasks that employees have to carry out. Therefore, if the number of tasks to be carried out increases faster than the tasks that can be replaced by AI – what we might call the Jevons effect, which means that 'additional activity' is the main phenomenon – then AI does not have a negative impact on employment levels, because we need more workers to carry out these additional tasks. For example, if we consider the case of a coder, it's noteworthy that, after a few difficult months, we've once again seen more job vacancies for coding positions appear on the well-known website Indeed.

Emmanuel Laborde

So there's cause for optimism in this regard.

0:51:24 - Emmanuel Laborde

You mentioned AI 'predation' on jobs – a term that is occasionally used by certain economists.

0:51:30 - Stéphane Colliac

Indeed, there's another factor to bear in mind too – it's a question of cost at the moment. We're seeing a transition that could once again favour human labour, particularly if the cost of AI rises. We've seen a rise in the cost of tokens in the United States. That's true. So we need to be cautious as this situation can change very, very quickly. There's also competition within the AI sector. There's Chinese competition too, which could have an impact. However, if AI becomes expensive, labour may be preferred because its cost is much more stable.

That's an important point. But above all, the answer is a nuanced one.

What we need to bear in mind is that AI replaces tasks rather than jobs. This is a crucial distinction. While some people have expressed concerns about jobs destruction, it is actually certain tasks within those jobs that are at risk of being replaced. That much is obvious. But the entire job itself is not necessarily at risk.

On the contrary, by using AI for certain tasks to boost productivity, we can have an 'augmented' employee who demonstrates increased productivity compared to a competitor who does not use AI. The economies that stand to benefit from this would primarily include the United States, where approximately one quarter of jobs may be prone to this transition. While some may argue that these jobs are under threat, let's take a more positive view. For example, one-sixth of jobs in France and one-tenth of jobs in Italy may also be affected.

0:52:52 – Emmanuel Laborde

We'll be taking your questions in a few moments. Please feel free to submit them now on this wide-ranging topic. Innovation frequently helps to bring prices down. Is this also true for artificial intelligence today, Christine?

0:53:09 – Christine Peltier

I'll answer by talking about the resources required for AI. At the moment, the boom in AI and the construction of data centres are leading to a sharp rise in demand for the resources they require. This surge in demand is both significant and rapid, leading to a rapid increase in prices. For example, the cost of copper has risen by 40 percent over the past year and has remained at historically high levels since the start of the year. This price rise is linked to a massive demand shock driven by both AI and electrification, coupled with an increase in supply that is simply not keeping up with the rise in demand.

0:53:49 - Emmanuel Laborde

Has there also been a rise in the price of microchips? It is becoming increasingly difficult to upgrade one's computer these days.

0:53:54 - Christine Peltier

Indeed, the cost of chips has skyrocketed over the past year. For instance, the unit price of semiconductors exported from South Korea has increased 2.5-fold in a year. Consequently, this increase in chip and critical metal prices is improving the terms of trade for exporting countries, yet it may also fuel inflationary pressures in sectors that use the same resources as AI.

0:54:21 - Emmanuel Laborde

So, Stéphane, does AI actually drive prices up or down?

0:54:25 - Stéphane Colliac

Well, if we go back to the idea that AI is an innovation, it is generally observed that innovation tends to bring prices down. Therefore, in the long run, AI should bring prices down. In the digital sector in which AI operates, for example, in France, we've seen a 6 percent decrease in prices over 10 years. Conversely, in other sectors, we've seen a 20 percent increase in prices over 10 years. Now, the question is whether we might see a different trend in the short term.

The rapid development of AI is depleting the resources required for its operation, as both Christine and Isabelle mentioned, which could lead to a slightly heightened inflationary impact in the short term. In this regard, I'd like to highlight one point: the vital importance of access to electricity. AI requires a great deal of electricity, and we can see that in the United States, electricity prices have changed quite significantly from pre-Covid levels, now standing nearly 30 percent higher than the previous trend.

0:55:21 - Emmanuel Laborde

This is going to be highly inflationary, and historically, the US has faced numerous energy challenges. Isn't there also the issue of a business model that's evolving at an exceptionally rapid pace?

0:55:29 - Stéphane Colliac

Yes, the business model is a key issue, which leads on to what I know you are about to wrap up, Isabelle. I'll refer back to the study by Korinek and McKelvey to begin with, which, assuming technology remains constant, looks at the extent to which the price of AI has fallen: 94 percent in three years. One might be tempted to assert that the technology from three years ago is already largely obsolete. This is certainly true. The primary concern is to ensure a return on investment for companies investing in this sector.

Investing in this sector is very expensive. Therefore, if you increase the ROI of your AI, you improve your profit and loss figures and attract more capital. This, in turn, secures the necessary funding for your next investment cycle.

Consequently, there may be a correlation between short-term inflationary consequences and the anticipated shift towards attracting capital to the markets.

0:56:26 – Emmanuel Laborde

We'll take your questions in exactly one minute. Just time for a quick summary, Isabelle. We're hearing a lot of optimistic, encouraging things. Could there still be a misstep or a derailment that could prevent the economic promises from being fulfilled, at least from a financial standpoint?

0:56:40 – Isabelle Mateos y Lago

As far as AI is concerned, there are plenty of risks of things going off the rails. However, focusing on the markets, I would like to highlight a few points. Firstly, we've encountered similar situations in the past, and in a way, this is characteristic of how technological revolutions happen. There's a frenzy that draws a lot of capital into the sector, and eventually, the frenzy escalates to the point where we reflect, 'Perhaps this has gone too far'; there's a correction, and then we move on.

To illustrate, looking back at the recent past, five years elapsed between Alan Greenspan, Chairman of the Fed, referring to 'irrational exuberance' regarding the tech and internet sector in the US and the bursting of the dot-com bubble in 2000.

The internet bubble burst, and it caused a bit of a mess at the time. Nevertheless, we are still reaping the benefits today of all the productivity gains associated with this new technology. As for certain companies, Amazon's market capitalisation plummeted by 90 percent that week. If you'd held on to your Amazon shares back then, you'd be very rich today. I'm talking about Amazon, but there are plenty of other examples. I'd say that's more or less how it works. What is certain is that the currently high valuations of all AI-related stocks are based on expectations of meteoric revenue growth.

It is by no means certain that this trend will continue, particularly given growing political resistance.

In the United States, we're witnessing the emergence of powerful citizen movements aimed at restricting the construction of data centres. This situation also exacerbates inequalities within societies. For example, as mentioned earlier regarding South Korea, Samsung recently had to engage in negotiations – so to speak – to resolve a strike, offering bonuses of $400,000 per employee to achieve a fairer distribution of AI-generated revenues. Additionally, President Trump recently proposed the creation of a sovereign wealth fund that would include stakes in all companies generating this exceptional revenue, so that all Americans can benefit from it – similar to the Alaska oil fund or the arrangements in place in Norway.

There are issues at play; I believe that any potential obstacles will be as much political as they are economic or technological.

0:59:13 – Emmanuel Laborde

In any case, we're hearing that we're entering a new era, and it will be fascinating to experience. We're taking your questions as they come in. Can we interpret the current tensions as a sign of fragmentation within the Western world and a return to power politics, particularly regarding access to strategic resources and innovation? Who'd like to take this one?

0:59:38 – Isabelle Mateos y Lago

Perhaps a word on that: I'm not particularly keen on the term 'fragmentation', but what is certain is that we have spent at least the last 30 years building an extremely integrated and interdependent global economy. However, it is evident that since last year, we have entered a phase where this interdependence is going to be 'weaponised' – I'm not sure how to express this in French, but it is being used as a weapon by certain countries at times… I'll leave it to your imagination to consider which countries might be next. But there you have it: Iran has leveraged this to its advantage in the recent conflict.

Last year, China implemented controls on the export of rare earths and rare-earth magnets. Given the extent of economic interconnection we have achieved, I believe we're going to see repeated shocks of this kind.

Thus, it is not fragmentation, but rather the exploitation of these interdependencies for harmful purposes. This reinforces the need for states and businesses to carefully consider their strategic autonomy and how to minimise their vulnerability to this type of shock.

1:00:46 – Emmanuel Laborde

Another question that also ties in with our first panel discussion. What are the various impacts of the current energy crisis, which we've mentioned, on semiconductors production in Asia?

1:00:56 – Christine Peltier

I think the question is directed at me. It is true that Asia is the region most directly affected by the energy crisis and is also the major producer of semiconductors. However, since the start of the conflict, the impact of the energy crisis on production activity has been limited. I mentioned the figures for Taiwanese export growth, but the figures are the same in South Korea, for example. On the other hand, rising hydrocarbon prices and concerns about supply chains – including issues related to the availability of helium, for example – have undoubtedly contributed to the rise in chip prices over the past three months.

1:01:44 – Emmanuel Laborde

A question for you, Stéphane. Are there any studies that examine the impact of artificial intelligence on employment, particularly in terms of unemployment rates, access to employment for young graduates, or changes in career opportunities? This question seeks to explore the labour market in greater depth.

1:02:02 – Stéphane Colliac

Yes, there are studies. The problem is that some studies say one thing and others say the opposite. At the moment, it's quite difficult to make sense of it all. However, I'd like to add a point to the discussion to highlight how things are changing in the labour market. As we've said, in the United States, the way people are working is changing. There's an increase in self-employment and working from home. In France, we often refer to this as 'teleworking', especially within a company.

But working from home isn't just about teleworking; self-employment is also on the rise. There are fewer traditional salaried jobs and a growing number of self-employed roles. This trend has been evident in recent years and is even being driven by artificial intelligence. As I mentioned earlier, there's been an increase in business creations.

The increase in business creations indicates that a growing number of self-employed individuals are establishing their operations from home. I think we need to take this into account when we consider the labor market. The balance tips in the right direction when we factor in these elements alongside traditional salaried employment. Among young people, particularly during the Covid pandemic but even before that, there has been a desire to adopt a different behavior – one that does not necessarily follow the traditional path of their fathers, who typically went to work for a company, but rather to work in co-working spaces or alternative environments.

That's where we find ourselves today. These developments are making it easier. It's much easier to set up a business today, particularly with the advent of artificial intelligence.

There are studies that show this. There are many regulatory barriers to setting up a business or engaging in transactions in general. However, the presence of artificial intelligence – or at least models that assist in these endeavours – fosters an appetite for entrepreneurship. Therefore, when it comes to young people, we can also look at it from that angle.

1:03:54 – Emmanuel Laborde

By building their confidence, digital natives will be well-equipped to embrace this new tool. The Gulf states have set ambitious goals in the field of AI. If my memory serves me correctly, these countries have set up a number of data centres within their borders. Will the war alter their plans? Once again, this ties in with the subject we were discussing earlier.

1:04:21 - Christine Peltier

Indeed, the Gulf states have very ambitious plans for AI development. In the short term, one can imagine that these countries will reassess their priorities. It's also likely that private investors will be much more cautious. However, in the medium term, these countries are expected to maintain their plans to boost growth potential and diversify sources of growth. Furthermore, it is likely that they will continue to invest in future-oriented sectors, including AI.

1:04:56 – Emmanuel Laborde

We're running a little over time, but we'll of course answer this final question. No major digital companies emerged in Europe during the internet and mobile revolution, which was, after all, the previous technological revolution. Do you see any signs that artificial intelligence will provide an opportunity for Europe to establish major technology companies?

1:05:14 – Stéphane Colliac

Yes, one could argue that this assertion is not entirely accurate. There are existing companies that have made their mark. I mentioned ASML earlier. This is a company that didn't exist a few decades ago, yet it has expanded, developed solutions that weren't obvious at first, and has become a world leader in the manufacture of machines used to produce semiconductors. We mustn't overlook the fact that there is also an established economy capable of adapting to the new economic landscape. We've seen examples of this, particularly with Valeo, which produces cooling systems.

1:05:46 – Emmanuel Laborde

Which will cool data centres, yes, exactly.

1:05:48 – Stéphane Colliac

Caterpillar is also poised to supply capital goods for use in AI. We're only at the beginning. We don't know which solutions will ultimately prevail. Mistral AI is developing. There are offerings; we've talked a lot about the United States. We've given plenty of examples from the United States. There are also offerings in China in particular that are growing. There are European offerings too. There's an old economy. Including electrical equipment. I would like to mention Schneider, and although I momentarily forget the name of its German competitor, it is worth noting that these companies originated in the 19th century during the advent of electricity. Today, they have new markets, with valuations that are 'inflated', a bit like those of a start-up, as they provide some solutions to innovative activities within their operations.

So yes, there will be new names, and yes, there will be old names that will be back in vogue.

1:06:42 – Emmanuel Laborde

So let's be confident.

1:06:43 - Emmanuel Laborde

It was Siemens you were looking for, wasn't it?

Stéphane Colliac

That's right.

1:06:48 - Emmanuel Laborde

All right. We're coming to the end of this session – it's 5:08 p.m. We've gone a little over time, but that's because your questions were excellent and we wanted to address them all. Thank you for joining us in this rather warm studio for today's discussion. A closing remark is always a tricky business; we're trying to draw some conclusions in light of the current geopolitical situation. With all the challenges that lie ahead, it's not exactly straightforward. But anyway, how do you envisage – economically speaking, of course – the end of the year and the next six months, in positive and negative terms? What factors might influence the global economy, Isabelle?

1:07:23 – Isabelle Mateos y Lago

Yes, I think we can remain positive, especially if the agreement – which we're told was signed electronically yesterday – holds up in the Gulf. However, it's clear that to be truly optimistic, we'd require the potential for accelerated initiatives aimed at structural transformation of economies in Europe, though not exclusively there. From that perspective, I believe that if we are to consider both negative and positive influences, we must avoid shocks, although they are inevitable. The most important thing, in my opinion, would be – at least in terms of economic policy messages, though I'm not sure if this is the most relevant point for this audience – to prevent shocks that lead to interest rate rises.

In particular, fiscal irresponsibility – a very bad idea – and monetary irresponsibility that would allow inflation to spiral out of control – also a very bad idea.

Because we are in an environment where there is a huge need for investment – and, therefore, a huge need for financing – and anything that further contributes to pushing up interest rates in this context is counterproductive. Conversely, there is a genuine need for economic policies – especially in Europe – that enable businesses to innovate, invest and grow. We really need more economies of scale in Europe. So everything to do with mergers, the completion of the single market – all these policies – have been clearly identified. We absolutely must step up the pace.

1:08:49 – Emmanuel Laborde

These will be tremendous opportunities. I extend my thanks to the economists and to all of you for tuning in – we appreciate the many viewers, both live and those watching the replay. You should normally see a QR code on the screen; please feel free to scan it with your phone, which will take you to a dedicated page we've created for this purpose, featuring content that will complement everything we've discussed today. As Economic Research produces a great deal of content in shorter formats or in print, this will enable you to delve deeper into the information we've shared with you today on these two topics.

1:09:21 - Emmanuel Laborde

Thank you for your continued participation; have a wonderful summer and see you soon.

ITALY'S PRODUCTIVITY CHALLENGES: CAN AI PROVIDE A SOLUTION?

Paola Verduci

Italy: reasons for not adopting AI, by firms' size

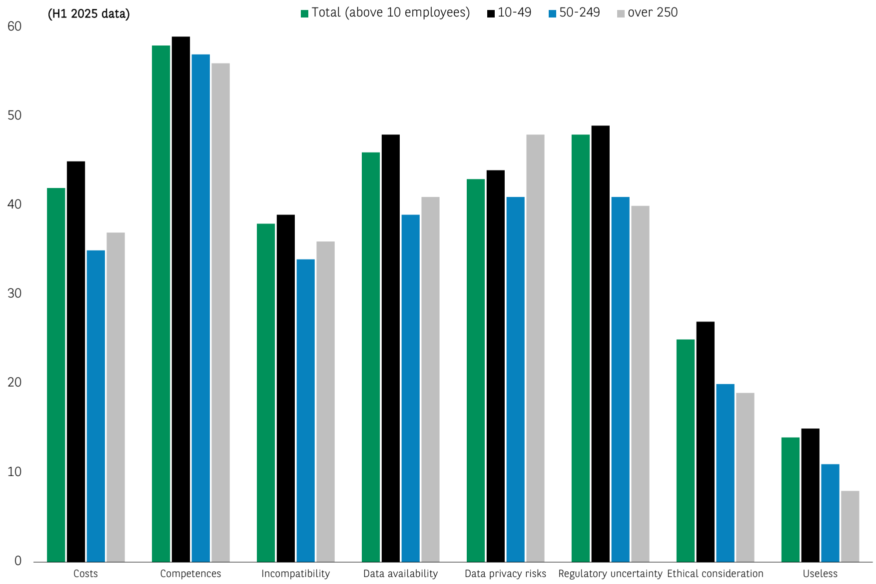


CHART 1

SOURCE: BANCA D'ITALIA, 2026

In the years following the pandemic, labour productivity in Italy has stalled. Artificial intelligence is identified as a potential catalyst for reversing this trend, with projections indicating possible annual productivity growth increases of up to 1.1 p.p. in a scenario of rapid adoption. However, the actual adoption of AI in Italy is still low, despite a faster growth rate compared with its main Euro area counterparts. As of 2025, only 16.4% of Italian companies with more than 10 employees were using AI. In the financial and insurance sectors, adoption rates are above average (39%, peaking at 70% in insurance). However, the application remains largely superficial, primarily focused on support activities such as fraud detection, process automation and customer relations, while its use in trading and post-trading activities remains largely experimental.

Adopting AI could improve labour productivity. In the years after the pandemic, the dynamics of labour productivity in Italy have been disappointing. When measured as output per hour worked, there was a decline of 4.7% between 2020 and 2025, compared to a -1% decrease in France, a +0.9% increase in Germany and a +2.5% increase in Spain. Although there has been some improvement in recent years – with a more limited contraction of -1.9% during the 2023-2025 period – Italy's productivity dynamics remain weaker compared to the stagnation or gains observed in other major European economies (Germany +0.1%; Spain +1.9%; France +1.5%).

The spread of artificial intelligence is highlighted as a factor that could reverse this trend. Estimates by Filippucci et al. (2025)[1] suggest that over the next decade, AI adoption could deliver annual labour productivity growth gains ranging from 0.2 to 0.8 p.p., particularly benefiting countries experiencing significant demographic declines, such as Japan and Italy. In the United States, where the bulk of global investment in AI is currently concentrated[2], the annual increase in labour productivity growth could reach 1.3 p.p.

If the adoption of AI were to proceed rapidly, the potential benefits for Italy could be significantly greater, adding as much as 1.1 p.p. to productivity growth. A recent analysis[3] identifies the sectoral contributions to GDP growth under a scenario of rapid adoption, differentiating between direct effects (the productivity gains generated within each sector), and indirect effects (which arise through input-output linkages along the production chain). Manufacturing stands out as the single largest contributor, adding approximately 2 p.p. to GDP growth over the decade, followed by Wholesale and Retail trade (around 1 p.p.) and Professional services (around 0.8 p.p.), while the Financial and Insurance sector would account for a further 0.6 p.p.

1 Filippucci, F. et al. (2025), "*Macroeconomic productivity gains from Artificial Intelligence in G7 economies*", OECD Artificial Intelligence Papers, No. 41, OECD Publishing, Paris.
2 The disparity in investment amounts is remarkable; between 2013 and 2025, the United States invested around USD 753 bn in AI, compared to USD 17.2 bn in Germany and USD 15.6 bn in France, the only two Euro-area countries among the top ten global investors; see *AI Index Report*, 2026.
3 3 Fabio Bertolotti, Andrea Linarello, Patrick Zoi; *Shock propagation and economic policies in the Italian production network*; Banca d'Italia; June 2026.

Relatively wide AI adoption by the Italian financial sector

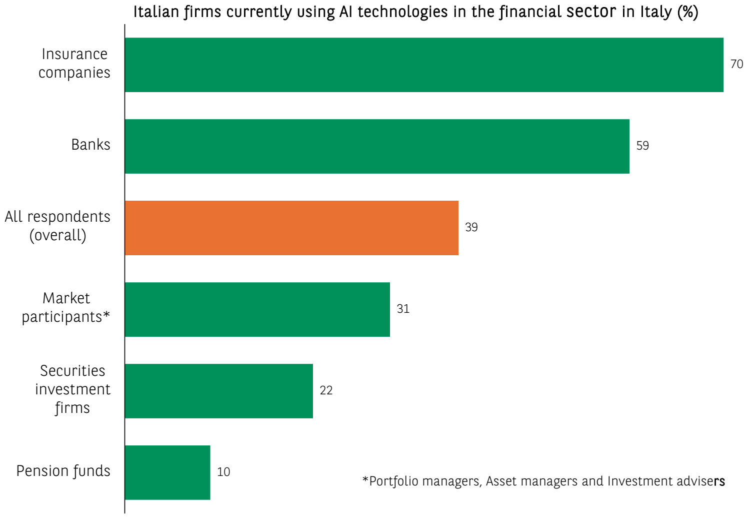


CHART 2

SOURCE: BNL ECONOMIC RESEARCH ON OECD

The magnitude of each sector's contribution ultimately depends on three factors: its share of total value added, its direct exposure to AI, and its importance within the production network.

AI adoption varies greatly from one sector to another. The intensity of AI adoption is influenced by various factors, including sectoral composition, the size of companies and the availability of the skills needed to use it. Eurostat data shows the considerable heterogeneity in AI adoption among countries: despite an increase of over 100% from 2024, by 2025 only 16.4% of Italian companies with over 10 employees were using AI, a figure comparable to France's (18.2%) but significantly lower than Germany's (around 26%) and Spain's (20.2%). Adoption rates increase steadily with company size: in the first half of 2026, 32% of Italian companies with over 20 employees were using AI, a percentage that climbed to 63% among those with over 500 employees but fell to 28% among smaller companies with 20-49 employees. A similar disparity is observed across sectors, with take-up comparatively limited in Manufacturing (27%) and considerably more widespread in Services (36%). The "Other services" segment, which includes professional, scientific and technical activities, records the highest average adoption rate, facilitated by a more uniform distribution of the technology across different company-size categories.

Italian companies cite a lack of skills as one of the main reasons for not adopting AI, particularly among small companies (10-49 employees). Additionally, high costs, data availability and regulatory uncertainty also hinder adoption (see *Chart 1*).

Access aside, the ability to use the technology is equally important: the IMF's Skill Readiness Index, which measures how prepared human capital is to work with AI, places Italy towards the lower end of a ranking led by Ireland, Finland, Denmark and Switzerland. France and Spain rank slightly better than Italy, while Germany occupies a marginally higher position.

In Italy, a recent survey[4] indicates that companies in the Financial and Insurance sector adopt AI more widely than the average productive system (39%), peaking at 70% in the insurance segment (see *Chart 2*). However, similar to their OECD counterparts, Italian financial institutions primarily use the technology for activities that lie outside the core functions of financial markets, such as fraud detection and prevention. This somewhat superficial application reflects a cautious approach, mirroring trends observed in other OECD countries, where companies typically focus AI efforts on customer relations, process automation, cybersecurity and fraud prevention, while applications in trading and post-trading remain largely experimental.[5]

Despite this, the benefits reported thus far are significant: among Italian financial companies using AI, three-quarters report improvements in operational efficiency, almost two-thirds cite productivity gains, and roughly half report greater effectiveness in decision-making. However, gains in genuinely market-relevant areas are still under-represented, illustrating a pattern of broad adoption that lacks depth in core market functions.

.

4 OECD/Banca d'Italia; *Artificial Intelligence in Italian Financial Markets*; June 2026. The 450 responses represent 49% of the entities supervised in Italy (including foreign companies operating in Italy under the supervision of Banca d'Italia). The question on AI adoption was mandatory. All figures are unweighted counts of responding entities by segment, although coverage varies (e.g. 60% for banks; 48% for pension funds and 22% for securities investment firms).

5 In the United States, almost all financial functions (U.S. Department of the Treasury, 2024); in the United Kingdom, companies focus on optimising internal processes, enhancing cybersecurity and detecting fraud (BoE/FCA, 2024); Swedish and Finnish companies prioritise summarisation, translation and automation (Finansinspektionen, 2024 and FIN-FSA, 2025); Japanese companies give priority to customer relations and targeting (Bank of Japan, 2024); Dutch banks concentrate on creditworthiness and fraud prevention (De Nederlandsche Bank/AFM, 2024); French respondents report internal applications with no specific uses in financial activities (AMF, 2026).

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS

Easy-to-read monthly overview of inflation dynamics

ECOATLAS

The key economic figures for France and major European economies

CHART OF THE WEEK

A weekly chart highlighting points of interest in the world economy

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago

Copyright image : Alejo Bernal

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

La banque
d'un monde
qui change

Paris, 25 June 2026

BNP PARIBAS
The bank for a changing world

EcoFlash

German Investment Plans: Reasons to Stay Optimistic

Over a year has passed since the German government announced substantial investment plans in defence and infrastructure. As we assess the situation in mid-2026, the implementation of these plans is progressing as we had anticipated. However, the current impact of these investments on growth is proving to be more subdued than expected (notably because a portion of the infrastructure funds has been used to finance government current expenditure). Nonetheless, the rebound in industrial orders is becoming evident, and the increase in intra-European trade directed towards Germany indicates that a positive momentum is developing.

The Government is implementing its investment plans, but a faster pace is required

In line with our projections at the start of the year (see our analysis), federal budget investment spending has reached 33% of its annual target, while defence spending stands at 29%, equating to 0.5% and 0.7% of GDP, respectively, based on the May figures released on 23 June by the Ministry of Finance. In addition to these federal budget items, off-budget spending has also seen a slight increase. The latter can be gauged through the gross borrowing accumulated since the start of the year for the Bundeswehr fund and the Special Fund for Infrastructure and Climate Neutrality (SVIK), which have reached 38% of their respective annual targets.

However, for the government to meet its military spending objective of 3.5% of GDP in 2026 (up from 2.6% in 2025)[1], an acceleration in implementation is essential. A similar situation exists in the infrastructure side, where the 2025 target was missed by EUR 13 billion.

These plans aim to promote long-term economic growth, but the current level of spending does not align with this objective.

(i) Despite the increase in infrastructure spending, two German economic institutes (Ifo and IW), revealed that, in 2025, the SVIK largely financed current operating expenditure falling under the federal budget, rather than long-term investments. Such a reallocation has no positive impact on growth, even in the short term, as it finances expenditures that would in any case have been included in the federal budget.

(ii) The increase in defence spending has mainly been used to strengthen conventional military equipment and rebuild ammunition stockpiles over recent years, an effort that is essential given current security threats. However, the share allocated to new technologies has consequently declined. It is worth noting that the share devoted to R&D is increasing, albeit only gradually. Nonetheless, procurement processes have commenced, and these investments are expected to grow in the coming years.

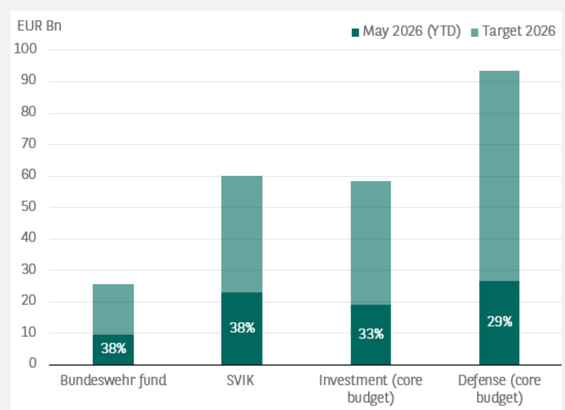
(iii) The obstacles that have been accumulated – particularly those related to higher energy prices and the relatively low level of innovation in public investment – are dragging down the fiscal multiplier, bringing it below 1. This will hinder the plans' impact on economic activity in both the short and long term.

A dynamic advantage for German industry and intra-European trade

This caution should not overshadow the initial positive indicators generated by the plans. In the industrial sector, the rebound in orders noted at the start of the year has now been confirmed (+2.8% YTD y/y in April) (see our analysis). Moreover, exports from other European countries to Germany have increased (+2.2% year-on-year between January and April), thereby bolstering their growth.

In our view, the repercussions of the Middle-East conflict are unlikely to disrupt these favourable trends (see our analysis): we anticipate real GDP growth of +0.8% in 2026 and +1.1% in 2027. While caution is still advisable for the short-term outlook, progress in U.S.-Iran negotiations and the gradual reopening of the Strait of Hormuz (see our analysis) reinforce this view.

Investment Plan Disbursements: Scaling Up Progressively



Sources: Bundesfinanzministerium. BNP Paribas

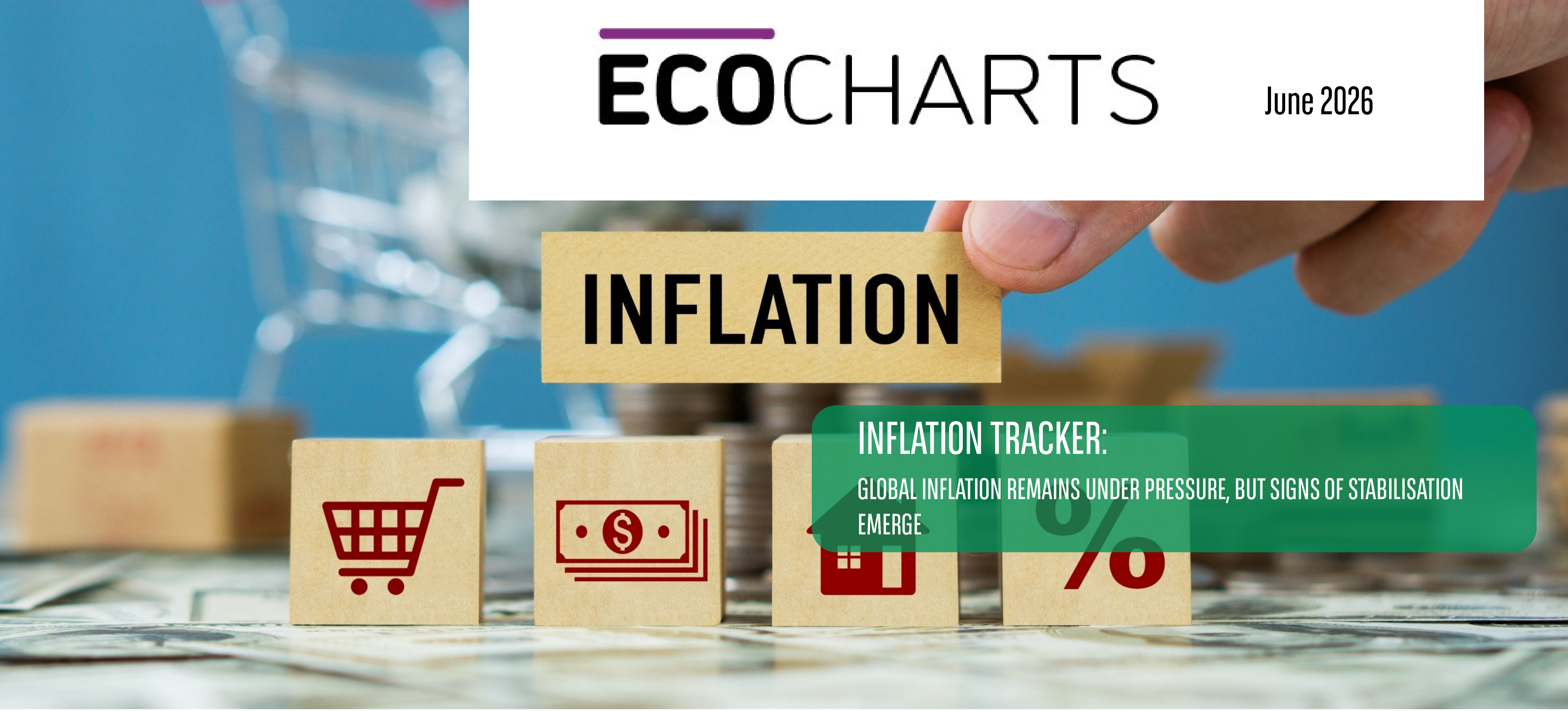
Lucie BARETTE
Europe Economist covering Germany, Italy and Spain

lucie.barette@bnpparibas.com

[1] These figures include certain parallel expenditures (infrastructure, cyber-defence, military satellites, etc.). Excluding those additional costs, the expected figure is 2.8% in 2026, following 2.4% in 2025.

ECOCHARTS

June 2026



INFLATION TRACKER:

GLOBAL INFLATION REMAINS UNDER PRESSURE, BUT SIGNS OF STABILISATION EMERGE

BNP PARIBAS

The bank for a changing world

Advanced economies

General dynamics of inflation:
Inflation continues to rise due to the energy shock.

Inflation and survey data:
Except in Japan, price pressure indicators continue to increase.

Inflation expectations (households, forecasters, markets):
Inflation expectations are gradually stabilising.

Inflation-wage dynamics:
Still no signs of a wage-price spiral.

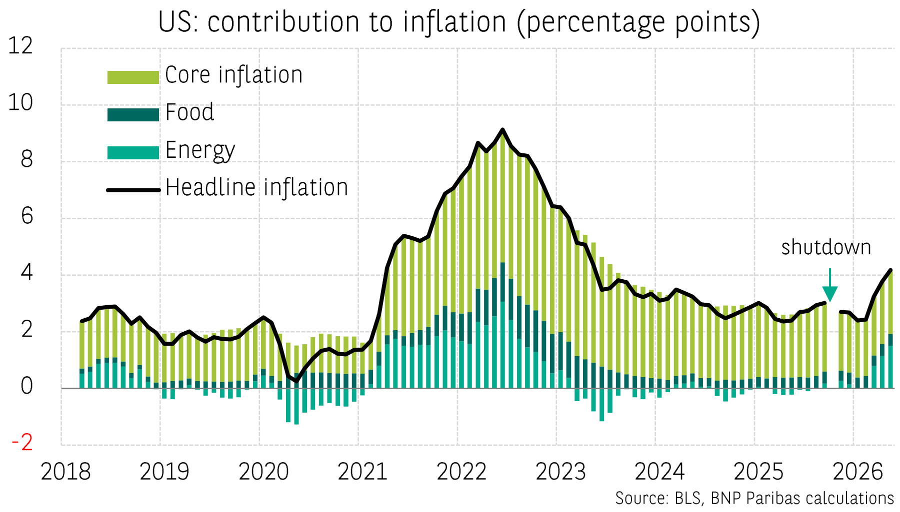
Emerging economies:
Inflation is rising moderately due to the energy shock.

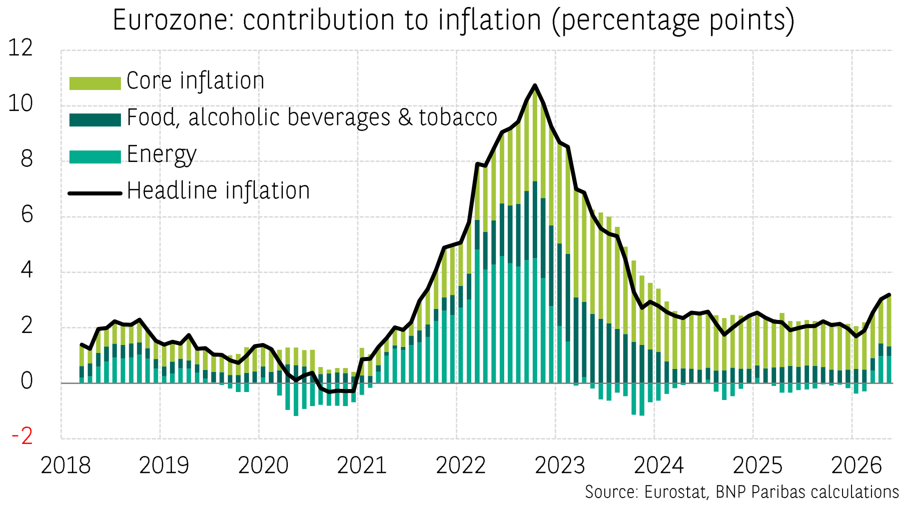
Commodities:
Commodity prices decline following the announcement of a draft agreement between the United States and Iran.

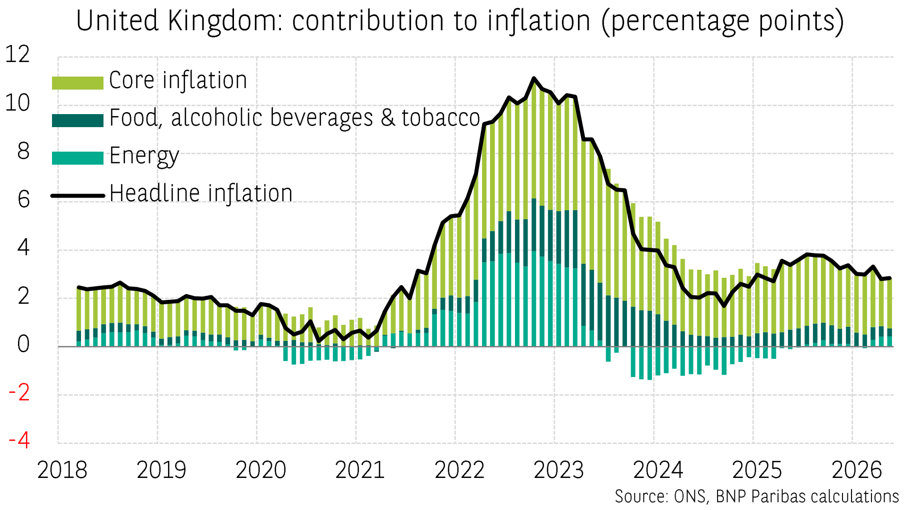
General dynamics of inflation:

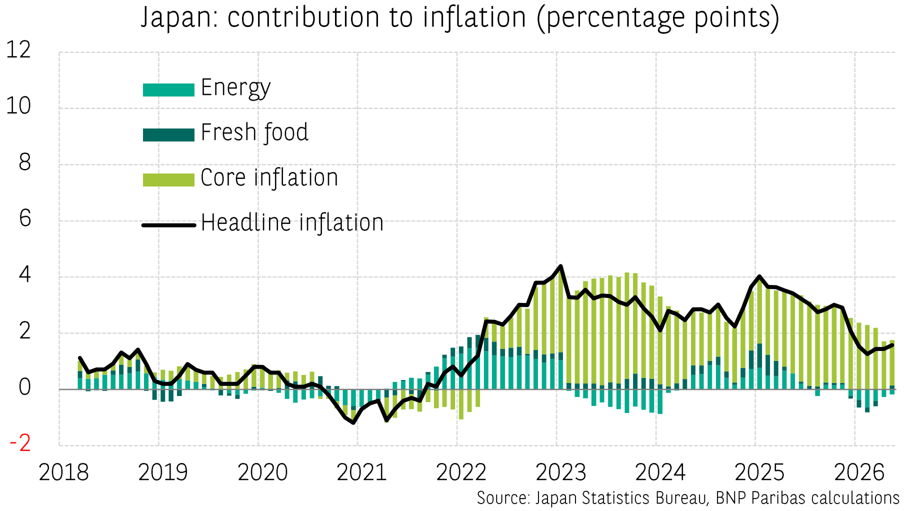
Inflation continues to rise due to the energy shock.

General dynamics of inflation: decomposition of inflation

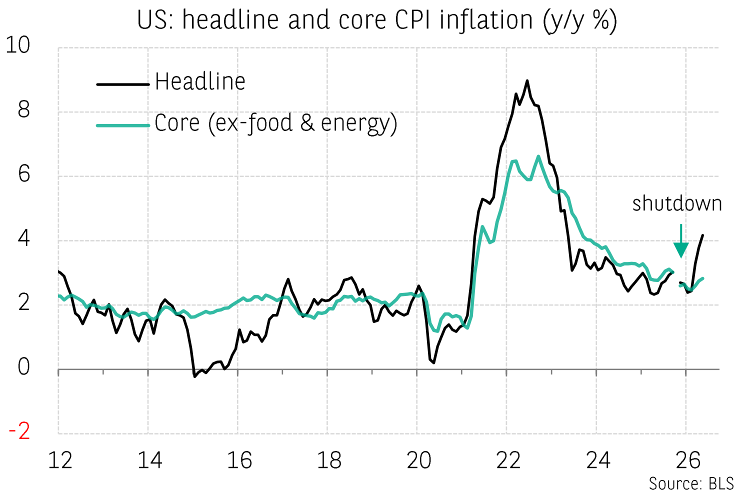


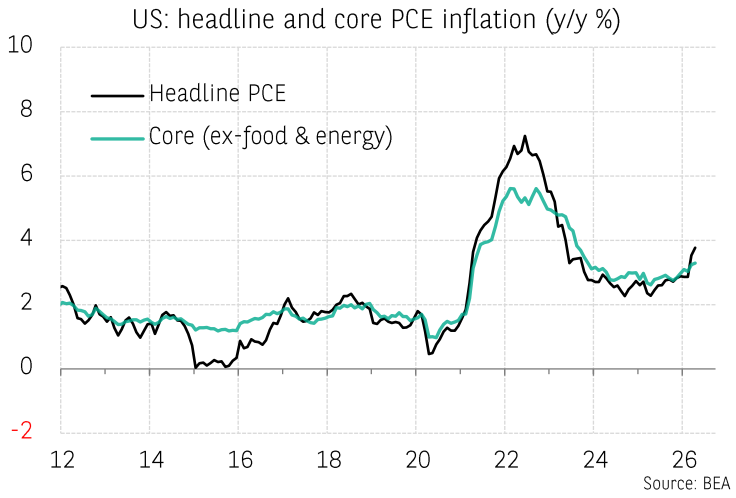


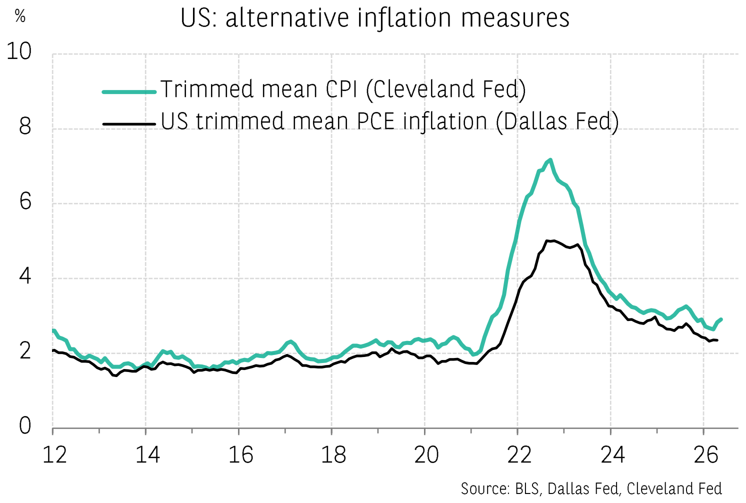


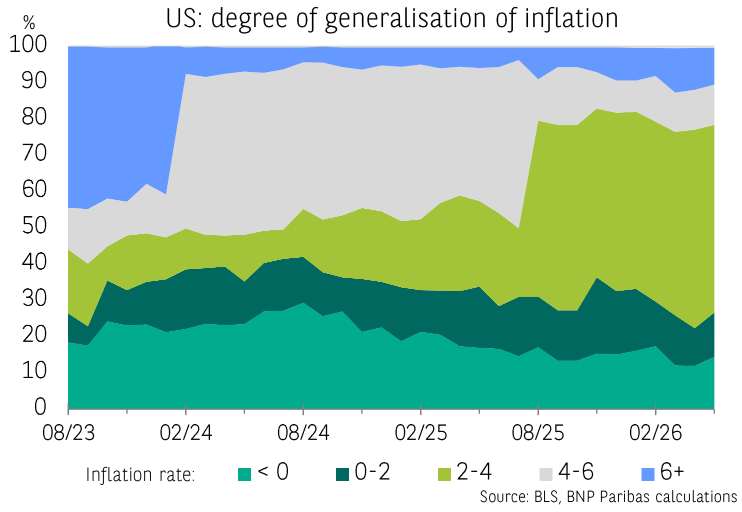


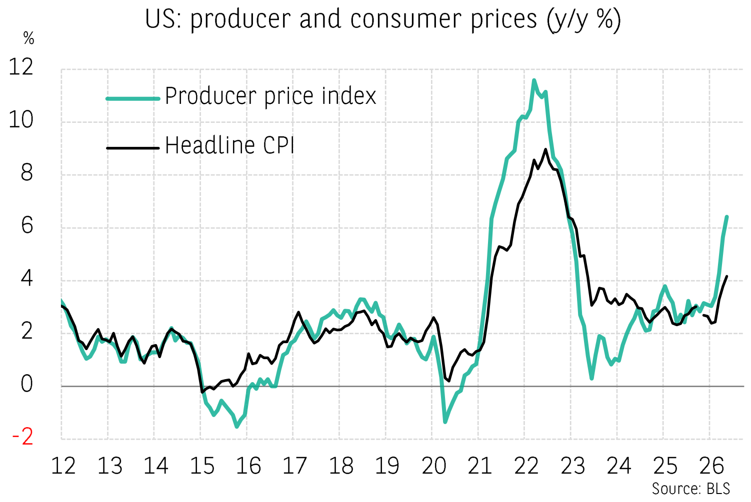
Inflation dynamics in the United States: different metrics and degree of generalisation





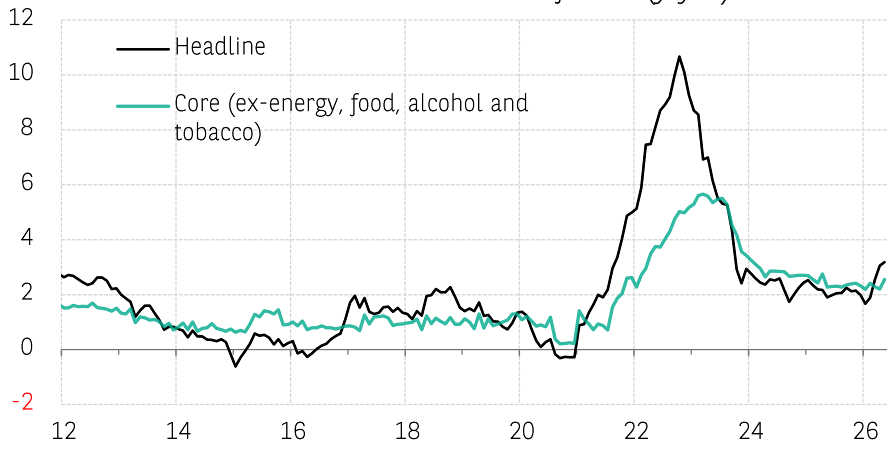






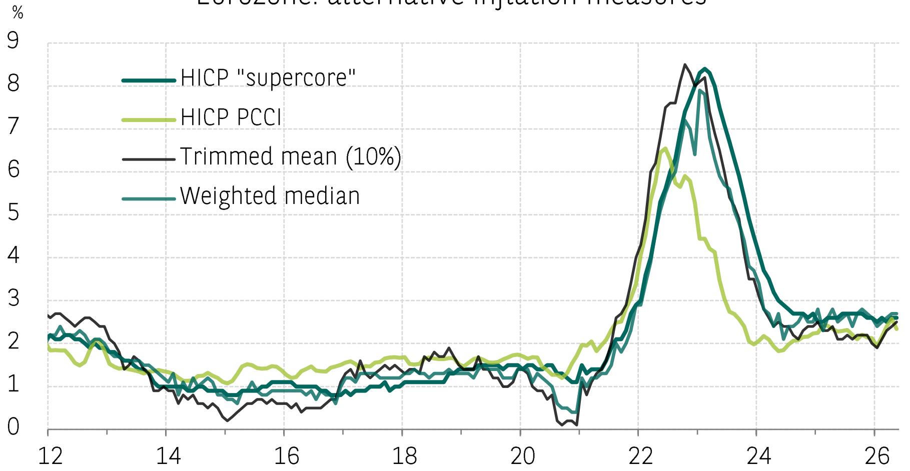
Inflation dynamics in the Eurozone: different metrics and degree of generalisation

Eurozone: headline and core inflation (y/y %)



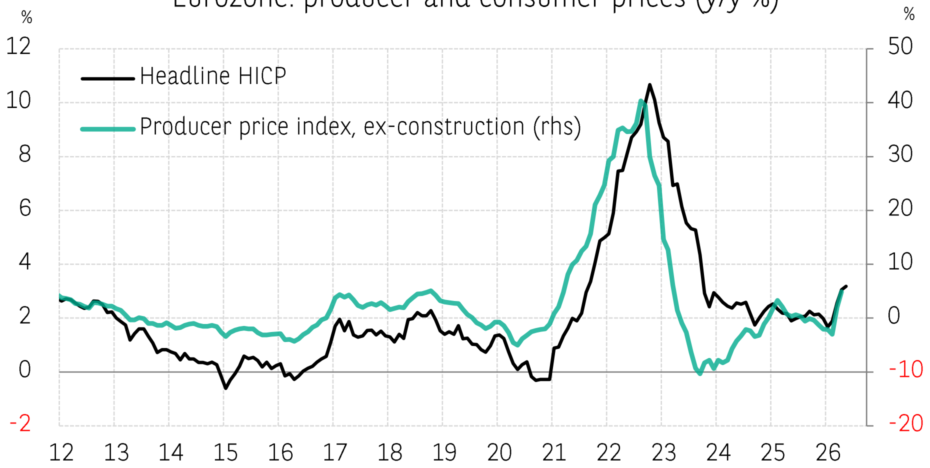
Source: Eurostat

Eurozone: alternative inflation measures



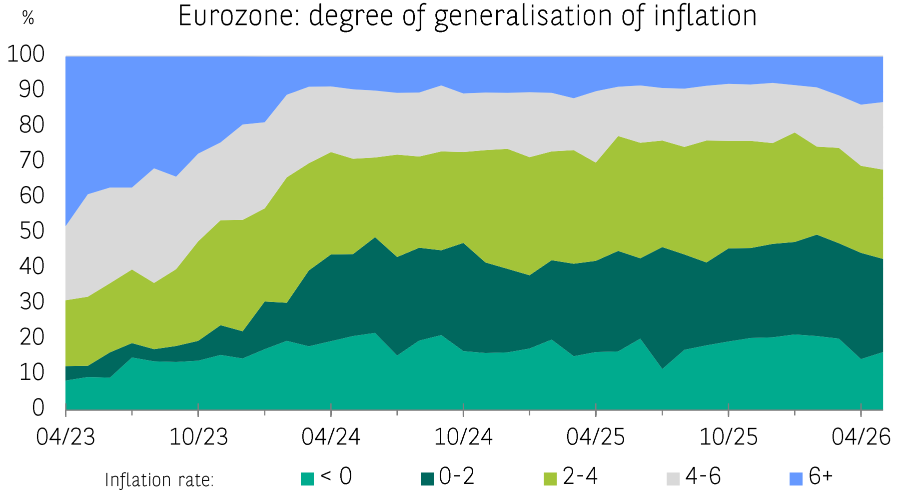
Source: Eurostat, ECB

Eurozone: producer and consumer prices (y/y %)



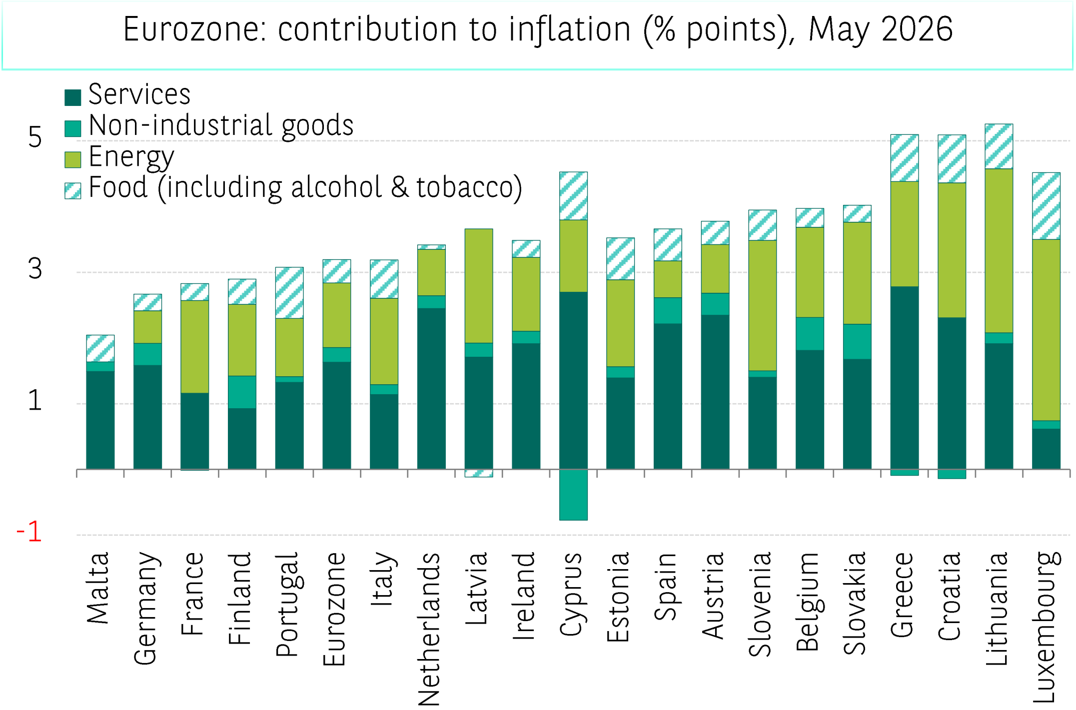
Source: Eurostat

Eurozone: degree of generalisation of inflation

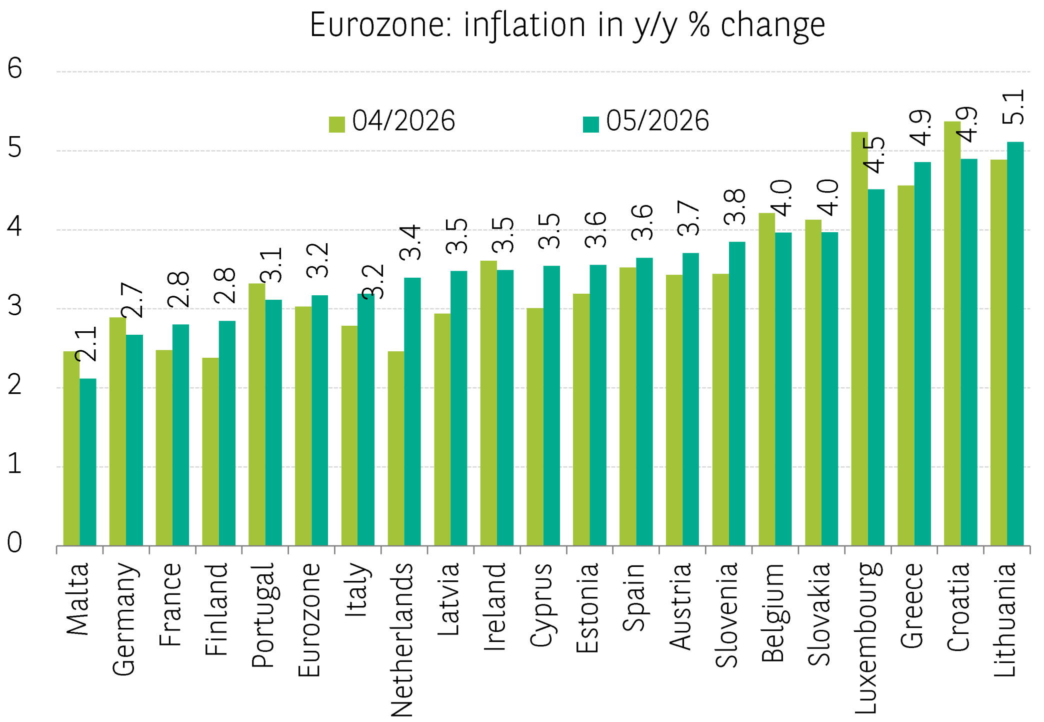


Source: Eurostat, BNP Paribas calculations

Inflation dynamics in the Eurozone by country (1)

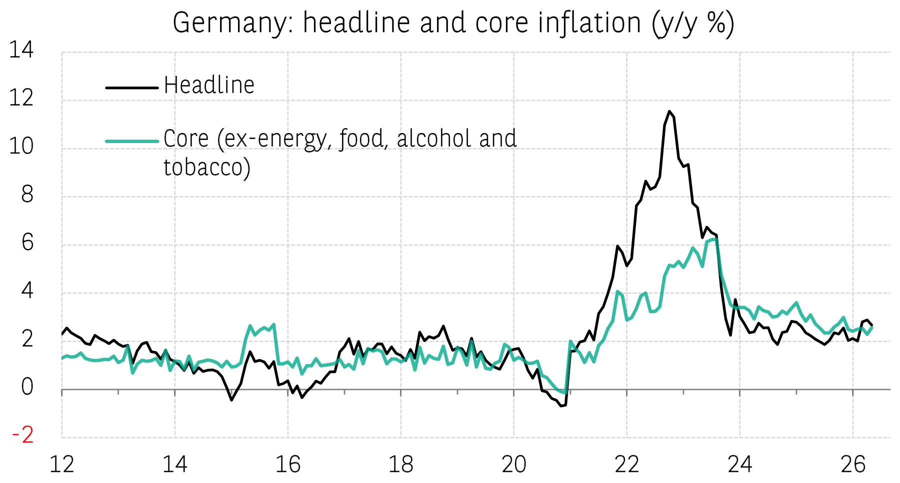


Source: Eurostat

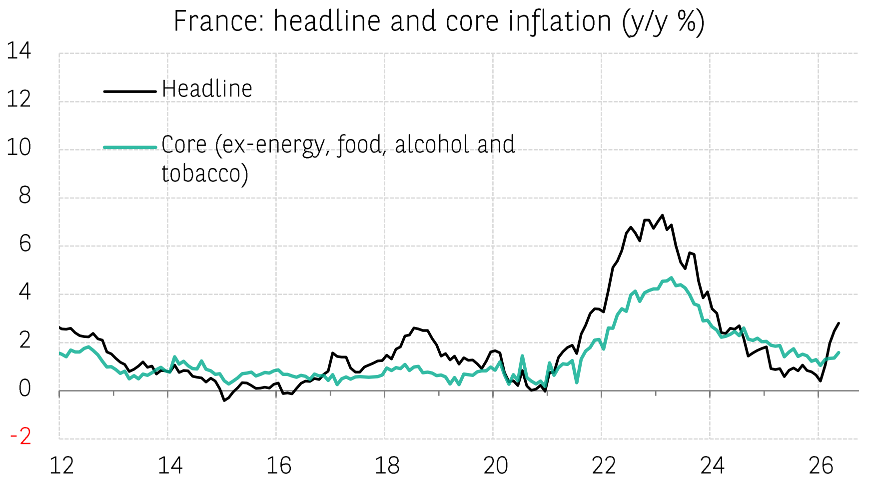


Source: Eurostat

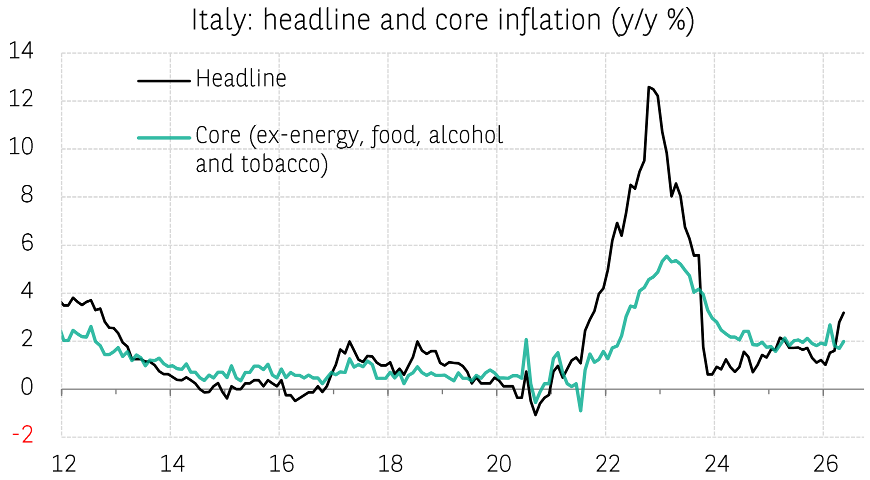
Inflation dynamics in the Eurozone by country (2)



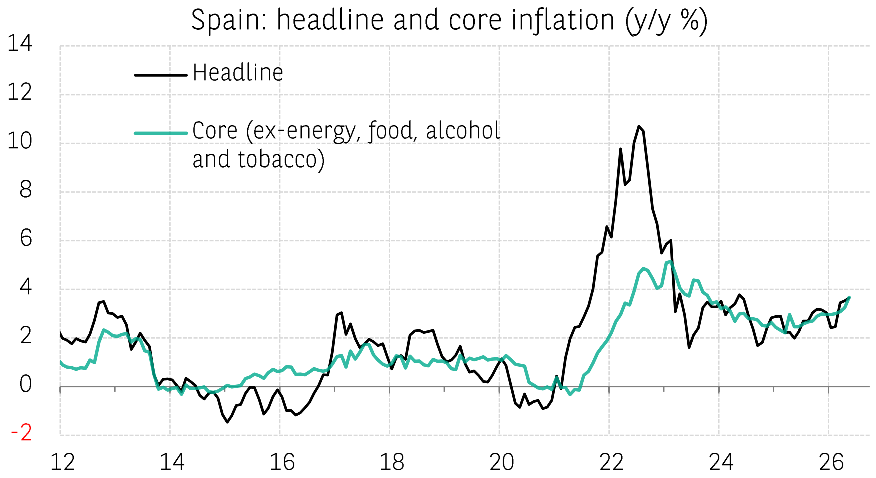
Source: Eurostat



Source: Eurostat

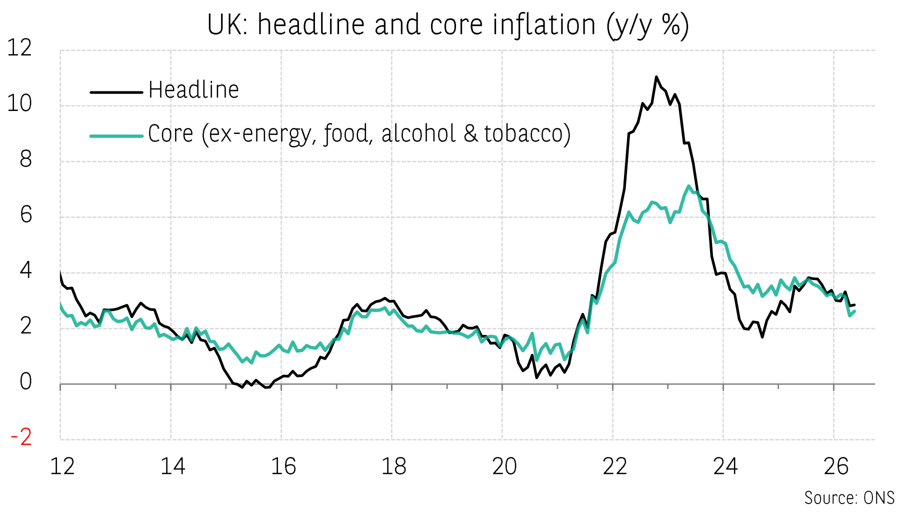


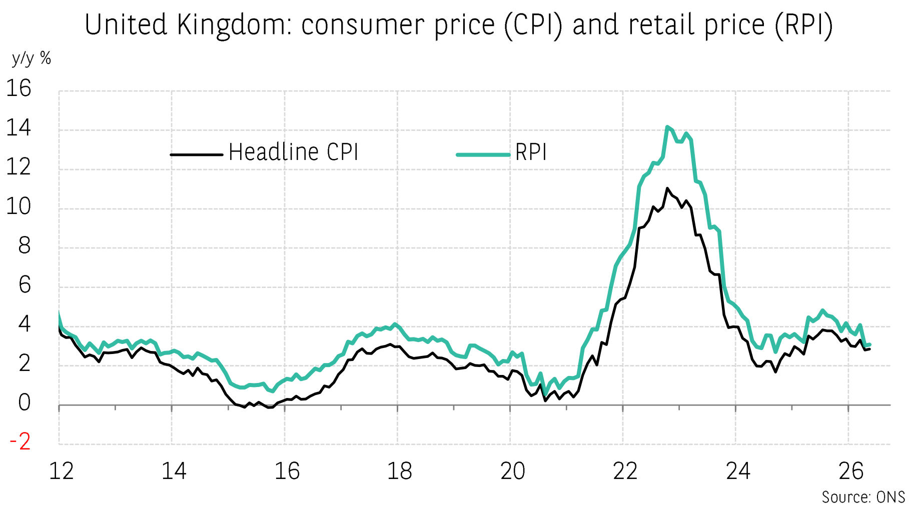
Source: Eurostat

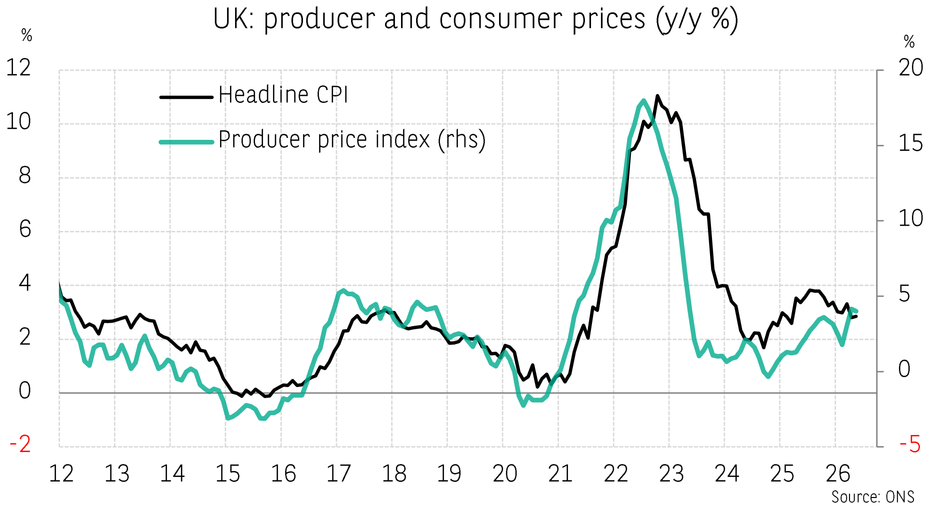


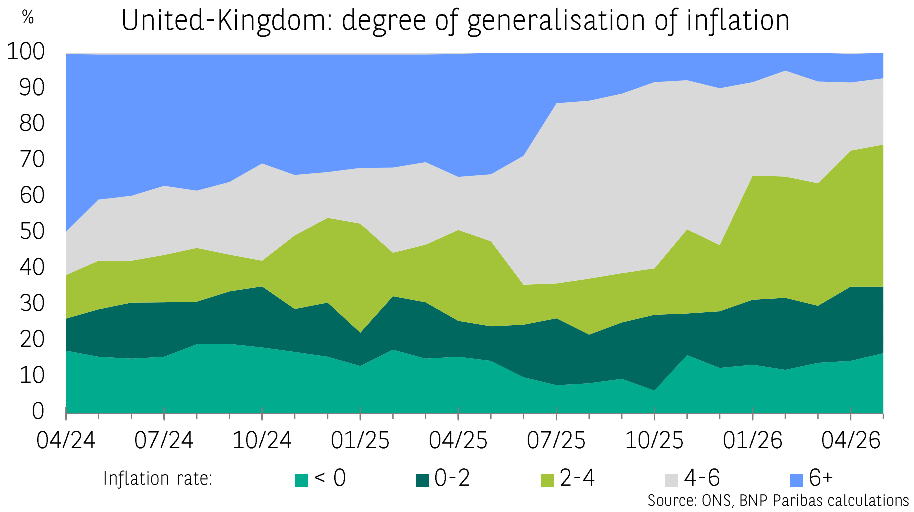
Source: Eurostat

Inflation dynamics in the United Kingdom: different metrics and degree of generalisation



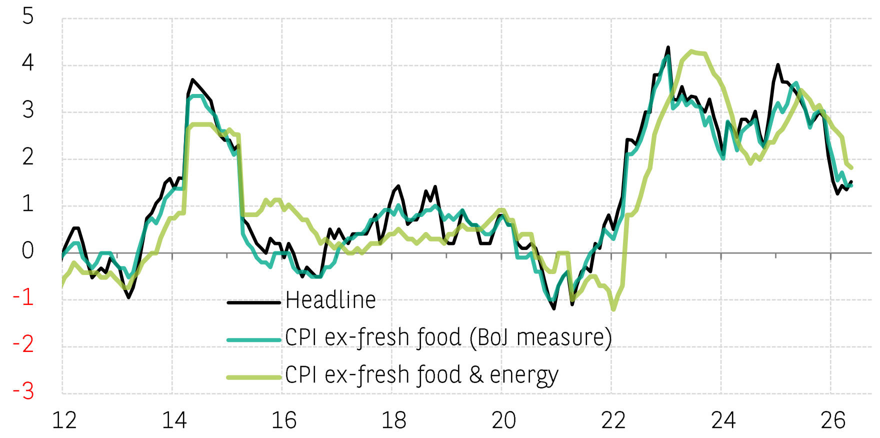






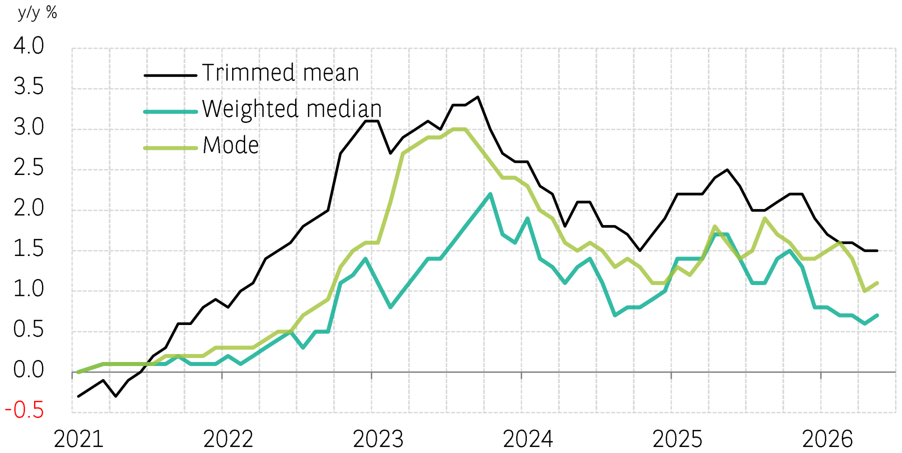
Inflation dynamics in Japan: different metrics and degree of generalisation

Japan: headline and core inflation (y/y %)



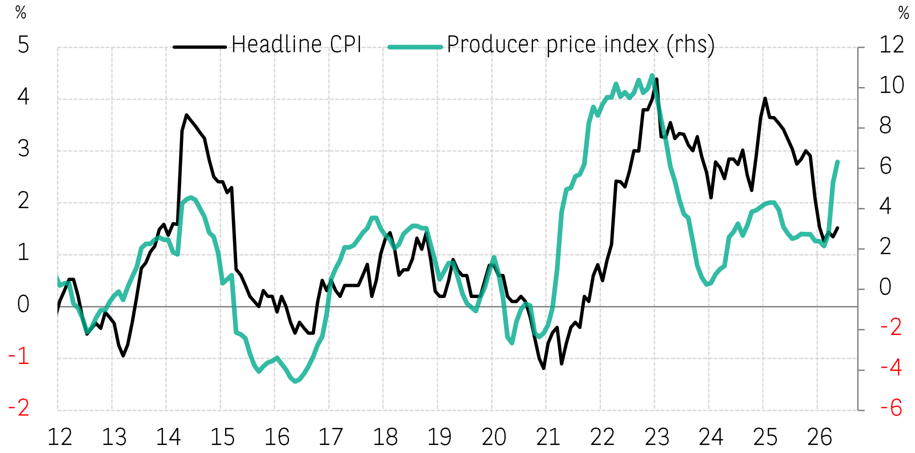
Source: Statistics Bureau of Japan

Japan: alternative inflation measures



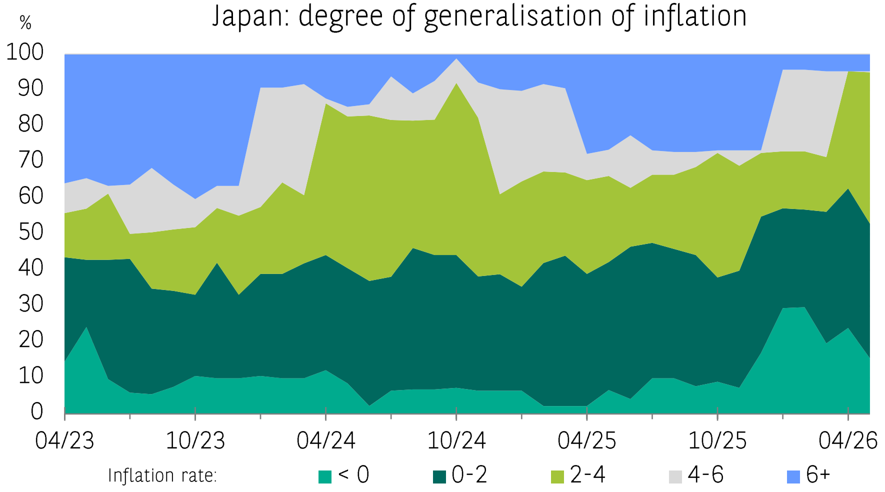
Source: Bank of Japan

Japan: producer and consumer prices (y/y %)



Source: Japan Statistics Bureau, BOJ

Japan: degree of generalisation of inflation



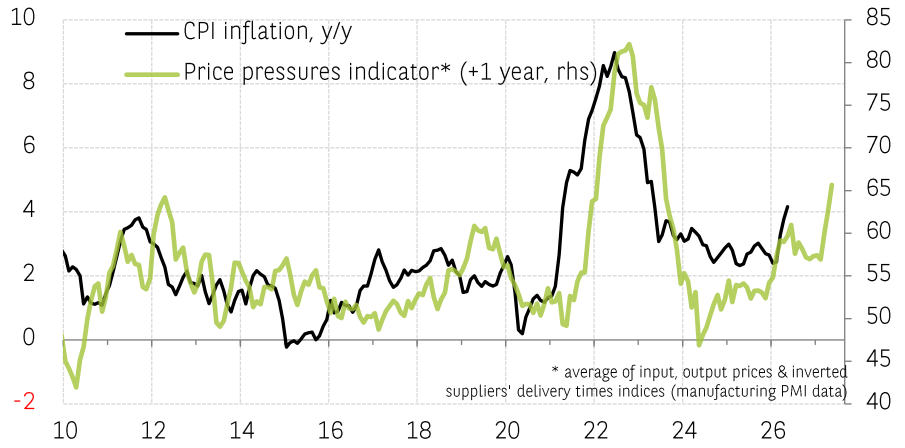
Source: Bureau des Statistiques du Japon, calculs BNP Paribas

Inflation and survey data:

Except in Japan, price pressure indicators continue to increase.

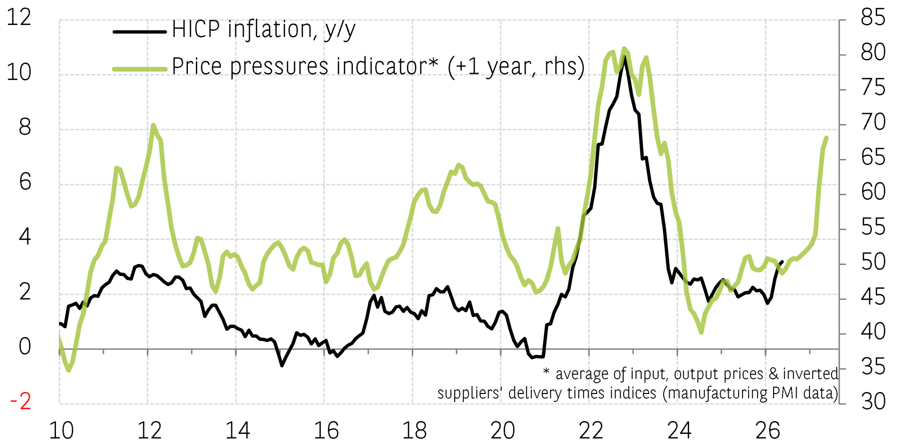
PMI surveys: an indication of inflationary pressures

US: inflation and price pressures indicator



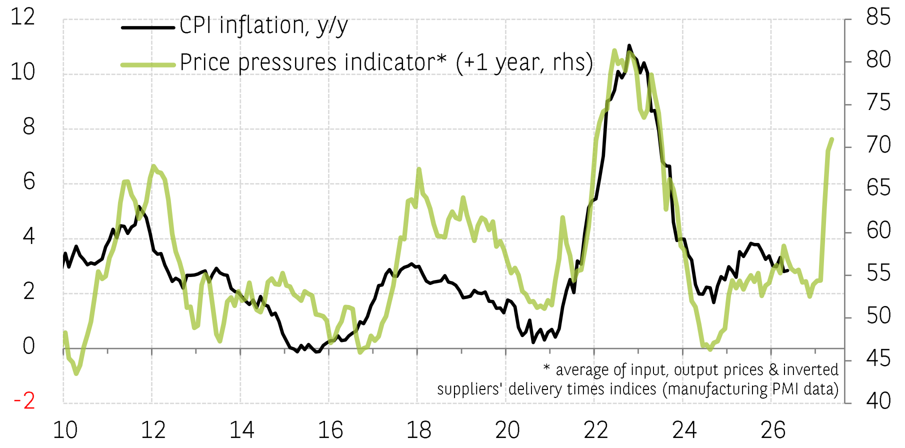
Source: BLS, S&P Global

Eurozone: inflation and price pressures indicator



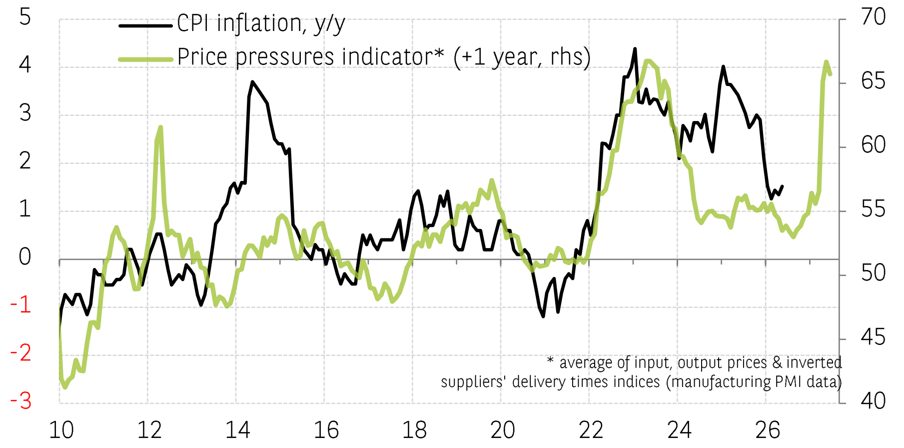
Source: Eurostat, S&P Global

UK: inflation and price pressures indicator



Source: ONS, S&P Global

Japan: inflation and price pressures indicator



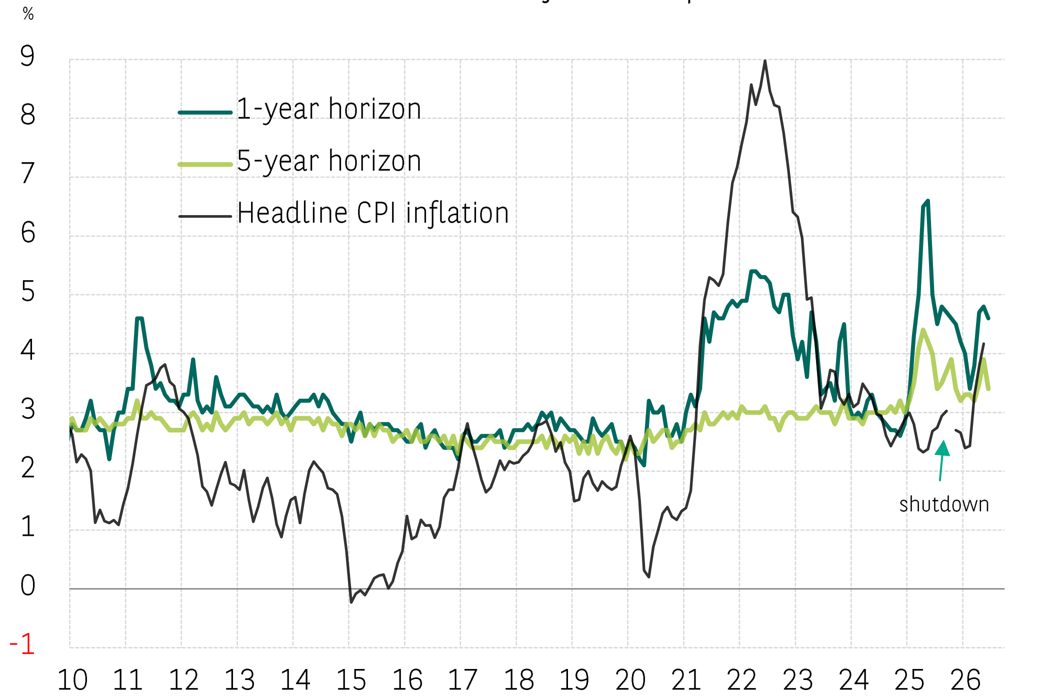
Source: Statistics Bureau of Japan, S&P Global

Inflation expectations (households, forecasters, markets):

Inflation expectations are gradually stabilising.

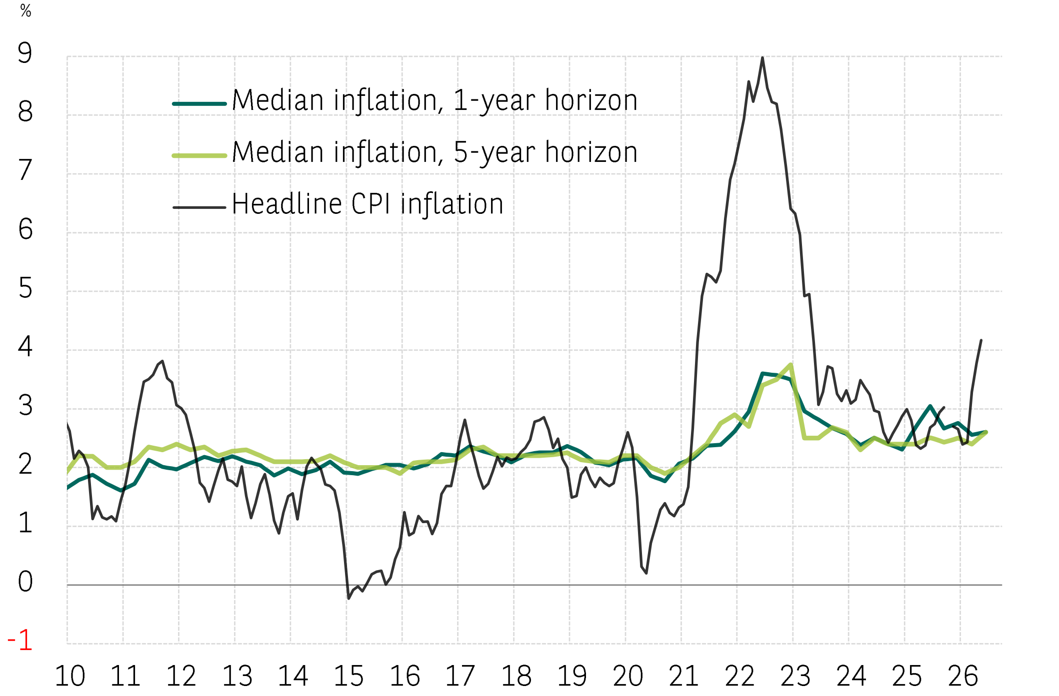
Inflation expectations in the United States

US: consumer inflation expectations



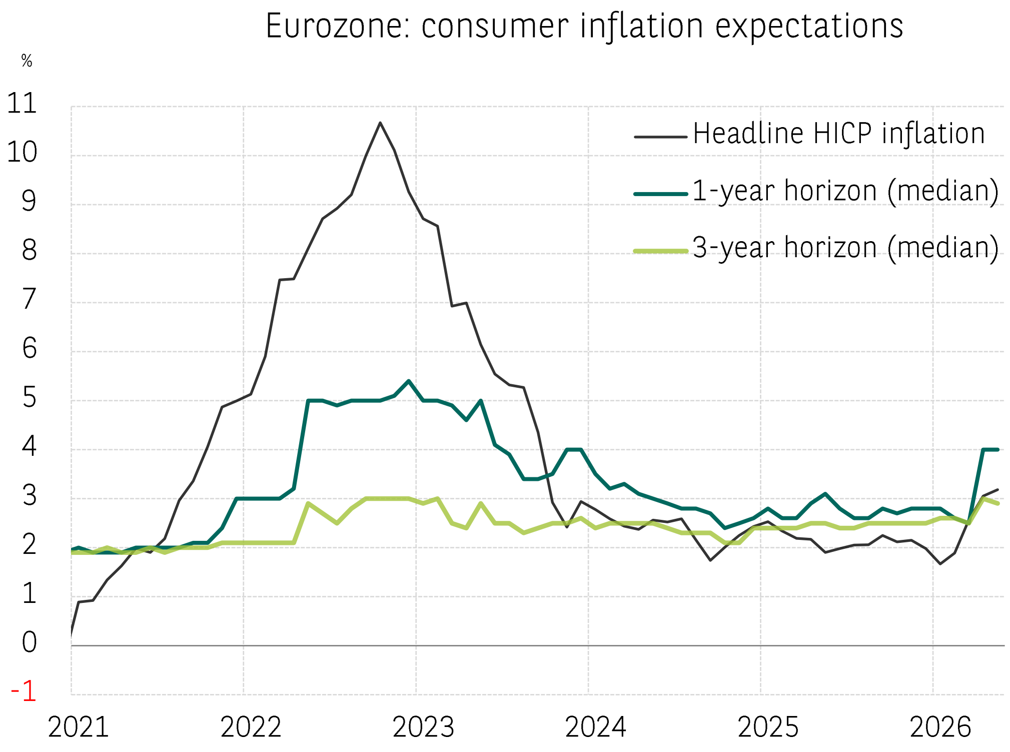
Source: University of Michigan, BLS

US: Survey of professional forecasters

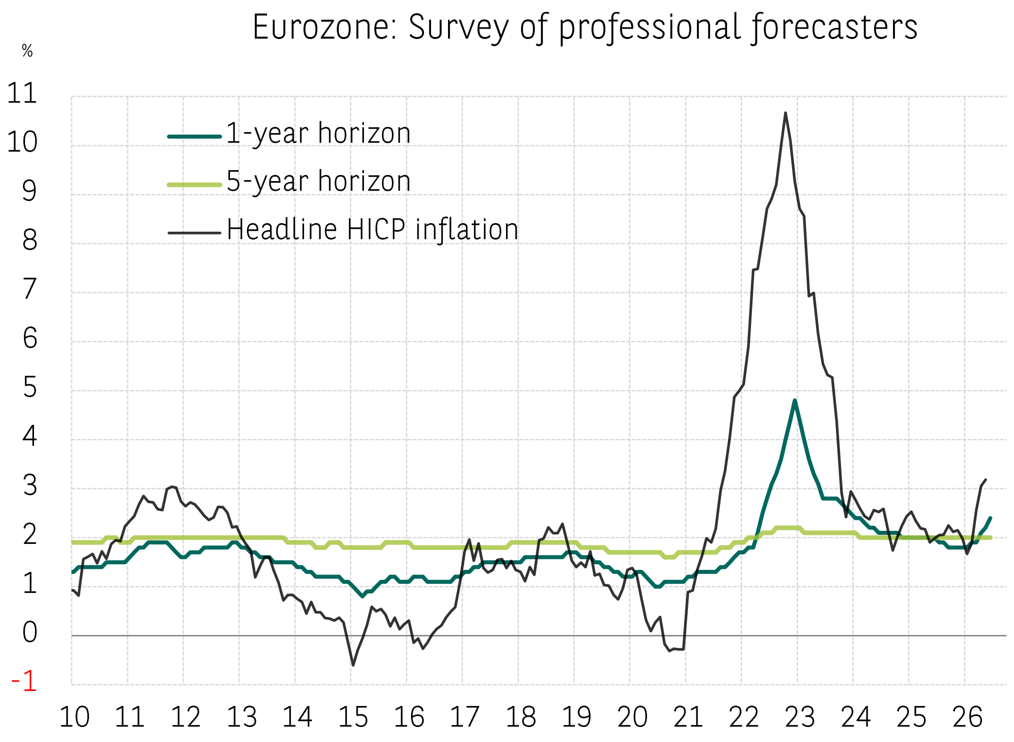


Source: Philadelphia Fed (SPF), BLS

Inflation expectations in the Eurozone

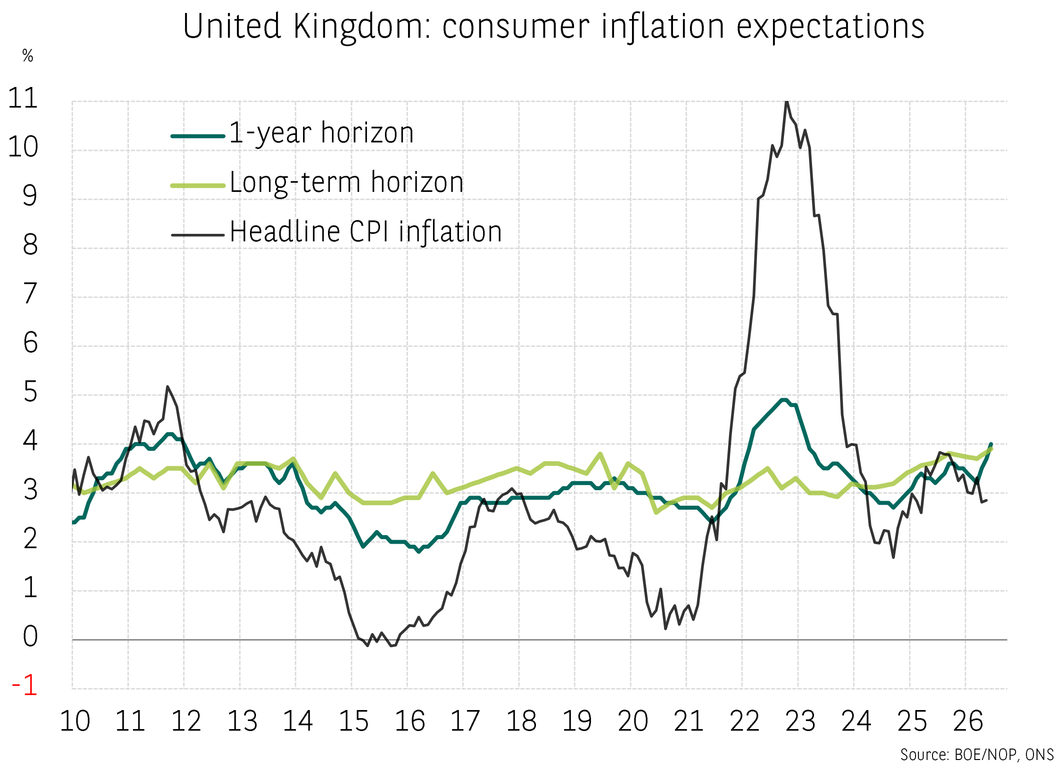


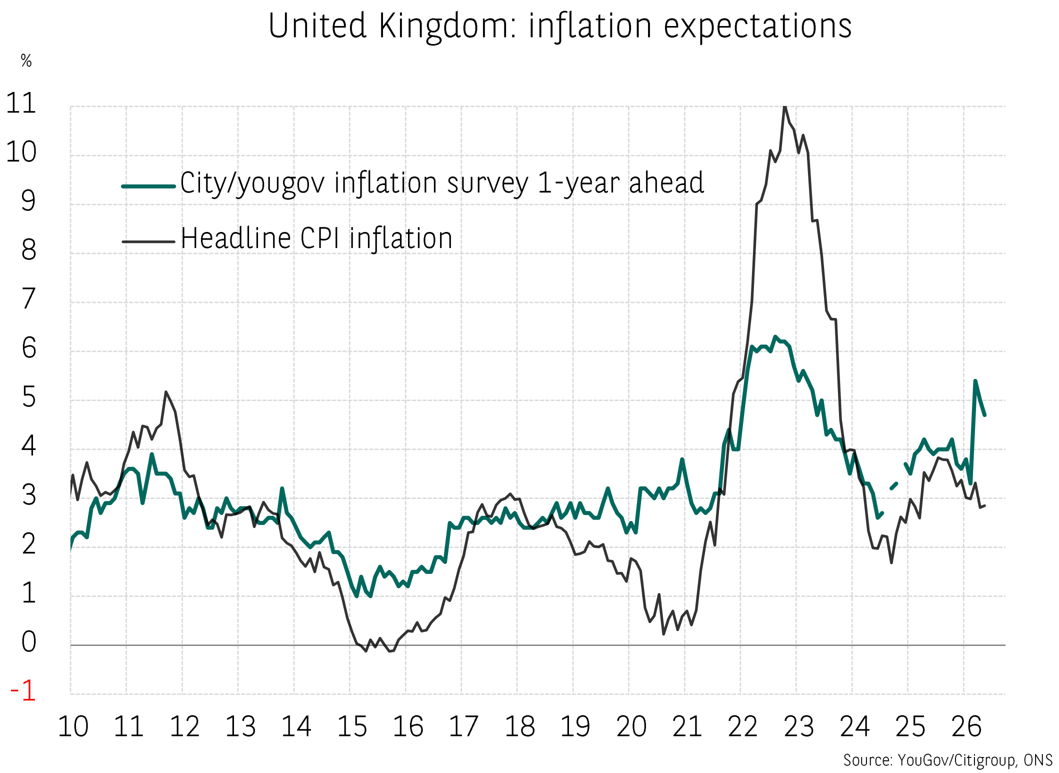
Source: Eurostat, ECB (CES survey)



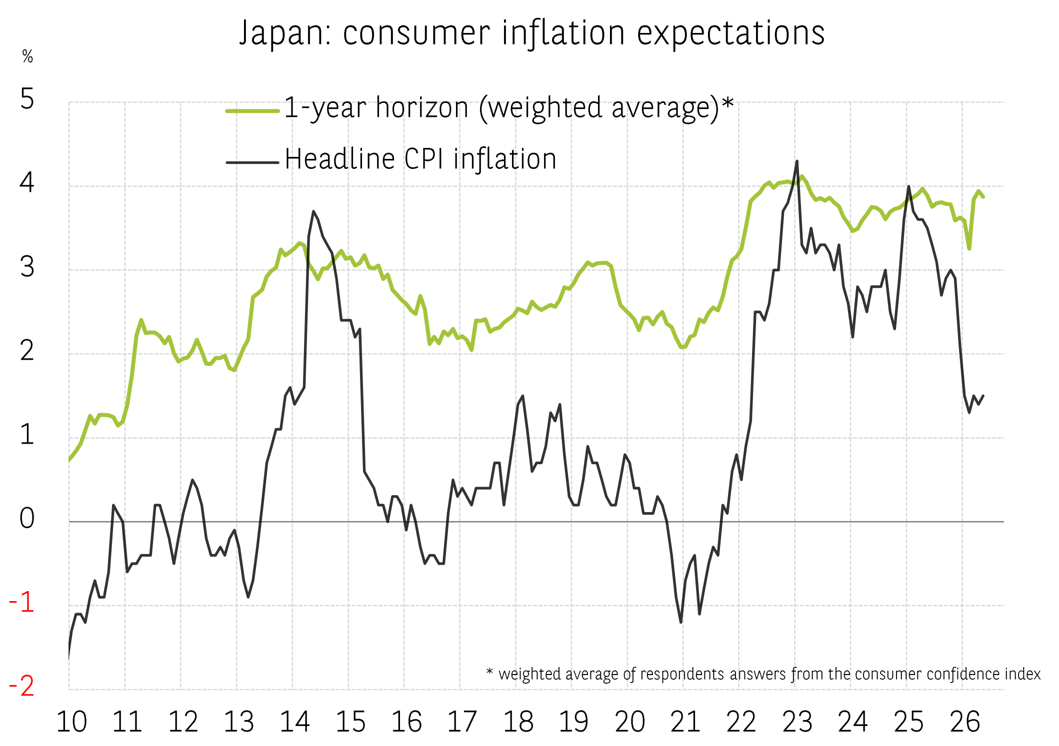
Source: ECB (SPF), Eurostat

Inflation expectations in the United Kingdom

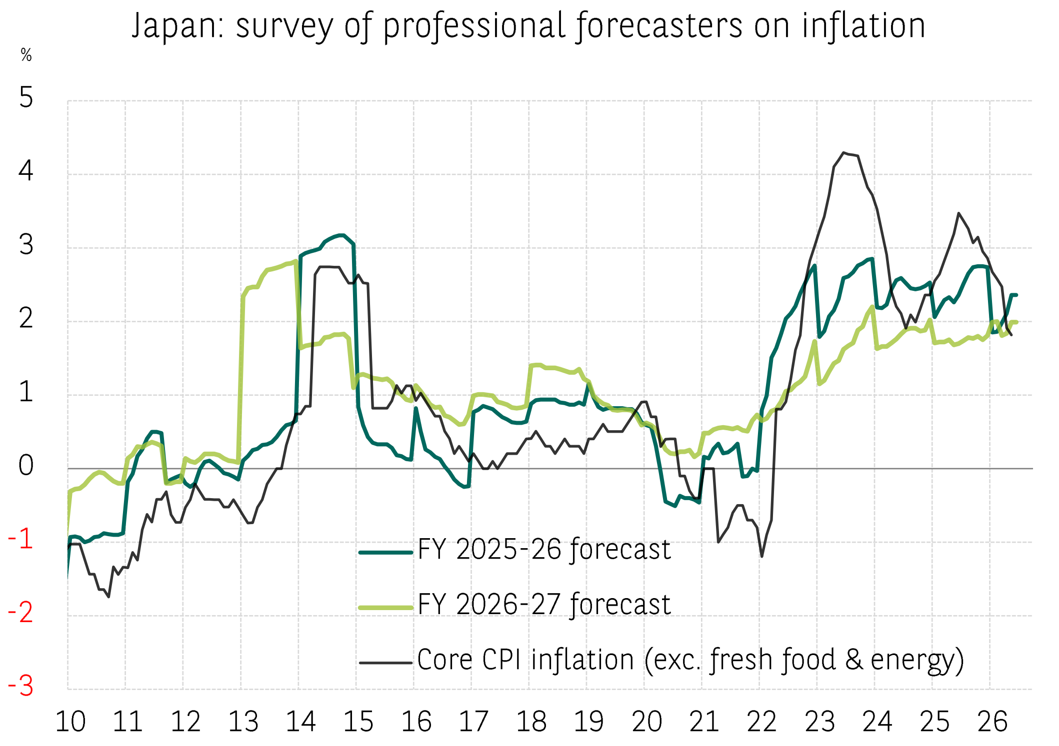




Inflation expectations in Japan



Source: Statistics Bureau of Japan, Cabinet Office



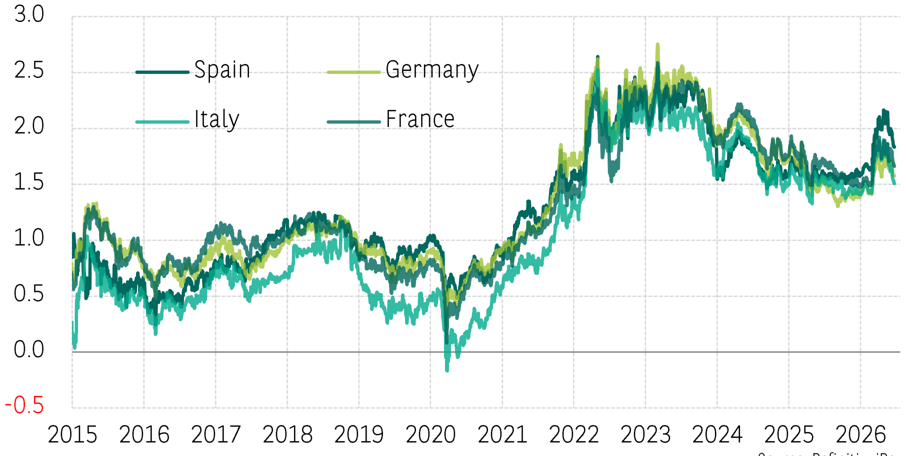
Source: Japan Center of Economic Research, Jaan Bureau of Statistics

Market expectations: breakeven inflation rate

US breakeven rate (10-years Treasury note)

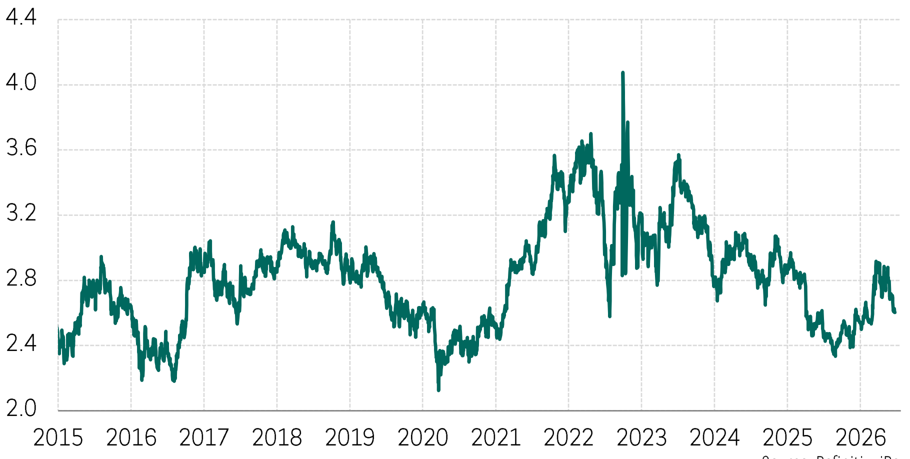
Source: Federal Reserve

Eurozone breakeven rate (10-years government bonds)



Source: Refinitiv, iBoxx

UK breakeven rate (10-year Gilts)

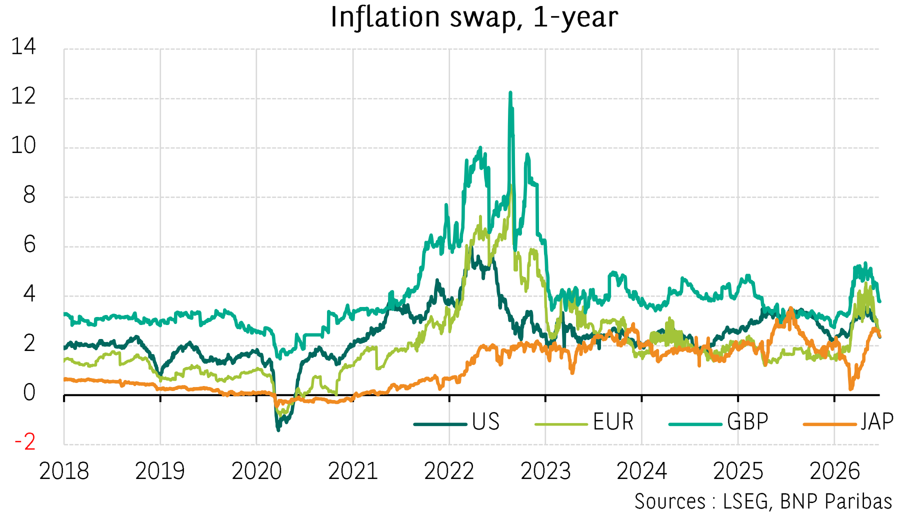


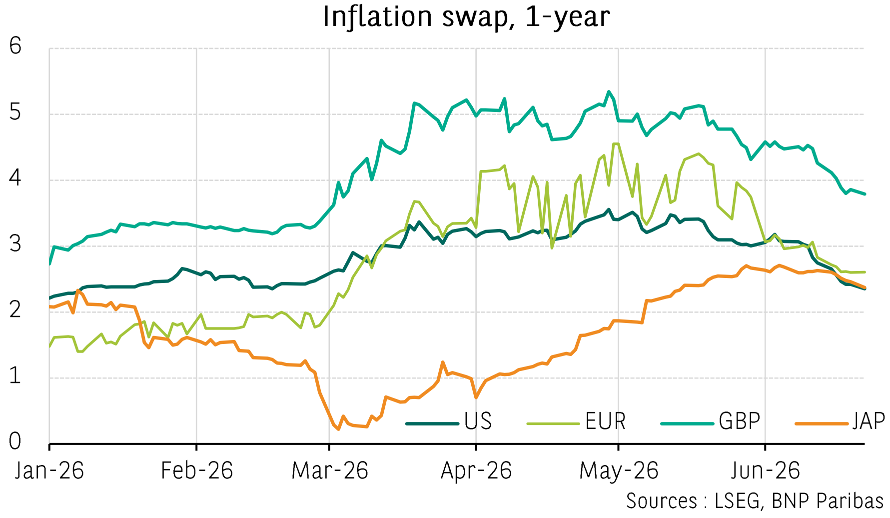
Source: Refinitiv, iBoxx

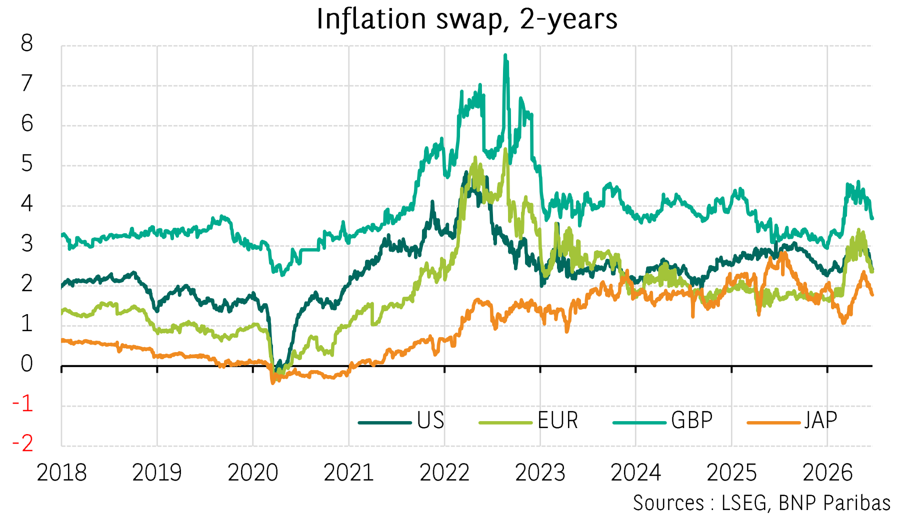
Japan breakeven rate (5-10-year JGBs)*

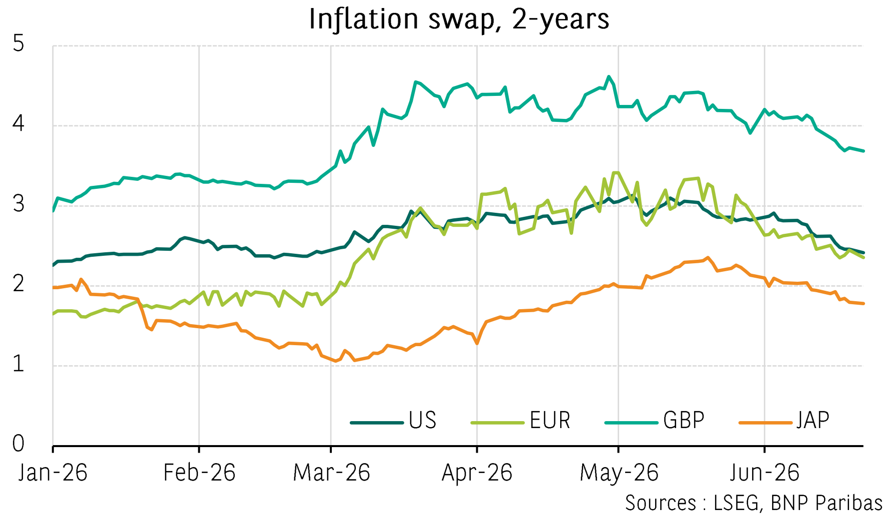
Source: Refinitiv, iBoxx

Market expectations: swap rate (1)

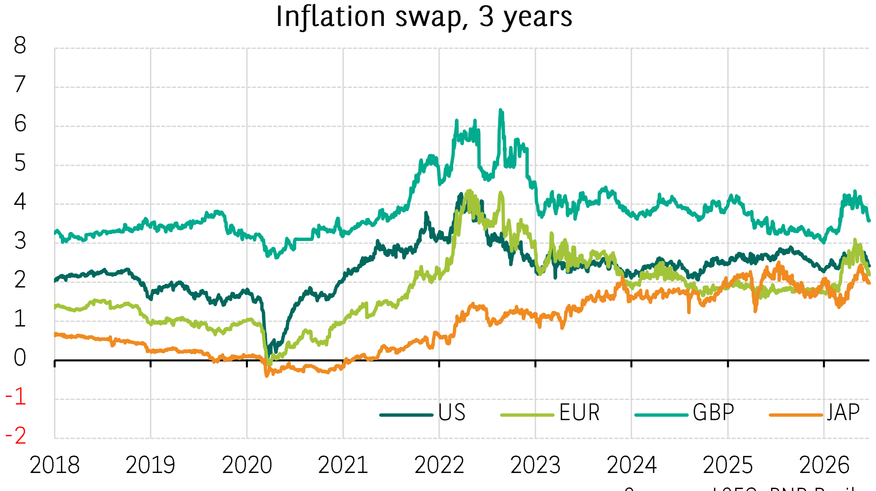




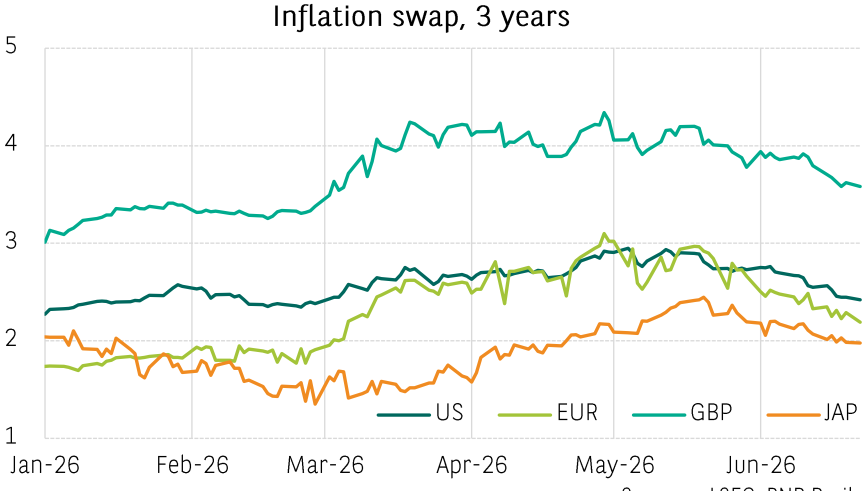




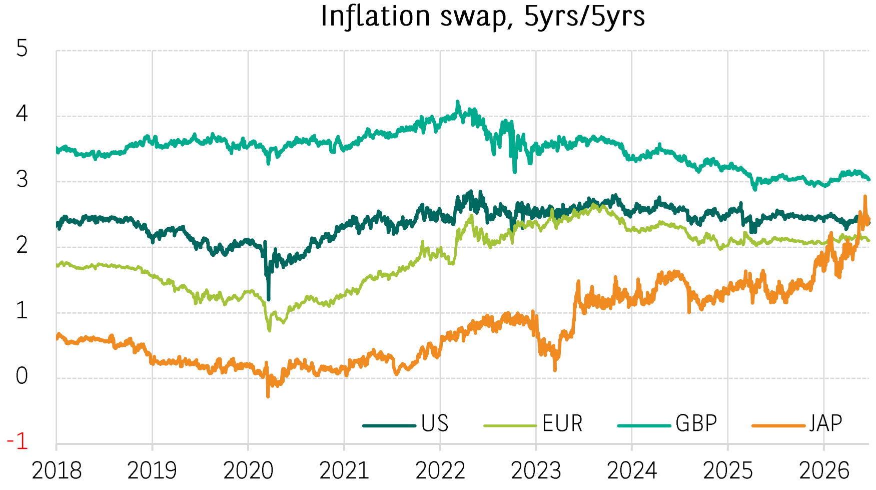
Market expectations: swap rate (2)



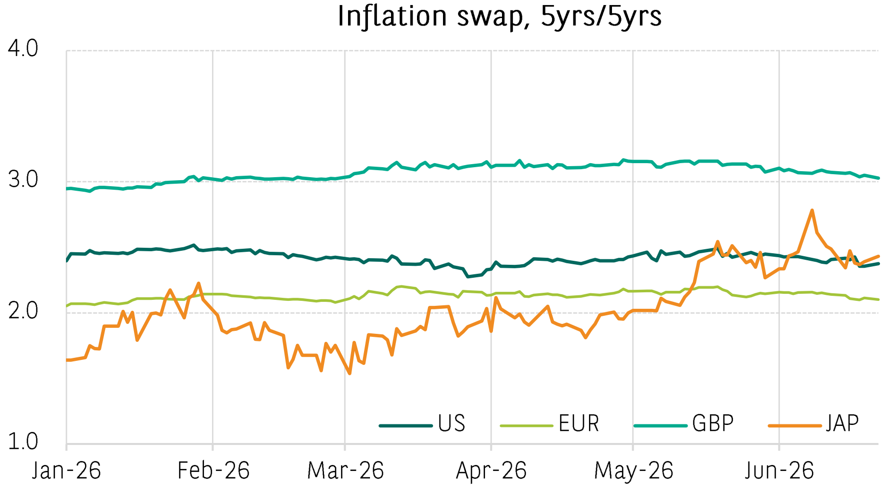
Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas

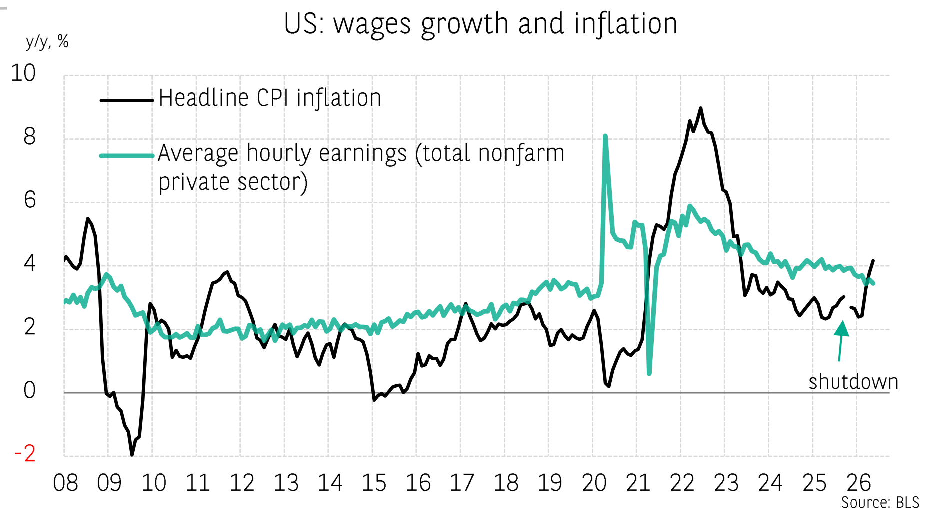


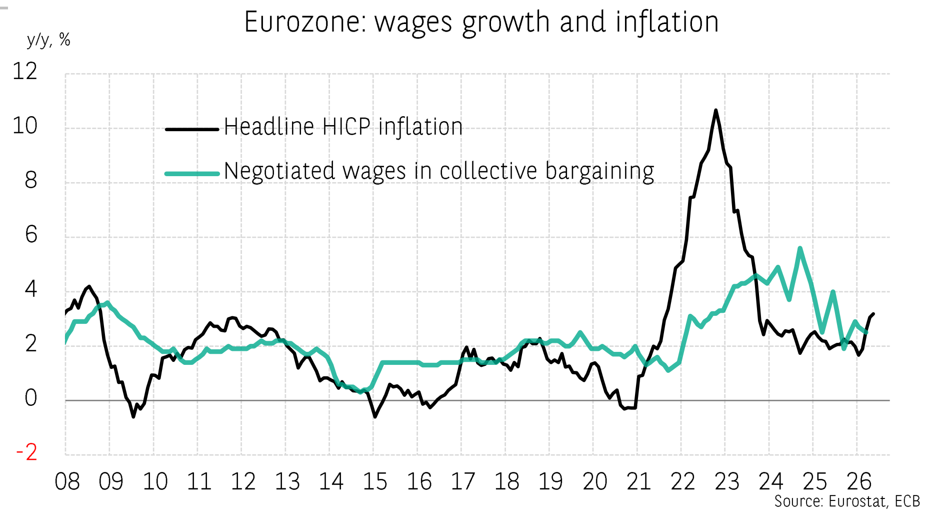
Sources : LSEG, BNP Paribas

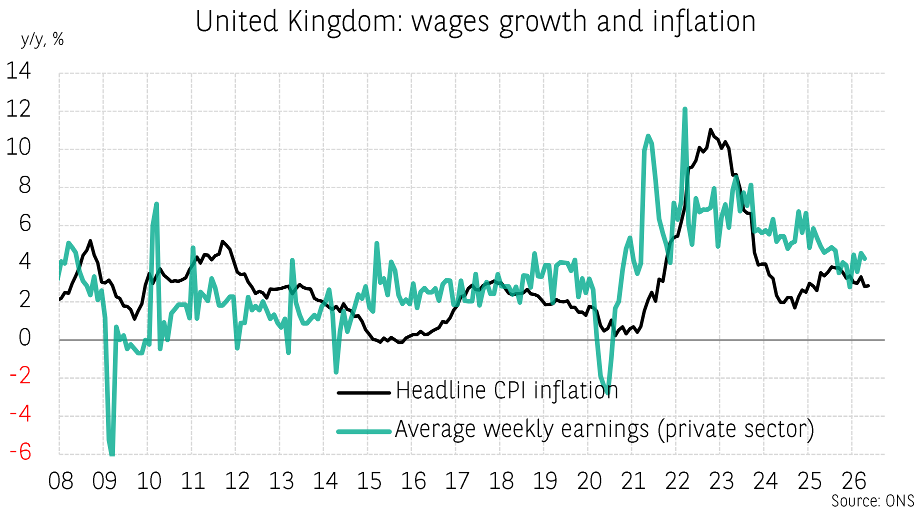
Inflation-wage dynamics:

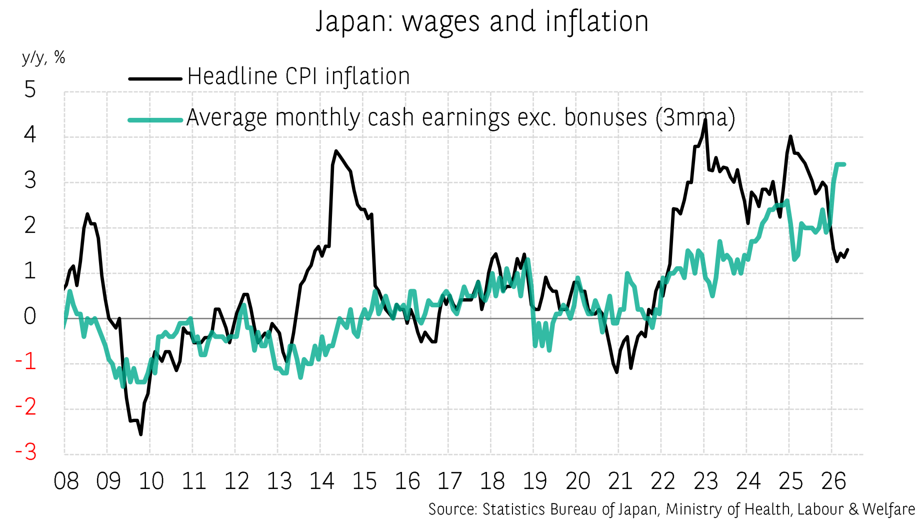
Still no signs of a wage-price spiral.

Inflation-wage dynamics







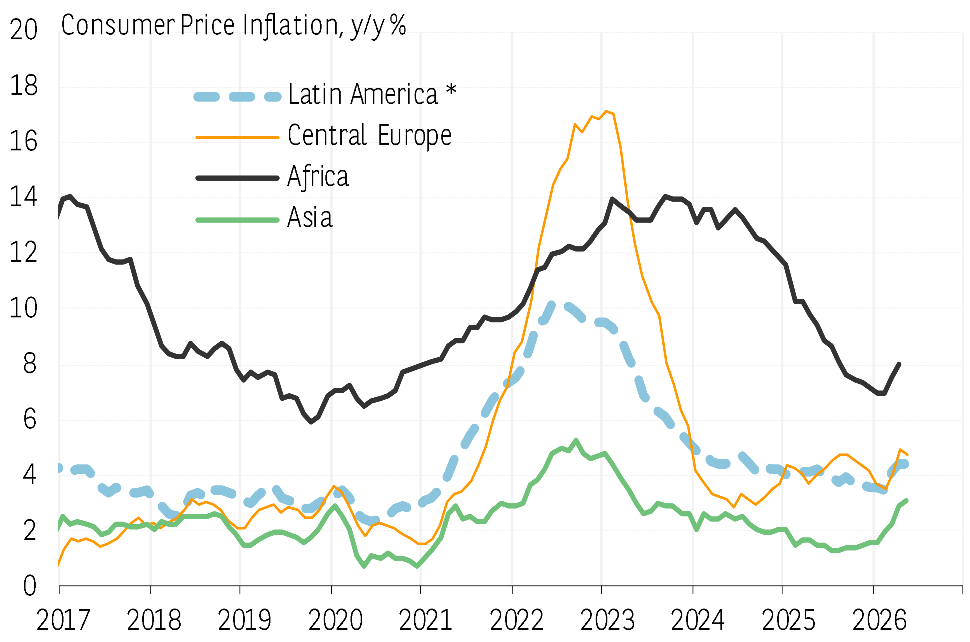


Emerging Economies:

Inflation is rising moderately due to the energy shock.

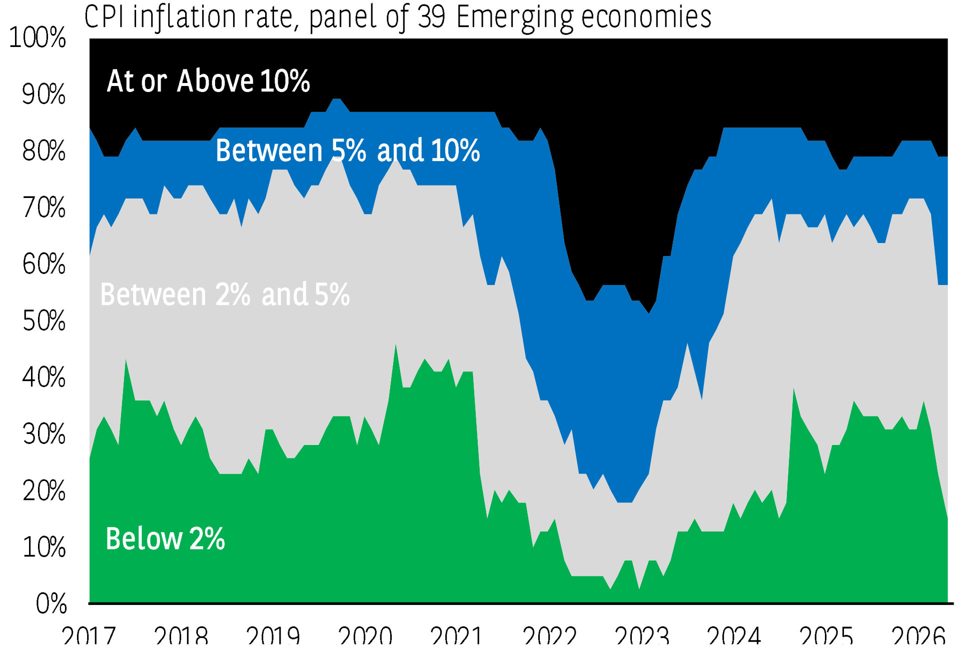
Inflation dynamics in emerging economies: degree of generalisation

Emerging countries: Average inflation rates by region



Source: Central banks, Macrobond, BNP Paribas

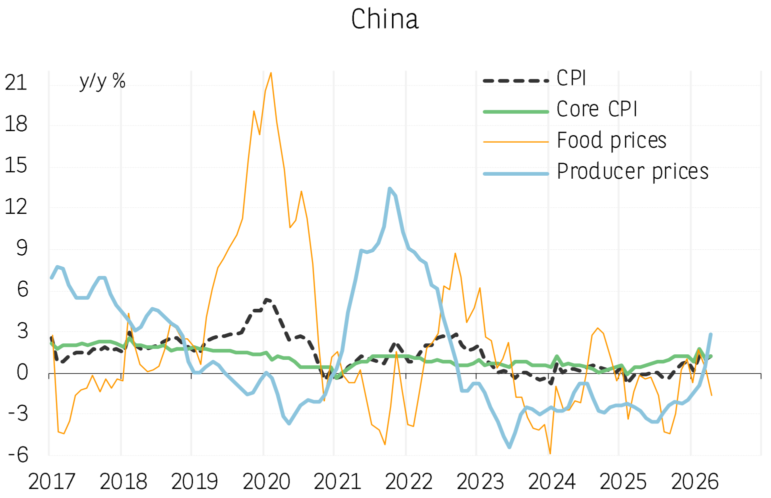
Emerging countries: Widespread increase in inflation pressures

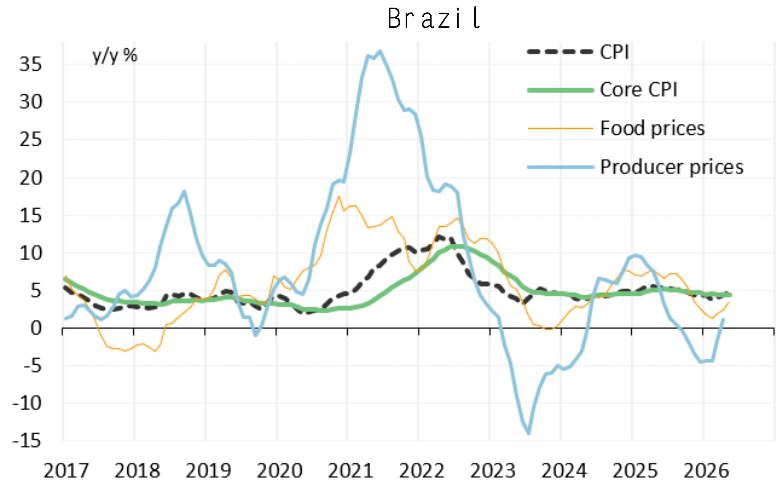


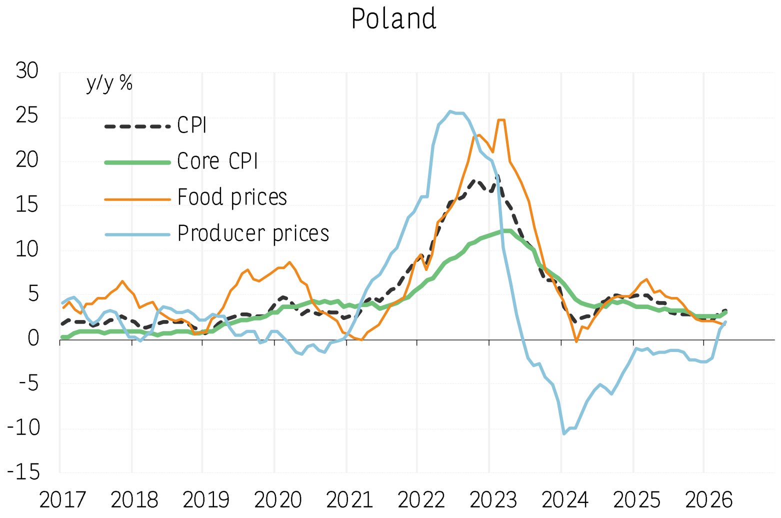
Source: Central banks, Macrobond, BNP Paribas

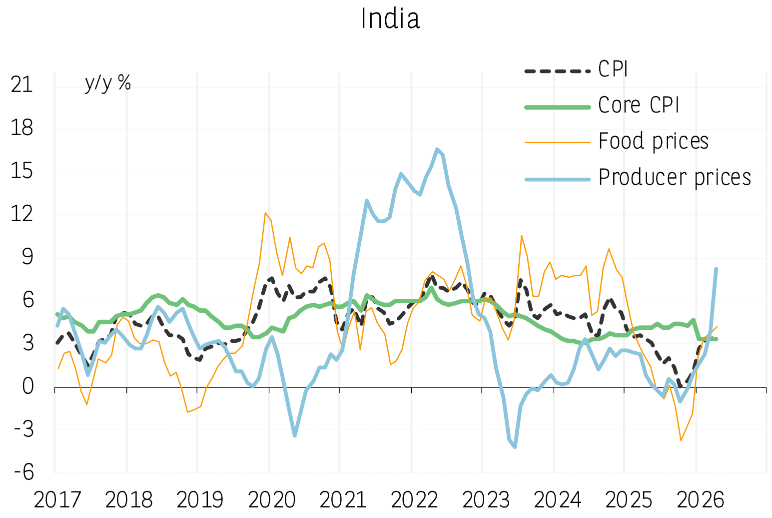
* Latin America: Brazil, Chile, Colombia, Mexico, Peru.
Central Europe: Bulgaria, Croatia, Czech Rep., Hungary, Poland, Romania, Slovakia.
Africa: Algeria, Angola, Egypt, Kenya, Morocco, Nigeria, South Africa, Tunisia.
Asia: China, Hong Kong, India, Indonesia, Malaysia, Philippines, Singapore, South Korea, Taiwan, Thailand, Vietnam.

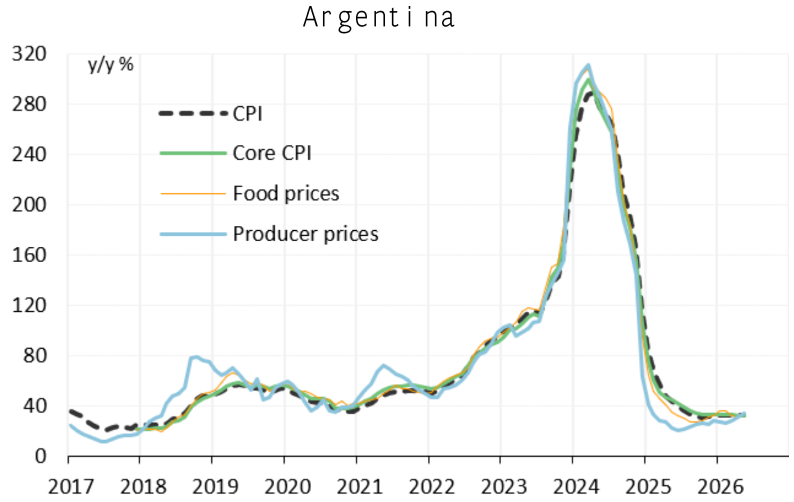
Dynamics and breakdown of inflation in six large emerging economies

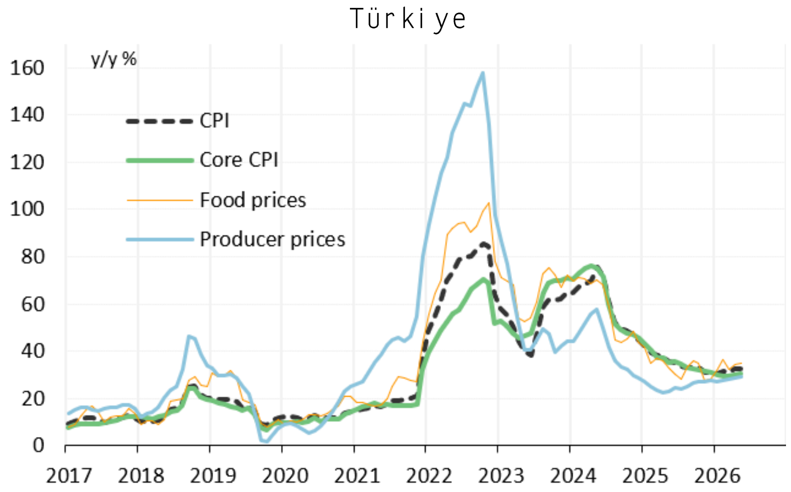












Source: Central banks, Macrobond, BNP Paribas

Commodities:

Commodity prices decline following the announcement of a draft agreement between the United States and Iran.

Commodities

WTI crude oil price, USD/barrel

Source: Refinitiv

Natural gas price, USD/million BTU

Source: Nymex

S&P GSCI industrial metal spot price index

Source: Standard & Poors

S&P GSCI agriculture spot price index

Source: Standard & Poors

BNP PARIBAS ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

ECOCHARTS

JUNE 2026

Energy shock: Dashboard 2026 vs. 2022

BNP PARIBAS

The bank for a changing world

Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those for the war in Ukraine and the subsequent energy shock? Although there are similarities, there are many uncertainties.

The ongoing energy-led inflation rise should be less strong, as demand is less dynamic and supply is less constrained today compared with the situation in 2022. Conditions do not appear to be conducive to a significant propagation of the rise in energy prices.

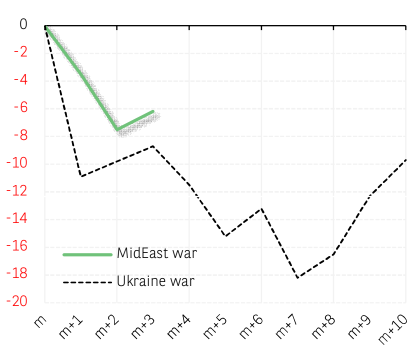
The data available to date supports this view, but the situation still needs to be monitored closely. The Memorandum of Understanding (MoU) between the United States and Iran provides some relief but many uncertainties remain. The recent fall in oil prices is good news, but it must continue over the long term. Nevertheless, it is a headwind that is easing, which reinforces our scenario of global growth resilience. Inflation is expected, however, to remain supported for some time by the lagged effects of tensions on oil and other commodity prices and on value chains. The context remains inflationary, albeit to a lesser extent than before the MoU, but enough to justify a more restrictive stance from central banks.

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard is featuring charts and comments will be updated on a monthly basis for as long as necessary.

May 2026: Small but encouraging rebound in consumer confidence in the Eurozone

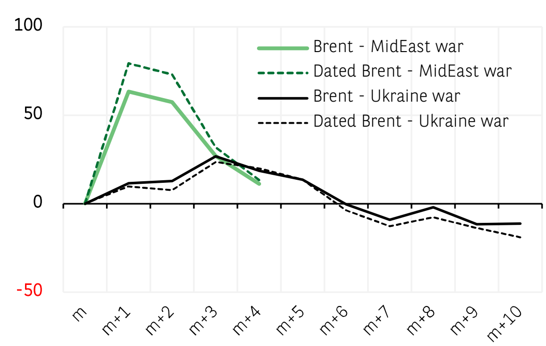
Eurozone: Consumer confidence
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: European Commission, Macrobond, BNP Paribas

June 2026: The expected reopening of the Strait brings relief on the oil market



Note: change % since 02/27/2026 - 02/23/2022; last price 06/19/2026

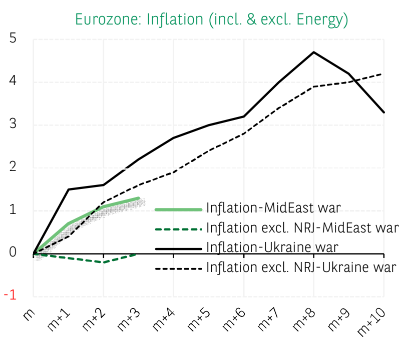
Source: Bloomberg, Ember, BNP Paribas

Eurozone: Inflation remains driven by energy, pressures continue to develop but without intensifying, confidence enjoys a respite

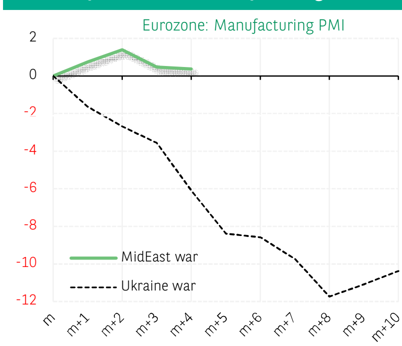
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices" components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the available data for May is rather positive. Granted, inflation keeps rising (+1.3 percentage points over three months), but the contribution of the "energy" component remains dominant. According to the PMIs business climate surveys, inflationary pressures continue to develop through rising input prices, while the increase in output prices is more contained. However, the lengthening of delivery times continues, which is likely to fuel inflation. Business confidence in the manufacturing sector has deteriorated a bit, after four consecutive months of improvement. This time, business confidence in services and consumer confidence are sources of good news: the former has stopped falling and the latter has slightly recovered. Now that the risk of a severe escalation of the conflict in Iran has decreased, it remains to be seen to which extent survey data will improve starting in June.

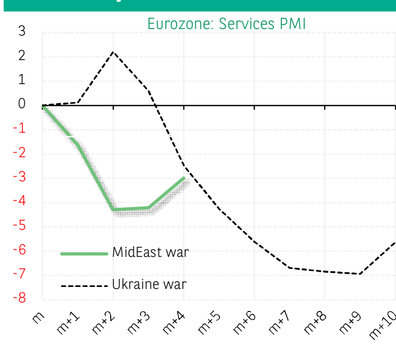
May 2026: The inflation rise remains energy-led



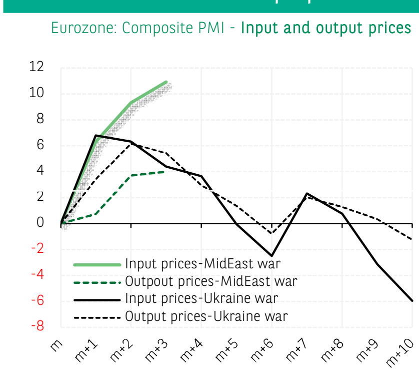
May 2026: Limited correction of business confidence in the manufacturing sector



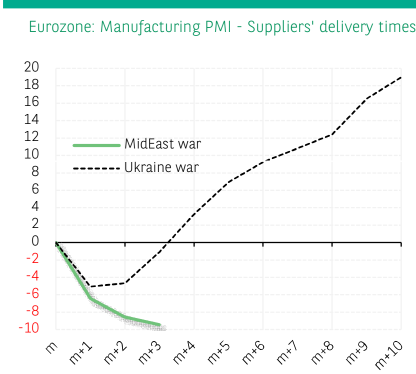
May 2026: No further deterioration in business confidence in the services sector



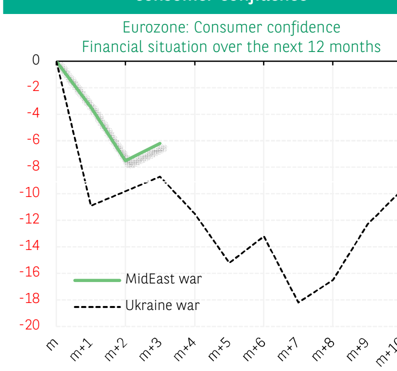
May 2026: Sharp rise in input prices continues, more limited one in output prices



May 2026: More signs of rising tensions on supply (longer delivery times)



May 2026: Small but encouraging rebound in consumer confidence



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Oil prices pushes inflation higher and household sentiment is under growing pressure

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

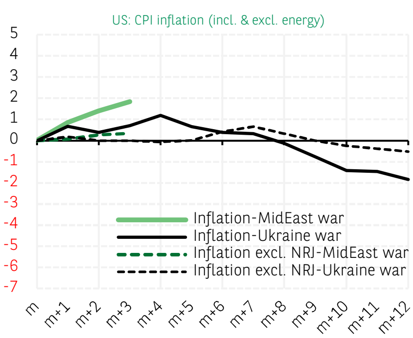
CPI inflation recorded its largest monthly increase since 2022 in March and stood at 4.2% y/y in May (+1.8pp in three months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up as well but to a lesser extent (+0.3pp to 2.9% y/y in three months).

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

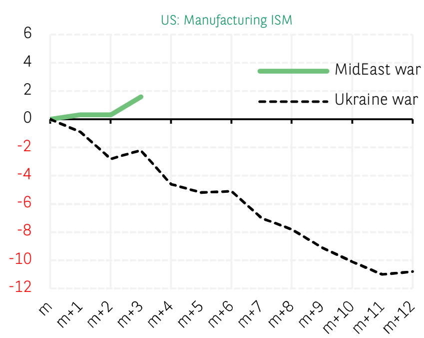
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations have risen.

However, macro conditions are significantly less inflationary than in 2022, although small businesses have raised their price plans.

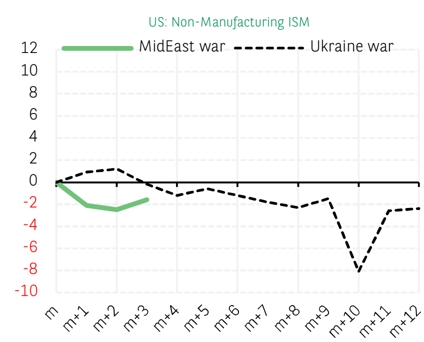
May 2026: Energy-related inflation bounce



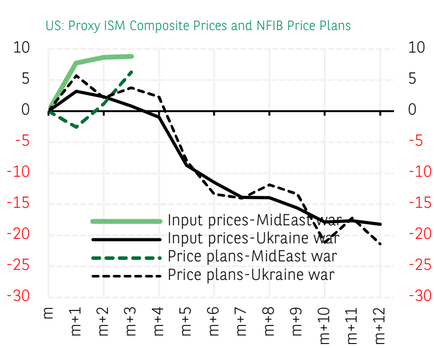
May 2026: Positive trend for manufacturing business sentiment



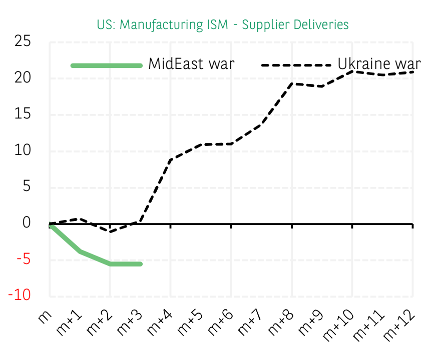
May 2026: Services business sentiment still buoyant



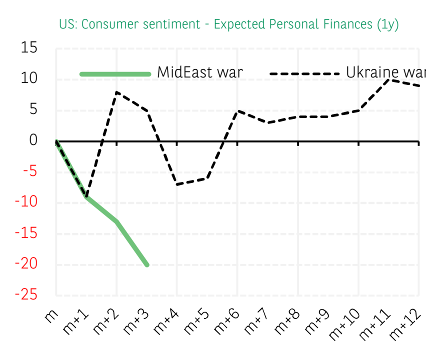
May 2026: Very elevated input prices, another rise in price plans



May 2026: Longer delivery times



June 2026: Growing concerns among households



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

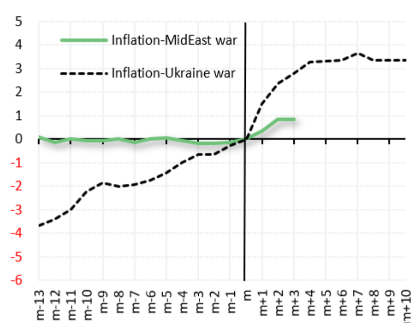
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 while the volatility of capital flows reflects investors' nervousness

In May 2026, the average CPI inflation rate for the main emerging economies was broadly stable at 4.7% y/y after 4.8% in April. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. Manufacturers' opinion on the trend in input & output prices has stopped deteriorating but remains higher than in 2022.

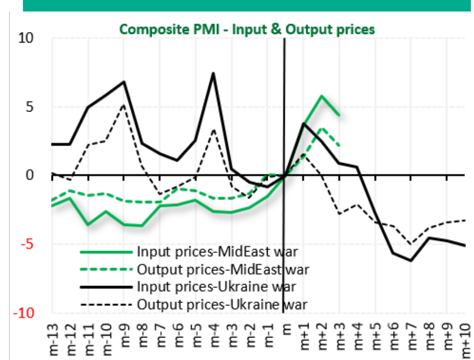
The manufacturing PMI was stable in May after the rebound in April. The impact on manufacturing activity since the beginning of the military intervention in Iran is less severe than in 2022 but the situation remains fragile.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment flows in the main emerging markets showed a new strong reversal (USD-26.6 bn) in May after the rebound in April. Volatility in capital flows since March has showed investors' nervousness given the very high geopolitical uncertainty. In May, the reversal in investment flows was concentrated in equities while debt flows remained positive. EM Asia alone accounted for more than half of the total EM outflow, driven by large equity selling in South Korea and India. The announcement of an agreement between US and Iran may result in a new positive correction in June.

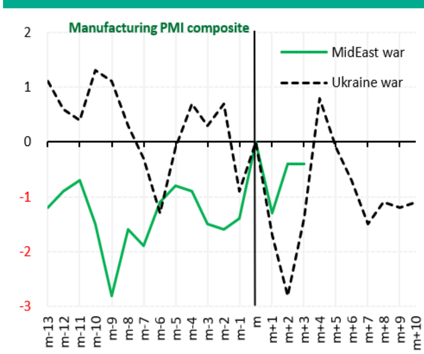
May 2026:
A much less severe CPI inflation rebound ...



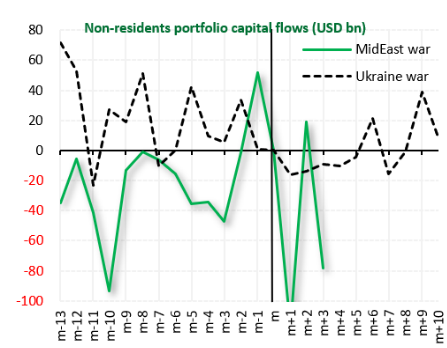
May 2026: ... but a stronger acceleration in input and output producer prices



May 2026: Better business confidence after the March shock



May 2026:
A marked volatility in capital flows since March



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

Oil & gas: Prospects for the reopening of the strait of Hormuz are easing tensions in the hydrocarbon market, but prices remain high

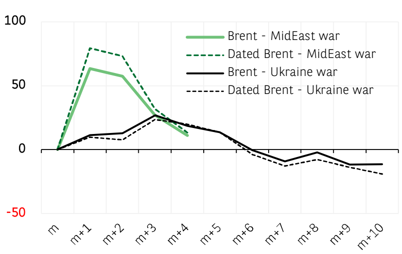
Until the agreement extending the ceasefire (second half of June), European oil and gas prices had reacted more strongly to the energy shock caused by the war in the Middle East than they had to the shock that followed Russia's invasion of Ukraine. This is no longer the case now that the prospects for a resumption of traffic through the strait of Hormuz are becoming more tangible.

Oil: Brent crude prices had reached very high levels during the first three months of the conflict in Iran. Fears of a short-term shortage — due to a decline in the volume of oil available on the market caused by the closure of the strait of Hormuz, repeated attacks on production capacity in the Gulf, and restrictions on traffic through the strait — led to a sharp reaction in the price of physical crude (dated Brent). Since early June, Brent prices have fallen sharply, and the spread between the prices of futures (Brent) and physical price (dated Brent) has narrowed for two reasons: 1/ First, the accelerated drawdown of OECD inventories, the decline in Chinese oil imports, and the beginning of a resumption of traffic through the Strait; 2/ Second, the announcement of the extension of the ceasefire and the start of negotiations between the warring parties.

Gas: The reaction of the spot gas price in Europe (TTF) to the agreement between Iran and the United States has been more moderate than that of oil. This is due in particular to 1) European demand, which remains buoyed by the need to replenish inventories, and 2) the time required to bring all facilities back online, which will take longer for natural gas (due to the destruction of significant production and liquefaction capacity in Qatar) than for oil.

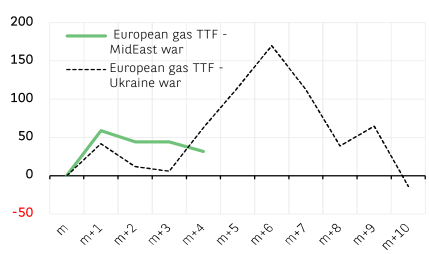
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonization of the electricity mix since 2022 and favorable weather conditions explain this recent development. Nevertheless, the prolonged heat wave affecting parts of Europe in June is expected to significantly boost electricity demand and drive prices higher.

June 2026: The expected reopening of the Strait brings relief on the oil market



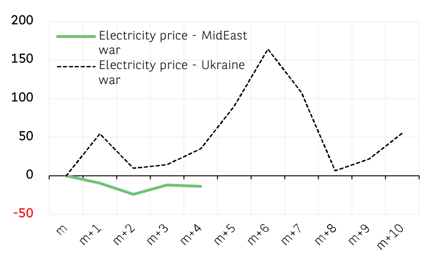
Note: change % since 02/27/2026 - 02/23/2022; last price 06/19/2026

June 2026: Gradual easing in tensions over liquefied natural gas prices in Europe



Note: change % since 02/27/2026 - 02/23/2022; last price 06/19/2026

June 2026: Wholesale electricity prices did not react



Note: change % since 02/2026 - 02/2022

Source: Bloomberg, Ember, BNP Paribas

ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com

Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com

Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marches financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France.
Some or all of the information contained in this document may already have been published on https://globalmarkets.bnpparibas.com.

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices: https://globalmarkets.bnpparibas.com/gm/home/Markets_360_Country_Specific_Notices.pdf

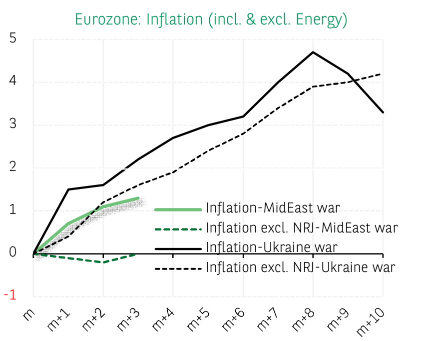
Subscribe to our publications:
ECONOMIC RESEARCH

Eurozone: Inflation remains driven by energy, pressures continue to develop but without intensifying, confidence enjoys a respite

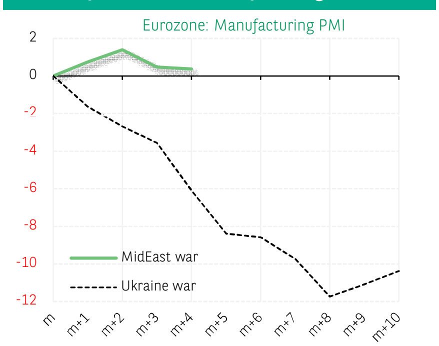
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices" components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the available data for May is rather positive. Granted, inflation keeps rising (+1.3 percentage points over three months), but the contribution of the "energy" component remains dominant. According to the PMIs business climate surveys, inflationary pressures continue to develop through rising input prices, while the increase in output prices is more contained. However, the lengthening of delivery times continues, which is likely to fuel inflation. Business confidence in the manufacturing sector has deteriorated a bit, after four consecutive months of improvement. This time, business confidence in services and consumer confidence are sources of good news: the former has stopped falling and the latter has slightly recovered. Now that the risk of a severe escalation of the conflict in Iran has decreased, it remains to be seen to which extent survey data will improve starting in June.

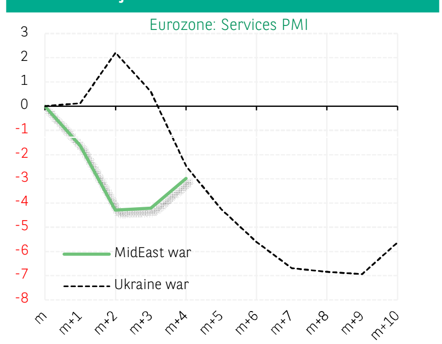
May 2026: The inflation rise remains energy-led



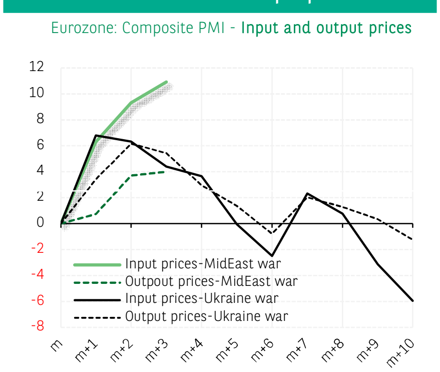
May 2026: Limited correction of business confidence in the manufacturing sector



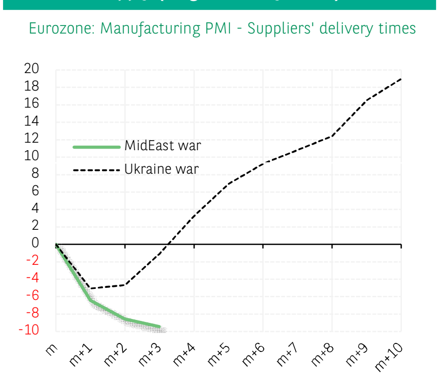
May 2026: No further deterioration in business confidence in the services sector



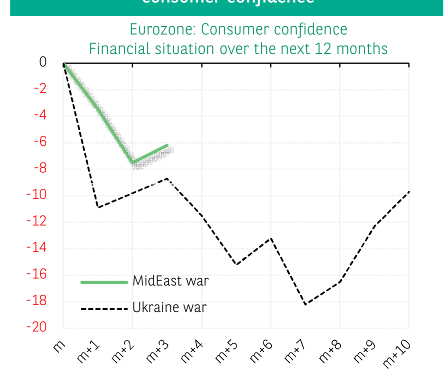
May 2026: Sharp rise in input prices continues, more limited one in output prices



May 2026: More signs of rising tensions on supply (longer delivery times)



May 2026: Small but encouraging rebound in consumer confidence



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Oil prices pushes inflation higher and household sentiment is under growing pressure

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

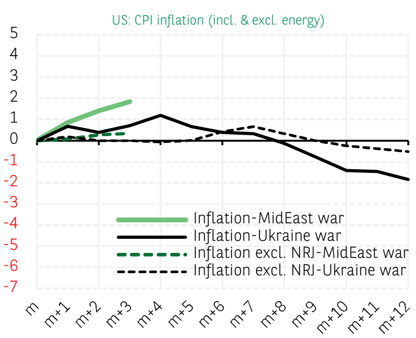
CPI inflation recorded its largest monthly increase since 2022 in March and stood at 4.2% y/y in May (+1.8pp in three months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up as well but to a lesser extent (+0.3pp to 2.9% y/y in three months).

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

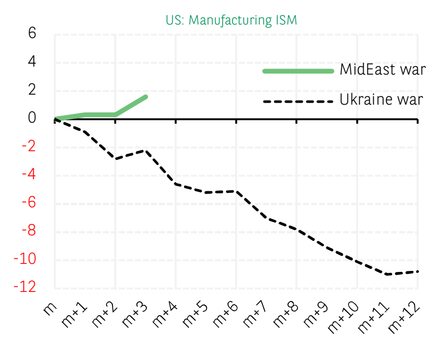
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations have risen.

However, macro conditions are significantly less inflationary than in 2022, although small businesses have raised their price plans.

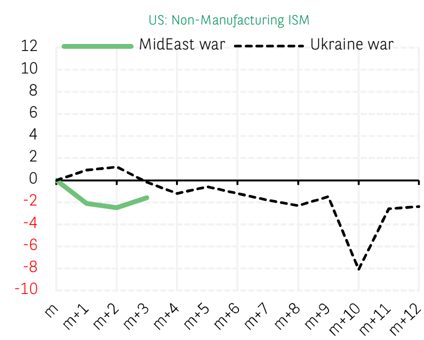
May 2026: Energy-related inflation bounce



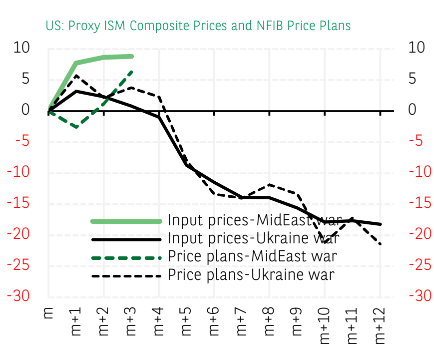
May 2026: Positive trend for manufacturing business sentiment



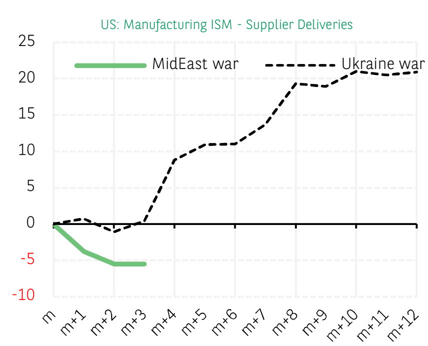
May 2026: Services business sentiment still buoyant



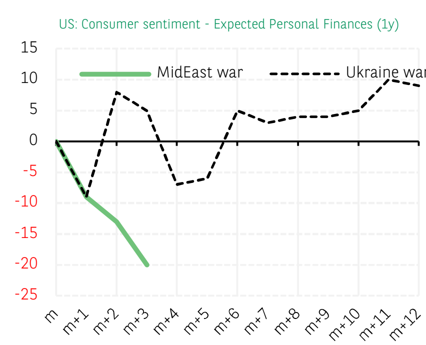
May 2026: Very elevated input prices, another rise in price plans



May 2026: Longer delivery times



June 2026: Growing concerns among households



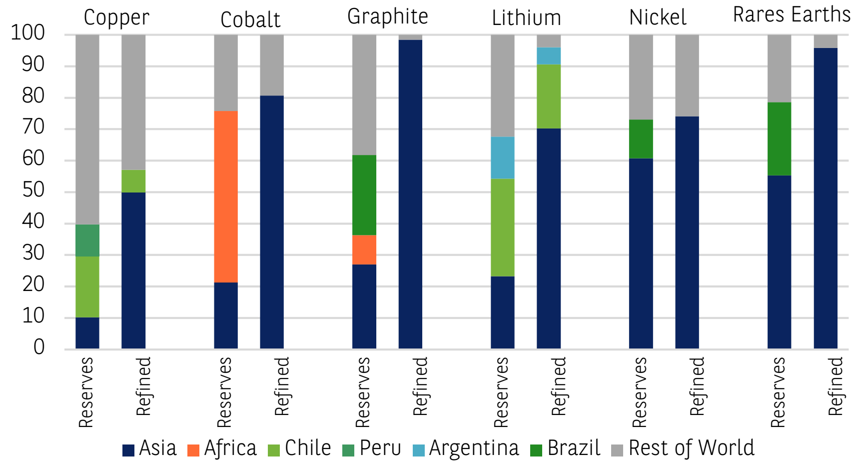
Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

LATIN AMERICA: ADDING VALUE TO CRITICAL MINERALS BEYOND MINING

Hélène Drouot

Reserves are concentrated in Latin America, while refining is dominated by China (2025, % of total)



Note: Refining data reflect global production of refined products for each mineral

SOURCE: IEA, USGS

High potential

The global race for artificial intelligence and the electrification of economies is leading to an increase in demand for metals. A recent study by S&P Global[1] indicates that global electricity consumption is projected to grow by nearly 50% by 2040, fuelling a sustained rise in demand for copper, lithium, nickel, and other critical minerals. According to the International Energy Agency, demand for copper could rise by 30 to 40% by 2040, while demand for lithium could increase four- to sixfold, depending on the pace of adoption of low-carbon technologies.

Latin America possesses a significant share of the world's critical mineral resources needed to meet this demand. However, the abundance of natural resources will not necessarily translate into accelerated economic growth in these countries.

According to data from the Economic Commission for Latin America and the Caribbean (ECLAC)[2], nearly 1,200 mining projects have been carried out in Latin America over the past two decades. Although critical minerals represent only around 25% of the total number of projects, they account for over 40% of the investment value, illustrating their strategic importance and capital intensity. According to the OECD[3], the number of lithium investment projects has increased ninefold since 2016, primarily in Argentina, followed by Chile and Brazil. Investment projects in nickel, cobalt, and rare earths have also seen substantial growth since 2020, particularly in Brazil.

Activities Restricted to Mining

However, the region is predominantly limited to mining operations, which still account for over 70% of investments. Higher value-added sectors such as refining, processing and innovation remain marginal; these activities are largely situated outside the region, primarily in China. This situation restricts the capacity of Latin American countries to capture a significant share of the value generated by clean and digital technology value chains.

China holds a dominant position in these value chains. Over the past decade, the Chinese government has implemented a cohesive strategy that combines supply security, foreign investment, and the expansion of refining capacity. In 2024, China accounted for 70% of Chile's lithium exports and over half of its copper exports. This strategy strengthens China's influence over global value chains, while relegating Latin American economies to a predominantly extractive role.

1 S&P Global (January 2026) *Copper in the Age of AI: Challenges of Electrification*.
2 ECLAC (November 2025) *Foreign Direct Investment in Latin America and the Caribbean*.
3 OECD (April 2026) *Regional Note on Critical Minerals in Latin America and the Caribbean*.

Europe and the United States are coordinating their strategies, while Latin America remains divided

In response to Chinese dominance, the European Union enacted the Critical Raw Materials Act in 2023, which sets targets of 10% local extraction and 40% local processing by 2030, while aiming to reduce reliance on third countries for strategic minerals—notably through the development of European capabilities and the establishment of partnerships with third countries. In the United States, critical minerals were officially incorporated into national security priorities in 2022 to bolster domestic extraction and processing of a range of strategic minerals, including lithium, nickel, cobalt and graphite. The United States has also entered into a growing number of bilateral agreements with several countries in the region in recent years (Argentina, Ecuador, Peru and Chile) to secure its supply. As part of the USMCA review, the United States, Canada and Mexico are in discussions to include a section dedicated to critical materials. It aims to secure supplies and cultivate regional value chains within the battery, electric vehicle, and strategic technology sectors.

These initiatives underscore the strategic role of critical minerals, the control of which determines a country's standing in industrial value chains.

Latin American responses to these challenges remain largely national and fragmented. Chile and Brazil stand out for their distinct mining policies, which include instruments targeting critical minerals and measures to expedite and simplify investment. The region's lithium-rich countries (Argentina, Chile, Brazil, Bolivia, and, to a lesser extent, Mexico) are all striving to establish themselves in the higher-value-added segments of the value chains. However, their strategies vary considerably, ranging from liberal policies aimed at attracting foreign investment to more interventionist models.

This fragmentation is all the more detrimental given that the region's resources are complementary—from copper in Chile and Peru, to lithium in Argentina, Bolivia, and Chile, to nickel, graphite, and rare earths in Brazil. A collaborative regional strategy would facilitate the development of integrated value chains.

Hélène Drouot

Latin America Economist

helene.drouot@bnpparibas.com

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS

Easy-to-read monthly overview of inflation dynamics

ECOATLAS

The key economic figures for France and major European economies

CHART OF THE WEEK

A weekly chart highlighting points of interest in the world economy

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago
Copyright image : Alejo Bernal

Subscribe to our publications:

ECONOMIC RESEARCH

BNP PARIBAS

The bank
for a changing
world

Paris, 23 June 2026

BNP PARIBAS
The bank for a changing world

EcoFlash

Presidential Election in Colombia: A 180-Degree Turn

In Colombia, the right-wing populist candidate Abelardo de la Espriella won the second round of the presidential election on Sunday, 21 June, which achieved a record voter turnout of 63.4%. Preliminary estimates indicate that he secured 49.7% of the votes, narrowly surpassing left-wing candidate Iván Cepeda, who garnered 48.7% and represented a continuation of the policies of outgoing President Gustavo Petro (2022-2026). This election marks a significant shift to the right for the country, following the lead of Argentina and Chile, now governed by President Javier Milei (since December 2023) and President Antonio Kast (since March 2026), respectively. Meanwhile, Peru is still counting the votes from the second round of the presidential election and may soon follow suit, while Brazil is due to go to the polls in October.

In the financial markets, investors reacted positively to the election outcome. Since 31 May, the date of the first round in which Abelardo de la Espriella topped the poll, the Colombian peso has appreciated by 7.1% against the US dollar, while the average yield on 10-year sovereign bonds has fallen by 150 basis points. Investors have been attracted by the new president's pro-market programme, which promises a clean break with the previous administration. Similar to his Argentinian and Chilean counterparts, he advocates for economic liberalisation and a rapid consolidation of public finances, as Colombia registered one of the largest fiscal deficits in Latin America[1] in 2025.

Economic growth: a rebalancing of growth drivers rather than an acceleration?

Between 2023 and 2025, Colombia's economic growth averaged 1.6% per year, compared to an average of 2.3% in the region. This growth was driven by consumption (+2.2% per year on average), especially government consumption (+3.5% per year). By contrast, investment contracted by 3.6% per year. Consequently, the investment ratio fell from 19.1% of GDP in 2022 to 16.1% of GDP in 2025, marking a twenty-year low.

The economic liberalisation promised by A. de la Espriella could revive private investment by reducing interventionism and the uncertainty that accompanies it. He intends to lift the ban on issuing new licences for hydrocarbon exploration and on hydraulic fracturing (fracking), two measures introduced by G. Petro's administration and aimed at steering the country towards an energy transition. Crude-oil production should therefore rebound after a 1.5% decline since 2022. Goods exports (+0.2% per year on average from 2023 to 2025) are also expected to rise, as hydrocarbons account for 46% of total exports (2022-2025 average).

Consumption growth, however, is likely to slow, at least in the short term. The fiscal austerity programme will significantly impact government consumption (15.7% of GDP in 2025). A. de la Espriella has announced plans to cut 700,000 public-sector jobs (about 3% of the labour force), which the private sector will struggle to absorb. Unemployment is therefore expected to rise in the coming months, following a steady decline over the past two years (from 10.7% in March 2024 to 8.7% in April 2026). The poverty rate, which fell from 36.6% to 28% between 2022 and 2025, thanks in part to several minimum-wage revaluations, could climb again.

Therefore, A. de la Espriella's victory is likely to result in a rebalancing of growth drivers rather than an acceleration of growth[2]. Moreover, downside risks to growth are not negligible. The risk of blockades associated with possible social movements is high, given the electorate's deep polarisation and the new president's controversial socio-economic agenda. His proposals to abolish the Special Jurisdiction for Peace (JEP)—a cornerstone of the 2016 peace accords—and to intensify military operations against drug trafficking could further destabilise an already fragile security situation. The negative impact on the economy could be considerable, particularly in the tourism sector, which has recently emerged as the second-largest source of foreign-exchange receipts behind oil.

---

[1] See **In Latin America, the energy crisis is expected to have a moderate impact on public finances**.

[2] In his programme, A. de la Espriella forecasts to lift annual growth to 7% per year.

Public Finances: What will be the extent of fiscal consolidation?

Public finances have deteriorated over the past two years. The central government deficit widened to an average of 6.5% of GDP in 2024-2025, while central government debt reached 64.4% of GDP at the end of 2025, up 5 percentage points (pp) since the end of 2022.

A. de la Espriella has committed to a rapid consolidation of public finances and a return to adherence to the fiscal rule[3] that was suspended in June 2025. According to the CARF[4] (an independent state body), a fiscal adjustment of almost 4pp of GDP will be required by the end of 2027 to bring the fiscal balance back into line with the rule next year. To restore market confidence, the new president has appointed J. M. Restrepo—former Finance Minister under right-wing President Iván Duque—as vice-president.

The first signs of fiscal consolidation could appear as early as Q4 2026. Nevertheless, several obstacles could impede the process. On the expenditure front, the plan to intensify the fight against narcotrafficking could increase security spending. The government's ability to cut other outlays is likely to be limited, as "rigid" expenditures associated with recent reforms (decentralisation, pensions, health) account for over 80% of total spending. On the revenue front, tax receipts could fall if de la Espriella's proposed tax cuts are implemented.

Furthermore, the president may find it difficult to get reforms through Congress, given his outsider status and his rejection of the traditional political elite. Despite the legislative elections in March, Congress remains highly polarised, with the *Pacto Histórico*—the party of G. Petro and I. Cepeda—holding the most seats. Consequently, de la Espriella could struggle to forge the alliances necessary to pass contentious fiscal reforms and budget laws.

In short, A. de la Espriella's victory provides a temporary relief for public finances, helped by lower yields on sovereign bonds. To maintain investor confidence, his administration will need to lay the groundwork for fiscal consolidation quickly. However, numerous hurdles remain, which may contribute to increased volatility in financial markets over the coming months.

Lucas Plé

[3] The rule that sets the fiscal balance target based on the gap between the central government's net debt level, its maximum permissible ceiling (71% of GDP), and its long-term target (55% of GDP).

[4] Autonomous Committee for the Fiscal Rule.

ECOINSIGHT

Issue 18
18 June 2026

UNITED STATES: A DROP OF OIL IN THE TREASURIES MARKET'S GEARS

Céline Choulet

The US regulatory framework is becoming more favourable to intermediation conditions within the US Treasuries market. The easing of leverage requirements has enabled the largest banks, known as Global Systemically Important Banks, or G-SIBs, to fulfil their role as intermediaries during the first months of the year. The ongoing reassessment of the G-SIB capital surcharge calculation method could also benefit market liquidity. However, the capacity of large US banks to absorb federal debt is expected to remain limited.

THE LEVERAGE STANDARD ONCE AGAIN ACTS AS A BACKSTOP

In 2025, the need to recalibrate the enhanced Supplementary Leverage Ratio (eSLR) imposed on Global Systemically Important Banks (G-SIBs) became a priority for US regulators[1]. The constraints on balance sheets were, in fact, on the verge of becoming more binding than the risk-weighted capital requirements (*see box*). It risked preventing, or even discouraging, certain major banks from fulfilling their role as intermediaries in the Treasury market. This was an undesirable situation under normal circumstances and even more so during periods of stress.

Last November[2], the enhanced Supplementary Leverage Ratio (eSLR) requirement was aligned with the Basel recommendation, set at 3% plus a buffer equal to 50% of the G-SIB surcharge calculated according to the Financial Stability Board's Method, referred to as "Method 1" in the US regulatory framework[3]. The effective date of this new eSLR ru le was set for 1 April 2026 (the legal deadline). However, due to the introduction of a relaxation, banks were permitted to apply it early, starting on 1 January 2026. Under the new formula, the eSLR requirements for the eight largest US banks (the G-SIBs) now range from 3.5% to 4.25%, compared to the previous uniform requirement of 5%. The buffer imposed on their depository institution subsidiaries (in addition to the basic 3% requirement) has been capped at 1%, ensuring that their eSLR requirements cannot exceed 4%. This places them within a range of 3.5% to 4%, down from the previous uniform requirement of 6%.

The eSLR requirement for the eight GSIBs is now less binding than their riskweighted requirements (Chart 1, left-hand panel). In other words, the amount of Tier 1 capital needed to satisfy the eSLR is lower than that required by the riskweighted requirement. At the consolidated level, this allows every GSIB to increase its balance sheet in favour of riskfree assets without the need to raise additional Tier 1 capital. Consequently, the eSLR requirement is no longer considered "binding".

A MORE FLEXIBLE REGULATION IN FAVOUR OF TREASURY MARKET LIQUIDITY

The relaxed leverage requirements achieved the outcome regulators had hoped for: intermediation conditions in the Treasury market improved during the first months of the year. Against a backdrop of heightened uncertainty due to the Iran conflict, major banks were able to absorb a portion of Treasuries that had no buyers. This is reflected in the rising net positions of primary dealers, predominantly GSIB subsidiaries, which reached 1.8% of the outstanding federal debt in March and April, the highest level since the 2008 financial crisis (Chart 2).

Definitions of capital requirement

Banks are subject to various capital requirements; some rules are risk-weighted, while others are not.

The risk-weighted Tier 1 requirement compels banks to mobilise sufficient core capital based on the risks (credit, counterparty, market and operational risks) associated with their exposures. The Tier 1 capital ratio is the ratio of Tier 1 capital to risk-weighted assets.

Conversely, the leverage requirements are non-risk-weighted capital requirements. Their purpose is to ensure that a bank's assets or commitments, regardless of the risks associated with them, do not exceed a specific multiple of its capital. As a result, US Treasury securities, although considered «safe» assets with a zero risk-weighting for risk-weighted capital ratio calculations, are fully accounted for in the exposure calculations (the denominator of leverage ratios) just like any other asset, including those that are highly risky. A leverage ratio limits the size of bank balance sheets. Its calibration should enable it to function as an extreme limit (safety net) rather than a permanent constraint. Otherwise, it could become the decisive factor in portfolio choices, incentivising banks to favour riskier, more capital-intensive, yet more profitable assets.

All US banking institutions are subject to a simple leverage requirement (Leverage Ratio, LR), which compares Tier 1 capital to average on-balance sheet assets. The largest banks (those with consolidated assets exceeding USD 250 bn or with at least USD 75 bn in non-bank assets, short-term market debt, or off-balance-sheet exposures) and their depository institution subsidiaries are also subject to the Basel leverage rule (Supplementary Leverage Ratio, or SLR). This rule compares Tier 1 capital to leverage exposure, which includes all on-balance-sheet assets (in accordance with applicable accounting rules, excluding derivatives and securities financing transactions recorded at gross value) and a reduced measure of off-balance-sheet commitments. The SLR requirement for the eight G-SIBs is stricter and is referred to as the enhanced Supplementary Leverage Ratio (eSLR).

1 See The US Treasuries market, an idol with feet of clay: Oiling the wheels.
2 Federal Reserve Board - Agencies issue final rule to modify certain regulatory capital standards.
3 In the United States, the capital surcharge imposed on GSIBs is determined using two methods: the Financial Stability Board's approach ("Method 1") and the Federal Reserve's approach ("Method 2"). The more stringent of the two (typically Method 2) is used to set the overall riskweighted capital requirement. The outcome of Method 1 is now used to set the eSLR requirement.

The leverage ratio eSLR is once again acting as a backstop for the 8 G-SIBs

... but remains binding for their major deposit-taking subsidiaries

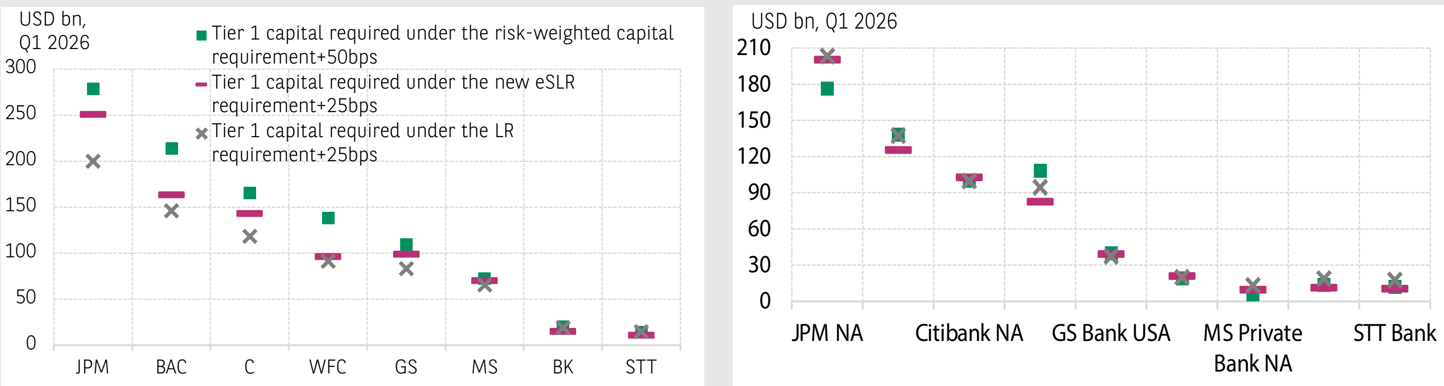


CHART 1

SOURCE: FINANCIAL REPORTS, S&P CAPITAL IQ, BNP PARIBAS

The chart shows the Tier 1 capital amounts required to meet various solvency benchmarks. Left-hand panel: for the eight G SIBs, the risk weighted Tier 1 requirement (plus a 50 basis point safety margin) is stricter than the leverage standards LR and eSLR (both plus a 25 basis point safety margin). The eSLR leverage standard is more binding than the LR leverage standard for six of the eight G SIBs. Right-hand panel: with the exception of Wells Fargo Bank NA, the major deposit-taking subsidiaries of the G SIBs are mainly constrained by leverage standards. The eSLR standard exceeds the risk weighted T1 requirement for four of the nine major subsidiaries and is practically equivalent for three others. The LR standard is more binding than the eSLR standard for six subsidiaries and slightly less binding for the remaining three.

Primary dealers' Treasury inventories reach their highest level since 2008

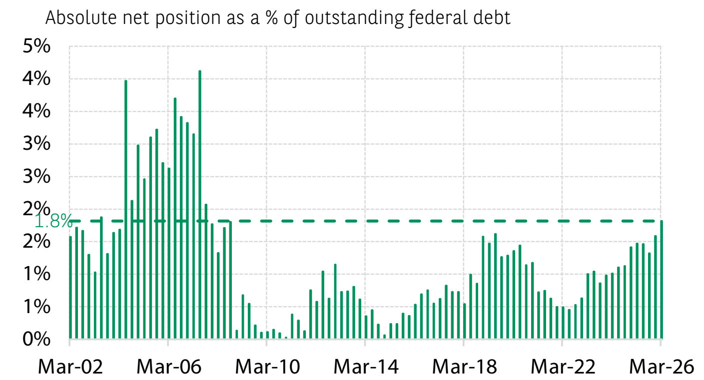
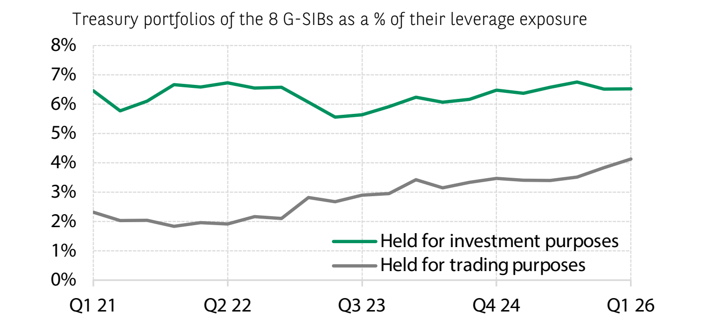


CHART 2

SOURCE: FEDERAL RESERVE BANK OF NEW YORK, BNP PARIBAS

The relaxation of the eSLR requirement has not sparked a significant increase in Treasury purchases



Leverage exposure is a proxy for a bank's total assets and commitments, used as the denominator in the Basel leverage ratio (SLR and eSLR in the US)

CHART 3

SOURCE: S&P CAPITAL IQ, BNP PARIBAS

This increase is particularly significant as, from midDecember to mid-April, the Federal Reserve (Fed) absorbed a substantial share of new Tbill issuance, contrasting with the periods of 2014–2019 and 2022–2025 when the Fed was reducing its holdings. With the Federal Reserve Management Purchases and Treasury buybacks programmes in place, the relaxation of the leverage standard helped preserve Treasury market liquidity and contributed to more favourable conditions in the repurchase agreement (repo) markets.

FEDERAL DEBT ABSORPTION CAPACITY REMAINS LIMITED

The relaxation of the eSLR requirement has not resulted in the anticipated increase in demand for these securities. Admittedly, GSIB trading portfolios, which contain positions booked by brokerdealer subsidiaries, have grown (averaging 4.13% of leverage exposure in Q1 2026, up from 3.54% in 2025), yet their Treasury investment portfolios (held-to-maturity or available-for-sale) have remained virtually unchanged[4] (6.52% compared with 6.55%; Chart 3). Various limitations[5] have prevented the stimulus hoped for by the Treasury Secretary, including the eSLR itself.

4 With the exception of JPMorgan and Goldman Sachs
5 Large-scale outright purchases would have resulted in an increase in GSIB surcharges by enlarging the size indicator and worsened simple leverage and eSLR ratios (which continue to be binding for some depository institution subsidiaries). These acquisitions would also have heightened banks' maturity-transformation and interest-rate risk exposures or breached internal market-risk exposure limits.

For seven of the nine large GSIB depository institution subsidiaries, the standard continues to be binding—or nearly so (Chart 1, right-hand panel). Yet, the Treasury investment portfolios of major banks are, for the most part, recorded on the balance sheets of their deposit-taking subsidiaries.

THE PROPOSED REFORM TO GSIB CAPITAL SURCHARGES COULD LIKEWISE PROVIDE SOME MOMENTUM

Market-making requires maintaining extensive inventories of securities and executing numerous repo (and reverserepo) transactions. This tends to inflate leverage ratios at dealer parent companies by enlarging their balance sheets, while also exacerbating their systemic risk scores (due to increased size, shortterm wholesale funding, and complexity indicators). These scores are critical in determining the capital surcharges levied on large banks (the GSIB surcharges).

The Federal Reserve has recently proposed revisions to its methodology[6]. It plans to reassess all the coefficients in its formula (to account for economic growth and inflation), reduce the weight of the short-term wholesale funding indicator, introduce narrower surcharge brackets (to mitigate threshold effects), and calculate positions based on annual average data rather than end-of-period data. These adjustments should give GSIBs greater flexibility in their intermediary activities and positively impact Treasury market liquidity. They will relieve balance-sheet pressure by reducing both the level and growth rate of surcharges. They should also smooth liquidity supply over the year and reduce repo rate fluctuations around balance-sheet reporting dates.

Nevertheless, this reform is unlikely to trigger large-scale Treasury purchases. On the one hand, leverage standards LR and eSLR are expected to remain binding for most GSIB deposit-taking subsidiaries. On the other, the proposed relaxation of risk-weighted capital rules could reverse the prevailing hierarchy of capital requirements, pushing the leverage standard back to a “binding” status on a consolidated basis[7] and deterring large banks from acting as market-makers.

The expanding scope of centralised clearing for Treasury repo transactions would undoubtedly improve market liquidity. However, unless the federal debt trajectory is more effectively managed, US authorities may feel compelled to continue using tools to maintain the role of dealers in the Treasury market.

Céline Choulet

Completed on 13 June 2026

6 Federal Register: Regulatory Capital Rule (Regulation Q): Risk-Based Capital Surcharges for Global Systemically Important Bank Holding Companies; Systemic Risk Report (FR Y-15). The proposal is open for comment until 18 June.

7 For context, the capital surcharge for US GSIBs is determined by “Method 2” (currently under review), whereas the buffer used to calibrate the eSLR requirement is based on “Method 1”, which is less stringent but remains unchanged.

GROUP ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics.

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH

Data releases, major economic events.

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts.

ECOPULSE

Easy-to-read monthly overview of inflation dynamics in the main developed economies.

ECOCHARTS

Monthly barometer of key economic indicators of the main OECD countries.

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast.

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

The bank
for a changing
world